VIII
Standards of Protection

1. Fair and equitable treatment

ADDITIONAL READING: S Vasciannie, 'The Fair and Equitable Treatment Standard in International Investment Law and Practice' (1999) 70 *BYIL* 99; J Paulsson, *Denial of Justice in International Law* (2005); C Schreuer, 'Fair and Equitable Treatment in Arbitral Practice' (2005) 6 *JWIT* 357; I Tudor, *The Fair and Equitable Treatment Standard in the International Law of Foreign Investment* (2008); SW Schill, 'Fair and Equitable Treatment, the Rule of Law, and Comparative Public Law' in SW Schill (ed) *International Investment Law and Comparative Public Law* (2010) 151; R Kläger, *'Fair and Equitable Treatment' in International Investment Law* (2011); A Diehl, *The Core Standard of International Investment Protection: Fair and Equitable Treatment* (2012); R Dolzer, 'Fair and Equitable Treatment: Today's Contours' (2013) 12 *Santa Clara Journal of Int'l Law* 7; M Paparinskis, *The International Minimum Standard and Fair and Equitable Treatment* (2013); M Potestà, 'Legitimate Expectations in Investment Treaty Law' (2013) 28 *ICSID Rev* 88; M Jacob and SW Schill, 'Fair and Equitable Treatment: Content, Practice, Method' in M Bungenberg et al (eds) *International Investment Law* (2015) 700; P Dumberry, *Fair and Equitable Treatment: Its Interaction with the Minimum Standard and Its Customary Status* (2018); FM Palombino, *Fair and Equitable Treatment and the Fabric of General Principles* (2018); K Yannaca-Small, 'Fair and Equitable Treatment: Have its Contours Fully Evolved?' in K Yannaca-Small (ed) *Arbitration under International Investment Agreements* (2018) 20.01; A Reinisch and C Schreuer, *International Protection of Investments* (2020) 251.

(a) Introduction

Most BITs and other investment treaties provide for fair and equitable treatment (FET) of foreign investments. This concept is the most frequently invoked standard in investment disputes. It is also the standard with the highest practical relevance: a major part of successful claims pursued in international arbitration are based on a violation of the FET standard.

Some tribunals have pointed to the vagueness and lack of definition of the FET standard.[1] The European Parliament has deplored the use of vague language in this

[1] *CMS v Argentina*, Award, 12 May 2005, para 273; *Sempra v Argentina*, Award, 28 September 2007, para 296; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 610; *Suez and InterAgua v Argentina*, Decision

context.[2] In fact, the lack of precision may be a virtue rather than a shortcoming. In actual practice it is impossible to anticipate in the abstract the range of possible types of infringements upon the investor's legal position. The principle of FET allows for independent and objective third-party determination of this type of behaviour on the basis of a flexible standard.[3] Therefore, it is not devoid of independent legal content. Like other broad principles of law, it is susceptible of specification through judicial practice.[4] As Prosper Weil wrote in the year 2000:

> The standard of 'fair and equitable treatment' is certainly no less operative than was the standard of 'due process of law', and it will be for future practice, jurisprudence and commentary to impart specific content to it.[5]

Investment tribunals have since given detailed content to the meaning of the standard. They have applied it to a broad range of circumstances and have given it meaning through their practice. The evolution of this practice is traced in some detail below.

Although 'fair and equitable' may be reminiscent of the extra-legal concepts of fairness and equity, it should not be confused with decision *ex aequo et bono*.[6] The Tribunal in *ADF v United States* pointed out that the requirement to accord FET does not allow a tribunal to adopt its own idiosyncratic standard but 'must be disciplined by being based upon State practice and judicial or arbitral case law or other sources of customary or general international law'.[7]

FET is an expression of the rule of law that is enshrined in major legal systems. Stephan Schill has pointed out that 'fair and equitable treatment can be understood as embodying the rule of law as a standard that the legal systems of host States have to embrace in their treatment of foreign investors'.[8] Several tribunals agree

on Liability, 30 July 2010, paras 196, 202; *Total v Argentina*, Decision on Liability, 27 December 2010, paras 106–109; *Mamidoil v Albania*, Award, 30 March 2015, paras 599–601; *Flemingo v Poland*, Award, 12 August 2016, para 530; *Urbaser v Argentina*, Award, 8 December 2016, paras 611–612.

[2] European Parliament Resolution of 6 April 2011 on the Future European International Investment Policy, Preamble, para G.

[3] S Vasciannie, 'The Fair and Equitable Treatment Standard in International Investment Law and Practice' (1999) 70 *BYIL* 99, 100, 104, 145.

[4] *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 284: 'Even though Article 3 obviously leaves room for judgment and appreciation by the Tribunal, it does not set out totally subjective standards.'

[5] P Weil, 'The State, the Foreign Investor, and International Law: The No Longer Stormy Relationship of a *Ménage À Trois*' (2000) 15 *ICSID Rev* 401, 415.

[6] See C Schreuer, 'Decisions Ex Aequo et Bono under the ICSID Convention' (1996) 11 *ICSID Rev* 37.

[7] *ADF v United States*, Award, 9 January 2003, para 184. See also *Mondev v United States*, Award, 11 October 2002, para 119; *Saluka v Czech Republic*, Partial Award, 17 March 2006, paras 282–284; *Enron v Argentina*, Award, 22 May 2007, paras 256–257; *MCI v Ecuador*, Award, 31 July 2007, para 370; *Total v Argentina*, Decision on Liability, 27 December 2010, paras 108–109; *Micula v Romania I*, Award, 11 December 2013, para 507.

[8] SW Schill, 'Fair and Equitable Treatment, the Rule of Law, and Comparative Public Law' in SW Schill (ed) *International Investment Law and Comparative Public Law* (2010) 151.

that FET is a general principle of law that may be identified by way of a comparative public law analysis.[9]

The FET standard does not depend on how a host State treats its own nationals or the nationals of a third State. It is an absolute standard that has its reference point in international law.[10] FET is also an absolute standard in the sense that it does not depend on domestic law.[11]

(b) History

The concept of FET is not new but has appeared in international documents for some time. Some of these documents were non-binding, others entered into force as multilateral or bilateral treaties.[12] The origin of the clause seems to date back to the treaty practice of the United States in the period of Treaties on Friendship, Commerce and Navigation (FCN).[13] For instance, Article I (1) of the 1954 Treaty between Germany and the United States reads: 'Each Party shall at all times accord fair and equitable treatment to the nationals and companies of the other Party and to their property, enterprises and other interests.'[14]

A reference to a 'just and equitable treatment' standard appeared in Article 11(2) of the Havana Charter for an International Trade Organization of 1948.[15] The Abs–Shawcross Draft Convention on Investment Abroad of 1959 in its Article I referred to 'fair and equitable treatment to the property of the nationals of the other Parties',[16] and the subsequent Organisation for Economic Co-operation and Development (OECD) Draft Convention on the Protection of Foreign Property of 1967 in its Article 1 contained similar language.[17]

[9] *Petrobart v Kyrgyz Republic*, Arbitral Award, 29 March 2005, p 75; *Thunderbird v Mexico*, Arbitral Award, 26 January 2006, Separate Opinion Thomas Wälde, 1 December 2005, paras 27–30; *Enron v Argentina*, Award, 22 May 2007, para 257; *AMTO v Ukraine*, Final Award, 26 March 2008, para 87; *Merrill & Ring v Canada*, Award, 31 March 2010, para 187; *Total v Argentina*, Decision on Liability, 27 December 2010, para 111; *Toto v Lebanon*, Award, 7 June 2012, paras 166, 193; *Philip Morris v Uruguay*, Concurring and Dissenting Opinion Gary Born, 8 July 2016, paras 40–42; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, paras 242–243.

[10] *Garanti Koza v Turkmenistan*, Award, 19 December 2016, para 380; *CME v Czech Republic*, Partial Award, 13 September 2001, para 611; *ADF v United States*, Award, 9 January 2003, para 178.

[11] *Genin v Estonia*, Award, 25 June 2001, para 367; *El Paso v Argentina*, Award, 31 October 2011, para 337.

[12] See especially UNCTAD Series on issues in international investment agreements, Fair and Equitable Treatment (1999) 3/4, 7–9, 25–28, 31/32; S Vasciannie, 'The Fair and Equitable Treatment Standard in International Investment Law and Practice' (1999) 70 *BYIL* 99, 100/111, 107.

[13] See RR Wilson, *United States Commercial Treaties and International Law* (1960) 113, 120.

[14] Treaty of Friendship, Commerce and Navigation, 29 October 1954, US–FR Germany, 273 UNTS 4. See also Treaty of Amity, Economic Relations, and Consular Rights, 15 August 1955, US–Iran, 284 UNTS 110, 114.

[15] UNCTAD, 1 *International Investment Instruments: A Compendium* (1996) 4. The Havana Charter never entered into force.

[16] UNCTAD, 5 *International Investment Instruments: A Compendium* (2001) 395. The Draft Convention represented a private initiative by H Abs and Lord Shawcross.

[17] OECD Draft Convention on the Protection of Foreign Property (1967), (1968) 7 ILM 117, 119.

The draft for a United Nations Code of Conduct on Transnational Corporations in its 1983 version provided that transnational corporations should receive FET.[18] The Guidelines on the Treatment of Foreign Direct Investment adopted by the Development Committee of the Board of Governors of the International Monetary Fund and the World Bank in 1992 in their Section III dealing with 'Treatment' provided that '2. Each State will extend to investments established in its territory by nationals of any other State fair and equitable treatment according to the standards recommended in these Guidelines'.[19]

The OECD Draft Negotiating Text for a Multilateral Agreement on Investment (MAI) of 1998 contained the following text in its section on investment protection:

> 1.1. Each Contracting Party shall accord to investments in its territory of investors of another Contracting Party fair and equitable treatment and full and constant protection and security. In no case shall a Contracting Party accord treatment less favourable than that required by international law.[20]

Since the mid-1960, FET clauses regularly appear in bilateral investment treaties (BITs). In some BITs, FET only appears in the preambles and does not form a self-standing treatment standard. FET provisions are included also in the investment chapters of most of the new post-2000 generation of expanded free trade agreements (FTAs).

The concept of FET has also found entry into multilateral treaties. For instance, the Convention Establishing the Multilateral Investment Guarantee Agency (MIGA) of 1985 in its Article 12 requires the availability of FET as a precondition for extending insurance cover.

The North American Free Trade Agreement (NAFTA) of 1994[21] contained the FET principle in its Article 1105, paragraph 1. The United States–Mexico–Canada Agreement (USMCA) promises FET in Article 14.6 (1).

The Energy Charter Treaty (ECT) of 1994 contains elaborate language around the requirement of FET in its Article 10(1):

> Each Contracting Party shall, in accordance with the provisions of this Treaty, encourage and create stable, equitable, favourable and transparent conditions for Investors of other Contracting Parties to make investments in its area. Such

[18] UNCTAD, 1 *International Investment Instruments: A Compendium* (1996) 172.
[19] Guidelines on the Treatment of Foreign Direct Investment, (1992) 7 *ICSID Rev* 297, 300.
[20] UNCTAD, 4 *International Investment Instruments: A Compendium* (2001) 148.
[21] The North American Free Trade Agreement (NAFTA) was a trilateral treaty between Canada, Mexico and the United States that existed from 1994 to 2020. The NAFTA was replaced by the USMCA on 1 July 2020. But NAFTA's Chapter 11, dealing with investments including investment arbitration, remains available to investors from all three countries should they choose to use it for three years after that date. See also I.2(c) above.

> conditions shall include a commitment to accord at all times to Investments of Investors of other Contracting Parties fair and equitable treatment.

The FTAs negotiated by the EU Commission in the 2010s, *inter alia*, with Canada, Singapore, Vietnam, and Mexico, contain FET clauses, though often in a modified, limited version.

(c) Textual variations

The use of the term 'fair and equitable' is fairly uniform. Some treaties refer to 'just and equitable', 'just and fair', or 'equitable and reasonable' These variations do not appear to reflect a difference in meaning and have been treated as synonymous.[22]

The two concepts of 'fair' and of 'equitable' are not to be taken as distinct elements to be applied separately. The general assumption is that 'fair and equitable' represent a single, unified standard.

Many treaties offer the FET standard together with other standards, often in the same sentence. In particular, FET and full protection and security (FPS)[23] are often listed together. Some FET provisions refer to international law.[24] For instance, the USMCA promises 'treatment in accordance with customary international law, including fair and equitable treatment and full protection and security'.[25] Some BITs refer to FET in accordance with the 'principles of international law'[26] or provide that treatment shall in no case be less favourable than that required by international law.[27] Some treaties contain clarifications that FET does not go beyond the customary international minimum standard.[28]

More recently, some BITs offer substantive detail on the meaning of FET. For instance, the US Model BIT of 2012, after a general reference to FET, states:

> 'fair and equitable treatment' includes the obligation not to deny justice in criminal, civil, or administrative adjudicatory proceedings in accordance with the principle of due process embodied in the principal legal systems of the world . . . .

22 *Parkerings v Lithuania*, Award, 11 September 2007, paras 271–278; *Total v Argentina*, Decision on Liability, 27 December 2010, para 106; *OKO Pankki v Estonia*, Award, 19 November 2007, paras 214–215; *Bosca v Lithuania*, Award, 17 May 2013, para 196.

23 For the FPS standard see VIII.2 below.

24 For the relationship between FET and customary international law see VIII.1(f) below.

25 Article 14.6 (1) USMCA. See also 1105 (1) NAFTA.

26 Article 3 Argentina–France BIT (1991).

27 Article II(2) Argentina–US BIT (1991).

28 Article 5 US Model BIT 2012.

A restrictive description of FET is found in recent treaties negotiated by the European Union (EU). For instance, the CETA, after promising FET in general terms, offers the following definition:

> A Party breaches the obligation of fair and equitable treatment referenced in paragraph 1 if a measure or series of measures constitutes:
> (a) denial of justice in criminal, civil or administrative proceedings;
> (b) fundamental breach of due process, including a fundamental breach of transparency, in judicial and administrative proceedings;
> (c) manifest arbitrariness;
> (d) targeted discrimination on manifestly wrongful grounds, such as gender, race or religious belief;
> (e) abusive treatment of investors, such as coercion, duress and harassment; or
> (f) a breach of any further elements of the fair and equitable treatment obligation adopted by the Parties in accordance with paragraph 3 of this Article.[29]

(d) Definitions of fair and equitable treatment

In some cases, the tribunals have tried to give a more specific meaning to the FET standard by formulating general definitions or descriptions.[30]

Genin v Estonia[31] concerned the withdrawal of a banking licence. The Tribunal stated that acts violating the fair and equitable standard:

> would include acts showing a wilful neglect of duty, an insufficiency of action falling far below international standards, or even subjective bad faith.[32]

The most comprehensive definition has been set forth in *Tecmed v Mexico*.[33] The case concerned the withdrawal of a licence for a landfill for hazardous waste. The Tribunal found that it had to interpret the concept of FET autonomously, taking into account its text according to its ordinary meaning, international law, and the good faith principle. The intention behind the concept was to strengthen the

[29] Article 8.10 (2) CETA. See U Kriebaum, 'FET and Expropriation in the Comprehensive Economic Trade Agreement between the European Union and Canada' (2016) 1 *TDM*.

[30] Tribunals have made frequent use of these definitions in subsequent cases. At times, they have presented surveys of such definitions: *Biwater Gauff v Tanzania*, Award, 24 July 2008, paras 596–600; *Total v Argentina*, Decision on Liability, 27 December 2010, para 110; *El Paso v Argentina*, Award, 31 October 2011, paras 341–347.

[31] *Genin v Estonia*, Award, 25 June 2001, (2002) 17 *ICSID Rev* 395.

[32] At para 367. Footnote omitted. Since there were ample grounds for the action taken by the Estonian authorities, the Tribunal did not find that a violation of the fair and equitable standard had occurred.

[33] *Tecmed v Mexico*, Award, 29 May 2003.

security and trust of foreign investors thereby maximizing the use of economic resources. This goal was expressed in the Preamble.[34] The Tribunal defined FET in the following terms:

> The Arbitral Tribunal considers that this provision of the Agreement, in light of the good faith principle established by international law, requires the Contracting Parties to provide to international investments treatment that does not affect the basic expectations that were taken into account by the foreign investor to make the investment. The foreign investor expects the host State to act in a consistent manner, free from ambiguity and totally transparently in its relations with the foreign investor, so that it may know beforehand any and all rules and regulations that will govern its investments, as well as the goals of the relevant policies and administrative practices or directives, to be able to plan its investment and comply with such regulations… The foreign investor also expects the host State to act consistently, i.e. without arbitrarily revoking any preexisting decisions or permits issued by the State that were relied upon by the investor to assume its commitments as well as to plan and launch its commercial and business activities. The investor also expects the State to use the legal instruments that govern the actions of the investor or the investment in conformity with the function usually assigned to such instruments, and not to deprive the investor of its investment without the required compensation.[35]

In *MTD v Chile*,[36] the Tribunal applied a provision in the BIT between Chile and Malaysia requiring that '[i]nvestments of investors of either Contracting Party shall at all times be accorded fair and equitable treatment'.[37] In doing so, the Tribunal agreed with a legal opinion by Judge Schwebel that FET encompassed such fundamental standards as good faith, due process, non-discrimination, and proportionality. The Tribunal relied on the standard as defined in *Tecmed*[38] and emphasized a duty to adopt a proactive behaviour in favour of the investor. It said:

> fair and equitable treatment should be understood to be treatment in an even-handed and just manner, conducive to fostering the promotion of foreign investment. Its terms are framed as a pro-active statement—'to promote', 'to create', 'to stimulate'—rather than prescriptions for a passive behavior of the State or avoidance of prejudicial conduct to the investors.[39]

[34] At paras 155, 156. See also *Azurix v Argentina*, Award, 14 July 2006, para 360; *MTD v Chile*, Award, 25 May 2004, paras 112, 113.
[35] At para 154.
[36] *MTD v Chile*, Award, 25 May 2004.
[37] At para 107.
[38] At paras 114–115.
[39] At para 113.

On the basis of this standard the Tribunal found that Chile had violated the FET standard.

The ad hoc Committee in *MTD v Chile*[40] upheld the Award but criticized the reliance on the *Tecmed* standard:

> the *TECMED* Tribunal's apparent reliance on the foreign investor's expectations as the source of the host State's obligations (such as the obligation to compensate for expropriation) is questionable. The obligations of the host State towards foreign investors derive from the terms of the applicable investment treaty and not from any set of expectations investors may have or claim to have.[41]

Saluka v Czech Republic[42] concerned the takeover of an ailing bank, in which the claimants had invested, by a competitor that had received financial assistance from the State for the purpose of the takeover. The bank that was the object of the takeover had not received similar aid when the claimants attempted to negotiate the conditions to keep the bank viable. The Tribunal found that there was a violation of FET and described the requirements of the FET standard in terms of consistency, transparency, and reasonableness:

> A foreign investor whose interests are protected under the Treaty is entitled to expect that the [host state] will not act in a way that is manifestly inconsistent, non-transparent, unreasonable (*i.e.* unrelated to some rational policy), or discriminatory (*i.e.* based on unjustifiable distinctions).[43]

The NAFTA case, *Waste Management v Mexico*,[44] arose from a failed concession for the disposal of waste that involved a number of grievances, including the municipality's failure to pay its bills, failure to honour exclusivity of services, difficulties with a line of credit agreement, and proceedings before Mexican courts. The Tribunal summarized its position on the FET standard in Article 1105 of the NAFTA in the following terms:

> the minimum standard of treatment of fair and equitable treatment is infringed by conduct attributable to the State and harmful to the claimant if the conduct is arbitrary, grossly unfair, unjust or idiosyncratic, is discriminatory and exposes the claimant to sectional or racial prejudice, or involves a lack of due process leading to an outcome which offends judicial propriety—as might be the case with a manifest failure of natural justice in judicial proceedings or a complete

[40] *MTD v Chile*, Decision on Annulment, 21 March 2007.
[41] At para 67.
[42] *Saluka v Czech Republic*, Partial Award, 17 March 2006.
[43] At para 309.
[44] *Waste Management v Mexico II*, Award, 30 April 2004.

> lack of transparency and candour in an administrative process. In applying this standard it is relevant that the treatment is in breach of representations made by the host State which were reasonably relied on by the claimant.[45]

Other tribunals have adopted similar broad definitions.[46]

In some cases, tribunals have resorted to enumerating typical elements that amount to a violation of the FET standard.[47] The Tribunal in *Micula v Romania I*,[48] relying on this book's first edition, listed the following elements:

> According to Dolzer and Schreuer, tribunal practice shows that the concepts of transparency, stability and the protection of the investor's legitimate expectations play a central role in defining the FET standard, and so does compliance with contractual obligations, procedural propriety and due process, action in good faith and freedom from coercion and harassment.[49]

In *Philip Morris v Uruguay*,[50] the Tribunal gave the following definition of FET:

> Based on investment tribunals' decisions, typical fact situations have led a leading commentator to identify the following principles as covered by the FET standard: transparency and the protection of the investor's legitimate expectations; freedom from coercion and harassment; procedural propriety and due process, and good faith. In a number of investment cases tribunals have tried to give a more definite meaning to the FET standard by identifying forms of State conduct that are contrary to fairness and equity.[51]

The Tribunal in *Glencore v Colombia*[52] listed the following factors as amounting to violations of the FET standard:

> The threshold of propriety required by FET must be determined by the tribunal in light of all the relevant circumstances of the case. To this end, the tribunal must

[45] At 98. On the facts of the case, the Tribunal found that this standard had not been violated. At para 140.

[46] *LG&E v Argentina*, Decision on Liability, 3 October 2006, para 131; *Siag v Egypt*, Award, 1 June 2009, para 450; *Invesmart v Czech Republic*, Award, 26 June 2009, para 200; *Cargill v Mexico*, Award, 18 September 2009, para 296; *Inmaris Perestroika v Ukraine*, Award, 1 March 2012, para 265; *Marfin v Cyprus*, Award, 26 July 2018, para 1211; *SolEs Badajoz v Spain*, Award, 31 July 2019, para 308; *Gosling v Mauritius*, Award, 18 February 2020, paras 244–246.

[47] *Rumeli v Kazakhstan*, Award, 29 July 2008, para 609; *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 602.

[48] *Micula v Romania I*, Award, 11 December 2013.

[49] At para 519.

[50] *Philip Morris v Uruguay*, Award, 8 July 2016.

[51] At para 320.

[52] *Glencore v Colombia*, Award, 27 August 2019.

carefully analyse and take into consideration all the relevant facts, among them the following factors:

—whether the host State has engaged in harassment, coercion, abuse of power, or other bad-faith conduct against the investor;

—whether the State made specific representations to the investor before the investment was made and then acted contrary to such representations;

—whether the State has respected the principles of due process, consistency, and transparency when adopting the measures at issue;

—whether the State has failed to offer a stable and predictable legal framework, in breach of the investor's legitimate expectations.[53]

Other tribunals have offered similar lists of actions by the host State as contrary to FET.[54]

(e) Relationship of FET to other standards

At times it has been suggested that the FET standard is merely an overarching principle that embraces the other standards of treatment typically found in investment treaties.[55] While it is undeniable that there is some interaction and overlap with other standards, it is widely accepted that FET is an autonomous standard.[56] In most cases, tribunals have distinguished FET from other standards and have examined separately whether there has been a violation of the respective standards.[57]

Claimants alleging an expropriation have sometimes also claimed a violation of the FET standard. In view of the high threshold for expropriation claims, especially

[53] At para 1310. Footnotes omitted.

[54] *Ares v Georgia*, Award, 28 February 2008, para 9.3.7; *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 602; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 609; *Siag v Egypt*, Award, 1 June 2009, para 450; *Invesmart v Czech Republic*, Award, 26 June 2009, para 200; *Bayindir v Pakistan*, Award, 27 August 2009, para 178; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 284; *Paushok v Mongolia*, Award on Jurisdiction and Liability, 28 April 2011, para 253; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, para 420; *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 7.74; *Tatneft v Ukraine*, Award, 29 July 2014, para 394; *Rusoro v Venezuela*, Award, 22 August 2016, para 524; *Krederi v Ukraine*, Award, 2 July 2018, paras 437–440; *Stadtwerke München v Spain*, Award, 2 December 2019, para 256.

[55] *Noble Ventures v Romania*, Award, 12 October 2005, para 182; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, paras 259, 385; *Impregilo v Argentina*, Award, 21 June 2011, paras 333–334.

[56] I Tudor, *The Fair and Equitable Treatment Standard in International Law of Foreign Investment* (2008) 182; C Schreuer, 'Fair and Equitable Treatment (FET): Interactions with Other Standards' in G Coop and C Ribeiro (eds) *Investment Protection and the Energy Charter Treaty* (2008) 63.

[57] *Azurix v Argentina*, Award, 14 July 2006, paras 407–408; *LG&E v Argentina*, Decision on Liability, 3 October 2006, paras 162, 163; *PSEG v Turkey*, Award, 19 January 2007, para 239; *Plama v Bulgaria*, Award, 27 August 2008, paras 161–163, 183–184; *El Paso v Argentina*, Award, 31 October 2011, paras 226, 228–231; *Mobil v Argentina*, Decision on Jurisdiction and Liability, 10 April 2013, paras 810–813.

the requirement to prove a substantial or total deprivation, this seemed a promising fallback position.[58] Tribunals have repeatedly insisted on the separate nature of expropriation and FET.[59]

There is some confusion about the relationship of FET to the FPS standard.[60] Some tribunals seem to think that FPS was covered by the concept of FET and that there was no need to examine the facts separately under the two standards.[61] Other tribunals have held that the two standards are distinct and should be treated separately.[62] The Tribunal in *Frontier Petroleum v Czech Republic*[63] explained the difference between FPS and FET in the following terms:

> full protection and security obliges the host state to provide a legal framework that grants security and protects the investment against adverse action by private persons as well as state organs, whereas fair and equitable treatment consists mainly of an obligation on the host state's part to desist from behaviour that is unfair and inequitable.[64]

The relationship of FET to the standard that prohibits arbitrary or discriminatory treatment[65] is particularly relevant in the context of NAFTA and the USMCA, which contain clauses on FET but no explicit prohibition of arbitrary treatment.[66] The same applies to the recently negotiated treaties of the EU such as the CETA. Some NAFTA tribunals have found that arbitrary treatment violates the requirement of FET.[67] Tribunals applying BITs have also sometimes merged the two standards.[68]

58 *Sempra v Argentina*, Award, 28 September 2007, paras 300–301; *PSEG v Turkey*, Award, 19 January 2007, para 238; *Malicorp v Egypt*, Award, 7 February 2011, para 124; *Valores Mundiales v Venezuela*, Award, 25 July 2017, paras 523–527; *Saint-Gobain v Venezuela*, Decision on Liability and Principles of Quantum, 30 December 2016, paras 503–504.

59 *Nations Energy v Panama*, Award, 24 November 2010, paras 682 et seq; *Tidewater v Venezuela*, Award, 13 March 2015, para 150; *Venezuela Holdings v Venezuela*, Award, 9 October 2014, para 276.

60 See VIII.2(a) below.

61 *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 187; *Azurix v Argentina*, Award, 14 July 2006, para 408; *Impregilo v Argentina*, Award, 21 June 2011, para 334; *Roussalis v Romania*, Award, 7 December 2011, para 321; *Tatneft v Ukraine*, Award, 29 July 2014, para 427.

62 *El Paso v Argentina*, Award, 31 October 2011, paras 228–231; *Oostergetel v Slovak Republic*, Final Award, 23 April 2012, para 226; *Ulysseas v Ecuador*, Final Award, 12 June 2012, para 271–272; *Arif v Moldova*, Award, 8 April 2013, para 505; *Mamidoil v Albania*, Award, 30 March 2015, paras 819–820.

63 *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010.

64 At para 296.

65 See VIII.3 below.

66 NAFTA Article 1105; USMCA 14.6.(1).

67 *SD Myers v Canada*, First Partial Award, 13 November 2000, para 263; *Mondev v United States*, Award, 11 October 2002, para 127; *Waste Management v Mexico II*, Award, 30 April 2004, para 98; *Eli Lilly v Canada*, Final Award, 16 March 2017, para 418.

68 See *CMS v Argentina*, Award, 12 May 2005, para 290; *Impregilo v Pakistan*, Decision on Jurisdiction, 22 April 2005, para 264 et seq; *MTD v Chile*, Award, 25 May 2004, para 196; *Noble Ventures v Romania*, Award, 12 October 2005, para 182; *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 460; *PSEG v Turkey*, Award, 19 January 2007, para 261; *MCI v Ecuador*, Award, 31 July 2007, paras 366–367, 371; *Rumeli v Kazakhstan*, Award, 29 July 2008, paras 679–681; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, paras 259, 356–357, 418; *AES v Kazakhstan*, Award, 1 November 2013, para 329; *Quiborax v Bolivia*, Award, 16 September 2015, para 292; *Oxus v Uzbekistan*,

Tribunals applying the FET standards have examined whether measures taken by the host State were reasonable,[69] proportionate,[70] and non-discriminatory.[71]

Other tribunals have examined compliance with the standards of FET and unreasonable or discriminatory treatment separately.[72] Although there is often no explicit discussion of the relationship of the two concepts, their sequential and separate treatment in awards indicates that the tribunals regarded them as distinct standards.

The Tribunal in *Duke Energy v Ecuador*[73] had to interpret a provision in the Ecuador–US BIT that afforded protection against impairment by arbitrary or discriminatory measures. The respondent argued that this was part of the FET standard. The Tribunal disagreed and said:

> In view of the structure of the provisions of the BIT, the Tribunal has difficulty following Ecuador's argument that there is only one concept of fair and equitable treatment which encompasses a non-impairment notion. The Tribunal will thus make a separate determination to decide whether the contested measures were arbitrary … [74]

Final Award, 17 December 2015, paras 323, 785; *Philip Morris v Uruguay*, Award, 8 July 2016, para 445; *Devas v India*, Award on Jurisdiction and Merits, 25 July 2016, para 480; *Antaris v Czech Republic*, Award, 2 May 2018, para 360; *Greentech v Spain*, Final Award, 14 November 2018, para 412; *Urbaser v Argentina*, Award, 8 December 2016, paras 1080, 1081; *Eskosol v Italy*, Award, 4 September 2020, paras 487–488.

[69] *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 309; *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 692; *Cargill v Mexico*, Award, 18 September 2009, paras 291–293; *Unglaube v Costa Rica*, Award, 16 May 2012, paras 246–247; *Philip Morris v Uruguay*, Award, 8 July 2016, paras 410, 418–420; *RREEF v Spain*, Decision on Responsibility and on the Principles of Quantum, 30 November 2018, paras 463–464; *Belenergia v Italy*, Award, 6 August 2019, paras 601–606; *Watkins v Spain*, Award, 21 January 2020, 595–603.

[70] *Tecmed v Mexico*, Award, 29 May 2003, paras 122, 149; *Total v Argentina*, Decision on Liability, 27 December 2010, para 123; *Occidental Petroleum v Ecuador*, Award, 5 October 2012, paras 402–452; *AES v Kazakhstan*, Award, 1 November 2013, paras 403–412; *Electrabel v Hungary*, Award, 25 November 2015, paras 165–166, 179; *Charanne v Spain*, Award, 21 January 2016, paras 514–540; *Marfin v Cyprus*, Award, 26 July 2018, para 1213; *Stadtwerke München v Spain*, Award, 2 December 2019, para 354; *BayWa v Spain*, Decision on Jurisdiction, Liability and Directions on Quantum, 2 December 2019, paras 497–515; *RWE v Spain*, Decision on Jurisdiction, Liability, and Certain Issues of Quantum, 30 December 2019, paras 550–600; *Eskosol v Italy*, Award, 4 September 2020, paras 384–415.

[71] *Eureko v Poland*, Partial Award, 19 August 2005, para 233; *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 602; *Tatneft v Ukraine*, Award on the Merits, 29 July 2014, para 408.

[72] *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, paras 159–166; *Lauder v Czech Republic*, Award, 3 September 2001, paras 214–288; *Genin v Estonia*, Award, 25 June 2001, paras 368–371; *Noble Ventures v Romania*, Award, 12 October 2005, paras 175–180; *Azurix v Argentina*, Award, 14 July 2006, paras 385–393; *LG&E v Argentina*, Decision on Liability, 3 October 2006, paras 162–163; *Siemens v Argentina*, Award, 6 February 2007, paras 310–321; *BG Group v Argentina*, Final Award, 24 December 2007, para 342; *Biwater Gauff v Tanzania*, Award, 24 July 2008, paras 586–676; *Plama v Bulgaria*, Award, 27 August 2008, para 184; *El Paso v Argentina*, Award, 31 October 2011, para 231; *Arif v Moldova*, Award, 8 April 2013, para 515; *Valores Mundiales v Venezuela*, Award, 25 July 2017, para 609; *Krederi v Ukraine*, Award, 2 July 2018, paras 670–672.

[73] *Duke Energy v Ecuador*, Award, 18 August 2008, paras 367–383.

[74] At para 377.

Tribunals have also emphasized the independence of the FET standard from the national treatment standard.[75] There is no doubt that the FET standard is meant as a rule of international law and is not determined by the laws of the host State. The FET standard may be violated even if the foreign investor receives the same treatment as investors of the host State's nationality.[76] In the same way, an investor may have been treated unfairly and inequitably even if it is unable to benefit from a most-favoured-nation (MFN) clause because it cannot show that investors of other nationalities have received better treatment.

In *Flemingo v Poland*,[77] the Tribunal rejected an argument that would have reduced FET to MFN and national treatment. The Tribunal said:

> Respondent is not correct when it argues that 'fair and equitable treatment' boils down to treating foreign investors the same way as domestic and other foreign investors … Equal treatment with domestic and other foreign entities is another specific standard … It is not because the host State would treat all investors – domestic as well as foreign – in the same way that such treatment could not be unfair or inequitable.[78]

Despite a tendency of some tribunals to merge the FET standard with other standards of protection, there are weighty arguments in favour of treating them as conceptually separate. There is no good reason why treaty drafters would use different terms when they mean one and the same thing. It is also difficult to see why one standard should be part of the other when the text of the treaties lists them sequentially without indicating that one is merely an emanation of the other. Of course, there may be considerable overlap and a particular set of facts may well violate both FET and another standard, but this is no reason not to examine claims based on different standards separately.

(f) Fair and equitable treatment and customary international law

Considerable debate has surrounded the question of whether the FET standard merely reflects the international minimum standard, as contained in customary international law,[79] or offers an autonomous standard that is additional to general

75 *Genin v Estonia*, Award, 25 June 2001, para 367; *SD Myers v Canada*, First Partial Award, 13 November 2000, para 259; *CME v Czech Republic*, Partial Award, 13 September 2001, para 611; *UPS v Canada*, Award on Jurisdiction, 22 November 2002, para 80; *El Paso v Argentina*, Award, 31 October 2011, para 337.

76 On a possible violation of the FET standard through the host State's failure to apply its own law see VIII.1(g)ff below.

77 *Flemingo v Poland*, Award, 12 August 2016.

78 At para 531.

79 See I.1(b) above.

international law. As a matter of textual interpretation, it seems implausible that a treaty would refer to a well-known concept like the 'minimum standard of treatment in customary international law' by using the expression 'fair and equitable treatment'. If the parties to a treaty want to refer to customary international law, one would assume that they will refer to it as such rather than using a different term.[80]

Commentators have expressed the view that FET constitutes an independent treaty standard that goes beyond a mere restatement of customary international law.[81] Prominent among the supporters of an independent concept of fair and equitable treatment is *FA Mann*. Writing about British BITs in 1981 he said:

> It is submitted that nothing is gained by introducing the conception of a minimum standard and, more than this, it is positively misleading to introduce it. The terms 'fair and equitable treatment' envisage conduct which goes far beyond the minimum standard and afford protection to a greater extent and according to a much more objective standard than any previously employed form of words. A tribunal would not be concerned with a minimum, maximum or average standard. It will have to decide whether in all circumstances the conduct in issue is fair and equitable or unfair and inequitable. No standard defined by other words is likely to be material. The terms are to be understood and applied independently and autonomously.[82]

The contrary opinion has also been expressed. The Notes and Comments to the OECD Draft Convention on the Protection of Foreign Property of 1967 indicate that the FET standard is set by customary international law.[83]

The European Parliament, in a resolution adopted in 2011, stated that in investment agreements to be concluded by the EU, FET should be 'defined on the basis of the level of treatment established by international customary law'.[84] The CETA does not, however, contain such a definition. Instead, it contains a definition based on some of the typical elements of FET developed by tribunal practice.[85]

[80] *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 591; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, para 418.

[81] R Dolzer and M Stevens, *Bilateral Investment Treaties* (1995) 60; PT Muchlinski, *Multinational Enterprises and the Law* (1999) 626; UNCTAD Series on issues in international investment agreements, Fair and Equitable Treatment (1999) 13, 17, 37–40, 53, 61; S Vasciannie, 'The Fair and Equitable Treatment Standard in International Investment Law and Practice' (1999) 70 *BYIL* 99, 104/105, 139; I Tudor, *The Fair and Equitable Treatment Standard in International Law of Foreign Investment* (2008) 54.

[82] FA Mann, 'British Treaties for the Promotion and Protection of Investments' (1981) 52 *BYIL* 241, 244.

[83] (1968) 7 ILM 118, 120. See also a comment by the Swiss Foreign Office of 1979 in (1980) 36 *Annuaire suisse de droit international* 178.

[84] European Parliament Resolution of 6 April 2011 on the Future European International Investment Policy, para 19.

[85] Article 8.10 (2) CETA.

The starting point for an examination of the relationship to customary international law must be the exact wording of the treaty clauses providing for FET. These clauses provide in varying degrees for a linkage with customary international law. Some treaties simply prescribe 'fair and equitable treatment' without a reference to customary international law. German, Dutch, Swedish, and Swiss BITs generally follow this pattern.

Some treaties state that FET is to be afforded 'in accordance with international law'.[86] The French Model Treaty provides that the States parties 'shall extend fair and equitable treatment in accordance with the principles of International Law'. Some treaties state that FET must in no case provide for less protection than the rules of international law. Yet another version lists FET in addition to the rules of international law.

Other clauses dealing with FET treat the standard as an element of the general rules of international law. Article 1105 of NAFTA treats FET as part of international law. That provision reads as follows:

> **Article 1105: Minimum Standard of Treatment**
> 1. Each Party shall accord to investments of investors of another Party treatment in accordance with international law, including fair and equitable treatment and full protection and security.

This provision has been the subject of an official interpretation by the NAFTA Free Trade Commission (FTC), a body composed of representatives of the three States parties with the power to adopt binding interpretations.[87] The FTC interpretation stated that Article 1105(1) reflects the customary international law minimum standard and does not require treatment in addition to or beyond that which is required by customary international law.[88] NAFTA tribunals have accepted the FTC interpretation.[89]

The subsequent treaty practice of the United States[90] and of Canada[91] has followed the FTC interpretation. The US Model BITs of 2004 and 2012 offer the

[86] *Koch v Venezuela*, Award, 30 October 2017, para 8.44.
[87] Article 1131 (2) NAFTA.
[88] FTC Note of Interpretation of 31 July 2001.
[89] *Pope & Talbot v Canada*, Award on Damages, 31 May 2002, paras 17–69; *Mondev v United States*, Award, 11 October 2002, paras 100 et seq; *UPS v Canada*, Award on Jurisdiction, 22 November 2002, para 97; *ADF v United States*, Award, 9 January 2003, paras 175–178; *Loewen v United States*, Award, 26 June 2003, paras 124–128; *Waste Management v Mexico II*, Award, 30 April 2004, paras 90–91; *Methanex v United States*, Final Award on Jurisdiction and Merits, 3 August 2005, IV, C, paras 17–24; *Thunderbird v Mexico*, Award, 26 January 2006, paras 192, 193; *Glamis Gold v United States*, Award, 8 June 2009, para 599; *Chemtura v Canada*, Award, 2 August 2010, para 121; *Grand River v United States*, Award, 12 January 2011, paras 173–176, 214; *Mesa Power v Canada*, Award, 24 March 2016, para 503; *Vento v Mexico*, Award, 6 July 2020, paras 276–284. See also *Mexico v Metalclad*, Review by British Columbia Supreme Court, 2 May 2001, 5 ICSID Reports (2002) 236, paras 61–65.
[90] See Article 10.4, Chile–United States FTA of 2003; Article 5, United States–Uruguay BIT of 2004.
[91] Article 5, Canada Model FIPA.

clarification that FET does not go beyond the standard afforded by the minimum standard of treatment under customary international law.[92]

This practice was carried over into the USMCA. It provides for 'treatment in accordance with customary international law, including fair and equitable treatment and full protection and security' and adds the following explanation:

> For greater certainty, paragraph 1 prescribes the customary international law minimum standard of treatment of aliens as the standard of treatment to be afforded to covered investments. The concepts of 'fair and equitable treatment' and 'full protection and security' do not require treatment in addition to or beyond that which is required by that standard, and do not create additional substantive rights.[93]

The authority of this practice, equating FET with the international minimum standard under customary international law, is of limited relevance for the interpretation of other treaties. Arbitral tribunals applying treaties that do not contain statements about the relationship of FET to customary international law have tended to interpret the relevant provisions autonomously based on their respective wording.[94] Even in cases where the applicable provisions on FET did refer to international law, tribunals have given these provisions independent meaning.[95] Some of these tribunals have, however, found that FET does not differ from the international minimum standard required by international law.[96]

In *Azurix v Argentina*,[97] the Tribunal had to interpret Article II(2) of the Argentina–US BIT guaranteeing FET and full protection and security. The

[92] Article 5(2), US Model BIT 2012.

[93] Article 14.6 (2), USMCA.

[94] *MTD v Chile*, Award, 25 May 2004, paras 110–112; *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, paras 188–190; *Saluka v Czech Republic*, Partial Award, 17 March 2006, paras 286–295; *Enron v Argentina*, Award, 22 May 2007, para 258; *Sempra v Argentina*, Award, 28 September 2007, para 302; *OKO Pankki v Estonia*, Award, 19 November 2007, paras 217–230; *Ares v Georgia*, Award, 26 February 2008, para 9.3.3; *Continental Casualty v Argentina*, Award, 5 September 2008, para 254; *National Grid v Argentina*, Award, 3 November 2008, paras 167–173; *Bayindir v Pakistan*, Award, 27 August 2009, para 164; *Total v Argentina*, Decision on Liability, 27 December 2010, paras 125–127; *Inmaris Perestroika v Ukraine*, Award, 1 March 2012, para 265; *Cervin v Costa Rica*, Award, 7 March 2017, paras 452 et seq; *Valores Mundiales v Venezuela*, Award, 25 July 2017, para 530; *Belenergia v Italy*, Award, 6 August 2019, para 568.

[95] *Tecmed v Mexico*, Award, 29 May 2003, para 155; *Enron v Argentina*, Award, 22 May 2007, para 258; *Sempra v Argentina*, Award, 28 September 2007, para 302; *Cargill v Poland*, Final Award, 29 February 2008, para 453; *Continental Casualty v Argentina*, Award, 5 September 2008, para 254; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, paras 247–255; *Liman Caspian v Kazakhstan*, Award, 22 June 2010, para 263; *Total v Argentina*, Decision on Liability, 27 December 2010, paras 125–127; *Perenco v Ecuador*, Decision on Remaining Issues of Jurisdiction and on Liability, 12 September 2014, para 557; *Crystallex v Venezuela*, Award, 4 April 2016, paras 530–538.

[96] *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, paras 189–190; *CMS v Argentina*, Award, 12 May 2005, paras 282–284; *AMTO v Ukraine*, Final Award, 26 March 2008, para 74; *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 592; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 611; *Duke Energy v Ecuador*, Award, 18 August 2008, paras 332–337; *El Paso v Argentina*, Award, 31 October 2011, paras 331–337; *Unión Fenosa v Egypt*, Award, 31 August 2018, para 9.51.

[97] *Azurix v Argentina*, Award, 14 July 2006.

provision adds that investments shall 'in no case be accorded treatment less than that required by international law'. The Tribunal said:

> The clause, as drafted, permits to interpret fair and equitable treatment and full protection and security as higher standards than required by international law. The purpose of the third sentence is to set a floor, not a ceiling, in order to avoid a possible interpretation of these standards below what is required by international law.[98]

In *Vivendi v Argentina*,[99] the applicable BIT provided for 'fair and equitable treatment according to the principles of international law'. The Tribunal found that there was no basis for the view that FET was limited to the international minimum standard and that such an interpretation would run counter to the text's ordinary meaning.[100] The Tribunal said:

> Article 3 refers to fair and equitable treatment *in conformity* with the principles of international law, and not to the minimum standard of treatment… The Tribunal sees no basis for equating principles of international law with the minimum standard of treatment. First, the reference to principles of international law supports a broader reading that invites consideration of a wider range of international law principles than the minimum standard alone. Second, the wording of Article 3 requires that the fair and equitable treatment *conform* to the principles of international law, but the requirement for conformity can just as readily set a floor as a ceiling on the Treaty's fair and equitable treatment standard.[101]

There are growing doubts about the relevance of this debate.[102] Tribunals have indicated that the difference between the treaty standard of FET and the customary minimum standard 'when applied to the specific facts of a case, may well be more apparent than real'.[103] The Tribunal in *El Paso v Argentina* has pointed out that the discussion was somewhat futile, seeing that the content of the international minimum standard is 'as little defined as the BIT's FET standard'.[104]

98 At para 361.

99 *Vivendi v Argentina*, Resubmitted Case: Award, 20 August 2007.

100 At para 7.4.5.

101 At paras 7.4.6, 7.4.7. Italics original. Footnote omitted.

102 See SW Schill, 'Fair and Equitable Treatment, the Rule of Law, and Comparative Public Law' in SW Schill (ed) *International Investment Law and Comparative Public Law* (2010) 152.

103 *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 291. See also *Azurix v Argentina*, Award, 14 July 2006, para 361, 364; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 611; *Impregilo v Argentina*, Award, 21 June 2011, paras 287–289; *ECE v Czech Republic*, Award, 19 September 2013, para 4.754; *Murphy v Ecuador II*, Partial Final Award, 6 May 2016, para 206; *Rusoro v Venezuela*, Award, 22 August 2016, para 520; *Gosling v Mauritius*, Award, 18 February 2020, para 243.

104 *El Paso v Argentina*, Award, 31 October 2011, para 335. See also *MNSS v Montenegro*, Award, 4 May 2016, para 326; *Devas v India*, Award on Jurisdiction and Merits, 25 July 2016, para 456.

Depending on the specific wording of a particular treaty, FET may well overlap with or even be identical to the minimum standard required by international law. The fact that the host State has breached a rule of international law may be evidence of a violation of the fair and equitable standard,[105] but this is not the only conceivable form of its breach.

The emphasis on linkages between FET and customary international law is unlikely to restrain the evolution of the FET standard. On the contrary, this may well have the effect of accelerating the development of customary law through the rapidly expanding practice on FET clauses in treaties.[106] The Tribunal in *Chemtura v Canada*[107] said in this respect:

> the Tribunal notes that it is not disputed that the scope of Article 1105 of NAFTA must be determined by reference to customary international law. Such determination cannot overlook the evolution of customary international law, nor the impact of BITs on this evolution… in determining the standard of treatment set by Article 1105 of NAFTA, the Tribunal has taken into account the evolution of international customary law as a result *inter alia* of the conclusion of numerous BITs providing for fair and equitable treatment.[108]

The Tribunal in *Merrill & Ring v Canada* went one step further and stated that FET had become part of customary international law:

> A requirement that aliens be treated fairly and equitably in relation to business, trade and investment is the outcome of this changing reality and as such it has become sufficiently part of widespread and consistent practice so as to demonstrate that it is reflected today in customary international law as *opinio juris*.[109]

A related question is the substance of the international minimum standard for the treatment of foreigners under customary international law.[110] The historical starting point for this debate is often seen in the *Neer* case of 1926.[111] The case did not concern an investment but the murder of a US citizen in Mexico. The charge

[105] *SD Myers v Canada*, First Partial Award, 13 November 2000, para 264: 'the fact that a host Party has breached a rule of international law that is specifically designed to protect investors will tend to weigh heavily in favour of finding a breach of Article 1105'.

[106] R Dolzer and A von Walter, 'Fair and Equitable Treatment and Customary Law—Lines of Jurisprudence' in F Ortino et al (eds) *Investment Treaty Law: Current Issues* (2007) 99; I Tudor, *The Fair and Equitable Treatment Standard in International Law of Foreign Investment* (2008) 83.

[107] *Chemtura v Canada*, Award, 2 August 2010.

[108] At paras 121, 236.

[109] *Merrill & Ring v Canada*, Award, 31 March 2010, para 210.

[110] See I.1(b) above.

[111] *Neer v Mexico*, Opinion, United States–Mexico General Claims Commission, 15 October 1926, (1927) 21 *AJIL* 555; 4 RIAA 60.

was that the Mexican authorities had shown a lack of diligence in investigating and prosecuting the crime. The Commission said:

> the treatment of an alien, in order to constitute an international delinquency, should amount to an outrage, to bad faith, to wilful neglect of duty, or to an insufficiency of governmental action so far short of international standards that every reasonable and impartial man would readily recognize its insufficiency.[112]

The Commission found that the facts did not show such a lack of diligence as would render Mexico liable and dismissed the claim.

Respondent States in investment cases have frequently invoked *Neer.* Although some tribunals have relied on *Neer*,[113] most investment tribunals have rejected the high threshold for a violation of international law formulated there and have pointed out that the international minimum standard was an evolving concept.[114] The NAFTA Tribunal, in *Merrill & Ring*, clearly distanced itself from any undifferentiated reliance on *Neer*:

> the Tribunal finds that the applicable minimum standard of treatment of investors is found in customary international law and that, except for cases of safety and due process, today's minimum standard is broader than that defined in the *Neer* case and its progeny.[115]

Similarly, in *ADF v United States*,[116] the Tribunal found:

> that the customary international law referred to in Article 1105(1) [of NAFTA] is not 'frozen in time' and that the minimum standard of treatment does evolve. . . . what customary international law projects is not a static photograph of the

[112] At 556.

[113] *Glamis Gold v United States*, Award, 8 June 2009, paras 598–627; *Cargill v Mexico*, Award, 18 September 2009, paras 272–288.

[114] *Pope & Talbot v Canada*, Award on the Merits, 10 April 2001, para 118; *Pope & Talbot v Canada*, Award in respect of Damages, 31 May 2002, paras 63, 64; *Mondev v United States*, Award, 11 October 2002, paras 116, 123, 125, 127; *GAMI v Mexico*, Award, 15 November 2004, para 95; *Eureko v Poland*, Partial Award, 19 August 2005, para 234; *Thunderbird v Mexico*, Award, 26 January 2006, para 194; *Azurix v Argentina*, Award, 14 July 2006, paras 365–368; *LG&E v Argentina*, Decision on Liability, 3 October 2006, para 123; *Vivendi v Argentina*, Resubmitted Case: Award, 20 August 2007, para 7.4.7., note 325; *Merrill & Ring v Canada*, Award, 31 March 2010, paras 195–213; *Ulysseas v Ecuador*, Final Award, 12 June 2012, para 245; *Railroad Development v Guatemala*, Award, 29 June 2012, para 218; *Gold Reserve v Venezuela*, Award, 22 September 2014, para 567; *von Pezold v Zimbabwe*, Award, 28 July 2015, para 546; *Tatneft v Ukraine*, Award on the Merits, 29 July 2014, para 392; *Philip Morris v Uruguay*, Award, 8 July 2016, para 319; *Devas v India*, Award on Jurisdiction and Merits, 25 July 2016, para 457; *Mesa Power v Canada*, Award, 24 March 2016, paras 495–500; *Crystallex v Venezuela*, Award, 4 April 2016, paras 534–536; *Urbaser v Argentina*, Award, 8 December 2016, para 605; *Anglo American v Venezuela*, Award, 18 January 2019, para 442.

[115] *Merrill & Ring v Canada*, Award, 31 March 2010, para 213.

[116] *ADF v United States*, Award, 9 January 2003.

> minimum standard of treatment of aliens as it stood in 1927 when the Award in the *Neer* case was rendered. For both customary international law and the minimum standard of treatment of aliens it incorporates, are constantly in a process of development.[117]

(g) Specific applications of the fair and equitable treatment standard

Broad definitions or descriptions are not the only way to gauge the meaning of a concept such as FET. Another method is to identify typical factual situations to which this principle has been applied.[118] The practice of tribunals shows several principles that fall under the standard of FET. The cases discussed below demonstrate that stability, transparency, and the investor's legitimate expectations play a central role in the understanding of the FET standard. Other contexts in which the standard has been applied concern compliance with contractual obligations, procedural propriety, action in good faith, freedom from coercion and harassment, and observance of the host State's law.

aa. Stability and consistency

Predictability is a cornerstone of investment protection. The idea is to reduce political risk by making investments more calculable. This applies not only to the stability of the legal framework under which the investor operates but also to the uniform application of legal rules. Whereas stability primarily relates to the quality of the host State's legal framework, consistency refers to the application of these legal rules by the administrative and judicial organs of the host State.

Some treaties link stability to FET[119] or list stability side by side with FET.[120] But even without an explicit reference to stability, tribunals have regarded it as an essential element of FET. The Tribunal in *Total v Argentina*[121] expressed the importance of stability in the following terms:

> stability, predictability and consistency of legislation and regulation are important for investors in order to plan their investments, especially if their business plans extend over a number of years. Competent authorities of States entering into BITs

[117] At para 179.

[118] See also K Yannaca-Small, 'Fair and Equitable Treatment Standard' in K Yannaca-Small (ed) *Arbitration under International Investment Agreements* (2010) 393; SW Schill, 'Fair and Equitable Treatment, the Rule of Law, and Comparative Public Law' in SW Schill (ed) *International Investment Law and Comparative Public Law* (2010) 159.

[119] See Preamble Argentina–US BIT (1991): 'Agreeing that fair and equitable treatment of investment is desirable in order to maintain a stable framework for investment.'

[120] Article 10(1) ECT.

[121] *Total v Argentina*, Decision on Liability, 27 December 2010.

> in order to promote foreign investment in their economy should be aware of the importance for the investors that a legal environment favourable to the carrying out of their business activities be maintained.[122]

Tribunals have found that the investor may rely on the legal framework under which it makes the investment.[123] The Tribunal in *Eiser v Spain*[124] held that the stability element of FET can be breached through regulatory changes. The tribunal said:

> fair and equitable treatment does protect investors from a fundamental change to the regulatory regime in a manner that does not take account of the circumstances of existing investments made in reliance on the prior regime.[125]

Numerous other tribunals have referred to the importance of stability of the host State's legal framework in the application of the FET standard.[126]

The investor's right to stability, however, is not absolute. Tribunals have stressed that the host State's right to regulate domestic matters in the public interest has to be taken into consideration. Therefore, the need for stability does not mean that the host State is deprived of every opportunity to adapt its legal system to changed circumstances.[127] The Tribunal in *EDF v Romania*[128] said in this respect:

> The idea that legitimate expectations, and therefore FET, imply the stability of the legal and business framework, may not be correct if stated in an overly-broad and unqualified formulation. The FET might then mean the virtual freezing of the legal regulation of economic activities, in contrast with the State's normal regulatory power and the evolutionary character of economic life. Except where specific

[122] At para 114.

[123] See also the decision in *Tecmed v Mexico*, Award, 29 May 2003, para 154, quoted at VIII.1(d) above.

[124] *Eiser v Spain*, Award, 4 May 2017.

[125] At para 363. See also para 382.

[126] *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, paras 183–184; *CMS v Argentina*, Award, 12 May 2005, para 274–276; *LG&E v Argentina*, Decision on Liability, 3 October 2006, para 124; *Sempra v Argentina*, Award, 28 September 2007, para 300; *BG Group v Argentina*, Final Award, 24 December 2007, para 307; *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005, para 239; *Plama v Bulgaria*, Award, 27 August 2008, para 173; *Merrill & Ring v Canada*, Award, 31 March 2010, para 232; *Unglaube v Costa Rica*, Award, 16 May 2012, para 248.

[127] *Parkerings v Lithuania*, Award, 11 September 2007, paras 332–338; *BG Group v Argentina*, Final Award, 24 December 2007, para 298; *Plama v Bulgaria*, Award, 27 August 2008, para 219; *Continental Casualty v Argentina*, Award, 5 September 2008, paras 258; *AES v Hungary*, Award, 23 September 2010, paras 9.3.27–9.3.35; *Paushok v Mongolia*, Award on Jurisdiction and Liability, 28 April 2011, para 302; *Impregilo v Argentina*, Award, 21 June 2011, paras 290–291; *Ulysseas v Ecuador*, Final Award, 12 June 2012, paras 240– 256; *TECO v Guatemala*, Award, 19 December 2013, para 629; *Mobil & Murphy v Canada*, Decision on Liability and on Principles of Quantum, 22 May 2012, para 153; *Levy v Peru*, Award, 26 February 2014, para 319; *Mamidoil v Albania*, Award, 30 March 2015, paras 614, 617; *Teinver v Argentina*, Award, 21 July 2017, para 668.

[128] *EDF v Romania*, Award, 8 October 2009.

> promises or representations are made by the State to the investor, the latter may not rely on a bilateral investment treaty as a kind of insurance policy against the risk of any changes in the host State's legal and economic framework. Such expectation would be neither legitimate nor reasonable.[129]

Therefore, investors are not protected against every unfavourable change in the law but only against fundamental changes of the regulatory framework under which they operate. What matters is whether measures exceed normal regulatory powers and fundamentally modify the regulatory framework for the investment beyond an acceptable margin of change.[130] In the words of the Tribunal in *RREEF v Spain*:[131]

> Stability is not an absolute concept; absent a clear stabilization clause, it does not equate with immutability… However, the obligation to create a stable environment certainly excludes any unpredictable radical transformation in the conditions of the investments.[132]

In deciding between the investor's right to stability and the State's right to regulate, tribunals have balanced the investor's legitimate expectations against the State's duty to act in the public interest.[133]

For a foreign investor it is important not only that the law displays a certain degree of stability but also that the law is applied by the courts and administrative agencies coherently and consistently and hence in a predictable fashion. Contradictory and inconsistent action by State authorities undermines the ability of the investor to plan effectively.

Tribunals have found that inconsistent behaviour of the host State's organs may amount to a violation of the FET standard.[134] In *MTD v*

[129] At para 217.

[130] *El Paso v Argentina*, Award, 31 October 2011, para 402; *Toto v Lebanon*, Award, 7 June 2012, para 244; *Charanne v Spain*, Award, 21 January 2016, para 517; *Philip Morris v Uruguay*, Award, 8 July 2016, para 423; *Eiser v Spain*, Award, 4 May 2017, para 363; *Novenergia II v Spain*, Final Award, 15 February 2018, para 656; *Masdar v Spain*, Award, 16 May 2018, para 484; *Antin v Spain*, Award, 15 June 2018, para 531; *Foresight v Spain*, Final Award, 14 November 2018, paras 359, 397–398; *RWE v Spain*, Decision on Jurisdiction, Liability and Certain Issues of Quantum, 30 December 2019, paras 610–612.

[131] *RREEF v Spain*, Decision on Responsibility and on the Principles of Quantum, 30 November 2018.

[132] At para 315.

[133] *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 306; *Plama v Bulgaria*, Award, 27 August 2008, para 177; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 273; *Total v Argentina*, Decision on Liability, 27 December 2010, paras 123–124, 162, 309, 429; *El Paso v Argentina*, Award, 31 October 2011, para 358; *EDF v Argentina*, Award, 11 June 2012, para 1005; *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 7.77; *Arif v Moldova*, Award, 8 April 2013, para 537; *Micula v Romania I*, Award, 11 December 2013, para 529; *Perenco v Ecuador*, Decision on Remaining Issues of Jurisdiction and on Liability, 12 September 2014, para 560; *Urbaser v Argentina*, Award, 8 December 2016, paras 622–623; *Antaris v Czech Republic*, Award, 2 May 2018, para 360(9); *Greentech v Italy*, Final Award, 23 December 2018, para 454; *Stadtwerke München v Spain*, Award, 2 December 2019, para 264.

[134] *Lauder v Czech Republic*, Final Award, 3 September 2001, para 290; *EnCana v Ecuador*, Award, 3 February 2006, para 158; *PSEG v Turkey*, Award, 19 January 2007, para 249; *Binder v Czech Republic*, Final Award, 15 July 2011, para 446; *Arif v Moldova*, Award, 8 April 2013, para 547(b); *Crystallex v*

Chile,[135] the Foreign Investment Commission (FIC), a Chilean government body, had signed a contract approving the investment. After the investors had invested into the project, they were informed that the land they had acquired for the project would not be re-zoned on the grounds that it would be inconvenient and contrary to Chilean law. The Tribunal found that approval of a project in a location gave the investor a prima facie expectation that the project was feasible. The Tribunal emphasized:

> the inconsistency of action between two arms of the same Government vis-à-vis the same investor even when the legal framework of the country provides for a mechanism to coordinate… Chile also has an obligation to act coherently and apply its policies consistently, independently of how diligent an investor is. Under international law … the State of Chile needs to be considered by the Tribunal as a unit… approval of an investment by the FIC for a project that is against the urban policy of the Government is a breach of the obligation to treat an investor fairly and equitably.[136]

bb. Legitimate expectations

The investor's legitimate expectations are a central concept in the application of the FET standard. It may be described as the protection of reliance on the position taken by a public authority. The concept of legitimate expectations is not a creation of international law but stems from a variety of legal systems[137] and is based on a general principle of law.

Tribunals have pointed to the dominant role of legitimate expectations for FET in international investment law.[138] The investor's legitimate expectations are based on the host State's legal framework and on any undertakings and representations made explicitly or implicitly by the host State.[139] The regulatory framework on

Venezuela, Award, 4 April 2016, para 579; *Garanti Koza v Turkmenistan*, Award, 19 December 2016, paras 381–382; *Olin v Libya*, Final Award, 25 May 2018, para 347; *Glencore v Colombia*, Award, 27 August 2019, paras 1419–1420.

135 *MTD v Chile*, Award, 25 May 2004.

136 At paras 163, 165, 166.

137 *Thunderbird v Mexico*, Arbitral Award, 26 January 2006, Separate Opinion Thomas Wälde, 1 December 2005, paras 27–30; *Total v Argentina*, Decision on Liability, 27 December 2010, para 128–130.

138 *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 302; *Invesmart v Czech Republic*, Award, 26 June 2009, para 202; *EDF v Romania*, Award, 8 October 2009, para 216; *Impregilo v Argentina*, Award, 21 June 2011, para 285; *El Paso v Argentina*, Award, 31 October 2011, para 348; *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 7.75; *Mobil v Argentina*, Decision on Jurisdiction and Liability, 10 April 2013, para 927; *Novenergia II v Spain*, Final Award, 15 February 2018, para 648.

139 For early discussions of the relevance of the concept of legitimate expectations in foreign investment law, see R Dolzer 'New Foundations of the Law of Expropriation of Alien Property' (1981) 75 *AJIL* 553.

which the investor is entitled to rely consists of legislation and treaties as well as of assurances contained in decrees, licences, and similar executive statements.[140] Explicit representations and specific assurances play a central role in the creation of legitimate expectations.[141] Explicit undertakings and representations made by the host State are the strongest basis for legitimate expectations.[142] In the renewable energy cases against Spain, tribunals have increasingly looked for the existence of explicit assurances on the part of the host State.[143]

A reversal of assurances by the host State that have led to legitimate expectations will be contrary to good faith and violate the FET principle.[144] Mere political statements, however, will not create legitimate expectations.[145]

Despite the reference to 'expectations', the test is not subjective or psychological but depends on objective facts. Legitimate expectations are what a prudent investor would have anticipated. Tribunals discussing legitimate expectations do not look for the assumptions or wishes of investors but rely on the objective circumstances created by the host State, on its legal framework, and on any specific commitments made by it. It is these objectively verifiable facts that make expectations legitimate,

[140] *CMS v Argentina*, Award, 12 May 2005, para 275; *LG&E v Argentina*, Decision on Liability, 3 October 2006, para 133; *PSEG v Turkey*, Award, 19 January 2007, para 250; *Sempra v Argentina*, Award, 28 September 2007, para 303; *BG Group v Argentina*, Final Award, 24 December 2007, para 310; *National Grid v Argentina*, Award, 3 November 2008, paras 177–179; *Novenergia II v Spain*, Final Award, 15 February 2018, paras 662–667, 681, 697; *Antin v Spain*, Award, 15 June 2018, paras 532, 552. But see *Blusun v Italy*, Award, 27 December 2016, paras 371–372; *Antaris v Czech Republic*, Award, 2 May 2018, para 360(6).

[141] Article 8.10 of the CETA contains the following specification of the FET standard: '4. When applying the above fair and equitable treatment obligation, a Tribunal may take into account whether a Party made a specific representation to an investor to induce a covered investment, that created a legitimate expectation, and upon which the investor relied in deciding to make or maintain the covered investment, but that the Party subsequently frustrated.'

[142] *Eureko v Poland*, Partial Award, 19 August 2005, paras 231–234; *Parkerings v Lithuania*, Award, 11 September 2007, para 331; *OKO Pankki v Estonia*, Award, 19 November 2007, para 247; *Duke Energy v Ecuador*, Award, 18 August 2008, paras 359–364; *EDF v Romania*, Award, 8 October 2009, para 217; *Total v Argentina*, Decision on Liability, 27 December 2010, paras 117, 119–120, 131; *White Industries v India*, Final Award, 30 November 2011, para 10.3.7; *Saint-Gobain v Venezuela*, Decision on Liability and the Principles of Quantum, 30 December 2016, para 531, 535; *Unión Fenosa v Egypt*, Award, 31 August 2018, para 9.83; *Greentech v Italy*, Final Award, 23 December 2018, paras 452–453; *United Utilities v Estonia*, Award, 21 June 2019, paras 576–578; *Micula v Romania II*, Award, 5 March 2020, paras 361–362.

[143] *Charanne v Spain*, Award, 21 January 2016, paras 493, 499; *Masdar v Spain*, Award, 16 May 2018, paras 520–521; *RREEF v Spain*, Decision on Responsibility and on the Principles of Quantum, 30 November 2018, paras 320–321; *Cube v Spain*, Decision on Jurisdiction, Liability and Partial Decision on Quantum, 19 February 2019, paras 388, 397; *NextEra v Spain*, Decision on Jurisdiction, Liability and Quantum Principles, 12 March 2019, paras 587–596; *9REN v Spain*, Award, 31 May 2019, paras 292–299; *SolEs Badajoz v Spain*, Award, 31 July 2019, para 313; *InfraRed v Spain*, Award, 2 August 2019, paras 366–367, 406–436; *RWE v Spain*, Decision on Jurisdiction, Liability, and Certain Issues of Quantum, 30 December 2019, paras 453–462, 535–549; *Watkins v Spain*, Award, 21 January 2020, paras 495, 533.

[144] *Tecmed v Mexico*, Award, 29 May 2003, para 154; *Siag v Egypt*, Award, 1 June 2009, para 450; *Charanne v Spain*, Award, 21 January 2016, para 486; *Devas v India*, Award on Jurisdiction and Merits, 25 July 2016, paras 465–470.

[145] *Continental Casualty v Argentina*, Award, 5 September 2008, para 261; *El Paso v Argentina*, Award, 31 October 2011, paras 378, 395; *Mamidoil v Albania*, Award, 30 March 2015, para 643.

justified, or reasonable. These objective circumstances have a dual function: they are the origin of legitimate expectations and the evidence for them.

The Tribunal in *Suez and InterAguas v Argentina*[146] summarized this point as follows:

> When an investor undertakes an investment, a host government through its laws, regulations, declared policies, and statements creates in the investor certain expectations about the nature of the treatment that it may anticipate from the host State. The resulting reasonable and legitimate expectations are important factors that influence initial investment decisions and afterwards the manner in which the investment is to be managed.[147]
> … one must not look single-mindedly at the Claimants' subjective expectations. The Tribunal must rather examine them from an objective and reasonable point of view.[148]

Numerous other tribunals have also stressed the objective nature of legitimate expectations.[149]

At the same time, investors are under an obligation to perform a proper due diligence, that is, to inform themselves of the legal environment and general economic and political conditions in the host State before investing.[150] The investor's legitimate expectations will be reduced if there is general instability of political conditions in the country concerned.[151] Despite the host State's obligations 'it is the responsibility of the investor to assure itself that it is properly advised, particularly when investing abroad in an unfamiliar environment'.[152] The Tribunal in *Invesmart v Czech*

[146] *Suez and InterAguas v Argentina*, Decision on Liability, 30 July 2010.
[147] At para 203.
[148] At para 209.
[149] *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 304; *Glamis Gold v United States*, Award, 8 June 2009, paras 621, 627, 799; *Invesmart v Czech Republic*, Award, 26 June 2009, para 255; *El Paso v Argentina*, Award, 31 October 2011, paras 356, 358, 364; *Arif v Moldova*, Award, 8 April 2013, para 532; *Perenco v Ecuador*, Decision on Remaining Issues of Jurisdiction and on Liability, 12 September 2014, para 560; *Charanne v Spain*, Award, 21 January 2016, para 495; *Isolux v Spain*, Award, 12 July 2016, para 777; *Urbaser v Argentina*, Award, 8 December 2016, para 613; *Antin v Spain*, Award, 15 June 2018, para 538; *RREEF v Spain*, Decision on Responsibility and Principles of Quantum, 30 November 2018, paras 261, 380.
[150] *Parkerings v Lithuania*, Award, 11 September 2007, para 333; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 285; *Anderson v Costa Rica*, Award, 19 May 2010, para 58; *Isolux v Spain*, Award, 12 July 2016, para 781; *E energija v Latvia*, Award, 22 December 2017, para 837; *Novenergia II v Spain*, Final Award, 15 February 2018, para 679; *Antaris v Czech Republic*, Award, 2 May 2018, paras 432, 435; *Gavrilović v Croatia*, Award, 26 July 2018, para 986; *Zelena v Serbia*, Award, 9 November 2018, paras 98, 377; *Cube v Spain*, Decision on Jurisdiction, Liability and Partial Decision on Quantum, 19 February 2019, paras 394–396, 405–406; *SolEs Badajoz v Spain*, Award, 31 July 2019, paras 330–331; *OperaFund v Spain*, Award, 6 September 2019, paras 486–487.
[151] *Bayindir v Pakistan*, Award, 27 August 2009, paras 192–197. See also U Kriebaum, 'The Relevance of Economic and Political Conditions for the Protection under Investment Treaties' (2011) 10 *LPICT* 383.
[152] *MTD v Chile*, Award, 25 May 2004, para 164.

Republic[153] described this obligation as follows:

> the due diligence performed when the investor made its investment plays an important role in evaluating its expectation. A putative investor, especially one making an investment in a highly regulated sector such as financial services, as in the instant case, has the burden of performing its own due diligence in vetting the investment within the context of the operative legal regime.[154]

In most of these cases, tribunals seem to have presumed reliance on the host State's regulatory framework and have not examined the investor's due diligence in any detail.[155] Therefore, a lack of due diligence seems relevant only if sufficient due diligence would have led to different expectations.

The investor must convince the tribunal that in making the investment it relied on the host State's representations.[156] Therefore, the relevant time for the examination of legitimate expectations is the making of the investment. Tribunals have emphasized that the legitimate expectations of the investor will be grounded in the legal order of the host State as it stands at the time when the investor acquires the investment.[157] Tribunals have stressed that the legal framework as it existed at that time was decisive for any legitimate expectations.[158] In *National Grid v Argentina*,[159] the Tribunal said:

> this standard protects the reasonable expectations of the investor at the time it made the investment and which were based on representations, commitments or specific conditions offered by the State concerned. Thus, treatment by the State should 'not affect the basic expectations that were taken into account by the foreign investor to make the investment.'[160]

[153] *Invesmart v Czech Republic*, Award, 26 June 2009.

[154] At para 254.

[155] An exception to this observation is *RWE v Spain*, Decision on Jurisdiction, Liability, and Certain Issues of Quantum, 30 December 2019, paras 494, 497, 504–506.

[156] *Antaris v Czech Republic*, Award, 2 May 2018, para 360(3); *Olin v Libya*, Final Award, 25 May 2018, para 307.

[157] C Schreuer and U Kriebaum, 'At What Time Must Legitimate Expectations Exist?' in J Werner and AH Ali (eds) *A Liber Amicorum: Thomas Wälde. Law Beyond Conventional Thought* (2009) 265.

[158] *LG&E v Argentina*, Decision on Liability, 3 October 2006, para 130; *Enron v Argentina*, Award, 22 May 2007, para 262; *BG Group v Argentina*, Final Award, 24 December 2007, paras 297–298; *Duke Energy v Ecuador*, Award, 18 August 2008, paras 340, 365; *Jan de Nul v Egypt*, Award, 6 November 2008, para 265; *Bayindir v Pakistan*, Award, 27 August 2009, paras 190, 191; *EDF v Romania*, Award, 8 October 2009, para 219; *AES v Hungary*, Award, 23 September 2010, paras 9.3.8–9.3.18; *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, paras 287–288, 468; *Micula v Romania I*, Award, 11 December 2013, para 722; *United Utilities v Estonia*, Award, 21 June 2019, paras 606–608; *SolEs Badajoz v Spain*, Award, 31 July 2019, paras 312, 418; *RWE v Spain*, Decision on Jurisdiction, Liability and Certain Issues of Quantum, 30 December 2019, paras 482–490.

[159] *National Grid v Argentina*, Award, 3 November 2008.

[160] At para 173. Footnote omitted.

The stability of the legal framework existing at the time of the investment will be especially affected by retroactive legislation. Several tribunals have found that a violation of legitimate expectations will be compounded by retroactive measures.[161] *ATA v Jordan*[162] concerned the extinguishment of the claimant's right to arbitration. The retroactivity of the underlying Jordanian legislation constituted the ground for the breach of the FET standard. The Tribunal held:

> The retroactive effect of the Jordanian Arbitration Law, which extinguished a valid right to arbitration deprived an investor such as the Claimant of a valuable asset in violation of the Treaty's investment protections.[163]

cc. Transparency

Transparency is closely related to the protection of the investor's legitimate expectations. Transparency means that the legal framework for the investor's operations is readily apparent and that any decisions affecting the investor can be traced to that legal framework.[164] Some treaties contain specific references to transparency.[165] Tribunals have, however, found that the obligation to provide a transparent regulatory framework was part of the FET standard.[166]

In *Metalclad v Mexico*,[167] the issue of transparency played a central role. The federal government of Mexico and the state government had issued construction and operating permits for the investor's landfill project. The investor was assured that it had all the permits it needed but the municipality refused to grant a construction

[161] *Total v Argentina*, Decision on Liability, 27 December 2010, para 129; *Novenergia II v Spain*, Final Award, 15 February 2018, para 697; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, para 244; *RREEF v Spain*, Decision on Responsibility and on the Principles of Quantum, 30 November 2018, paras 328–330; *Cavalum v Spain*, Decision on Jurisdiction, Liability and Directions of Quantum, 31 August 2020, paras 417, 633–637.

[162] *ATA v Jordan*, Award, 18 May 2010.

[163] At para 126. See also para 128.

[164] *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, para 285; *Micula v Romania I*, Award, 11 December 2013, para 530.

[165] ECT Art 10(1). See *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 7.79; *RREEF v Spain*, Decision on Responsibility and on the Principles of Quantum, 30 November 2018, paras 415–416; *Greentech v Italy*, Final Award, 23 December 2018, paras 457–458; *Stadtwerke München v Spain*, Award, 2 December 2019, paras 309–315.

[166] *Maffezini v Spain*, Award, 13 November 2000, para 83; *LG&E v Argentina*, Decision on Liability, 3 October 2006, para 131; *Cargill v Poland*, Final Award, 29 February 2008, para 511, 515, 517; *Plama v Bulgaria*, Award, 27 August 2008, para 178; *Nordzucker v Poland*, Second Partial Award, 28 January 2009, paras 14, 84, 95; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 418; *Levy v Peru*, Award, 26 February 2014, paras 322, 327–328; *Gold Reserve v Venezuela*, Award, 22 September 2014, para 570; *Crystallex v Venezuela*, Award, 4 April 2016, para 579; *Bear Creek v Peru*, Award, 30 November 2017, para 523; *Olin v Libya*, Final Award, 25 May 2018, para 320; *InfraRed v Spain*, Award, 2 August 2019, paras 372, 468–475; *CMC v Mozambique*, Award, 24 October 2019, paras 421–424; *Watkins v Spain*, Award, 21 January 2020, paras 590–594; *Eskosol v Italy*, Award, 4 September 2020, paras 416–422. But see *Cargill v Mexico*, Award, 18 September 2009, para 294.

[167] *Metalclad v Mexico*, Award, 30 August 2000. See also T Weiler, 'Good Faith and Regulatory Transparency: The Story of Metalclad v. Mexico' in T Weiler (ed) *International Investment Law and Arbitration: Leading Cases* (2005) 701.

permit. The claimant complained about a lack of transparency surrounding the process. In interpreting the concept of transparency, the Tribunal said:

> The Tribunal understands this to include the idea that all relevant legal requirements for the purpose of initiating, completing and successfully operating investments made, or intended to be made, under the Agreement should be capable of being readily known to all affected investors of another Party. There should be no room for doubt or uncertainty on such matters. Once the authorities of the central government of any Party . . . become aware of any scope for misunderstanding or confusion in this connection, it is their duty to ensure that the correct position is promptly determined and clearly stated so that investors can proceed with all appropriate expedition in the confident belief that they are acting in accordance with all relevant laws.[168]

The Tribunal held that the investor was entitled to rely on the representations of the federal officials.[169] It concluded that the acts of the State and the municipality were in violation of the FET standard. The Tribunal said:

> Mexico failed to ensure a transparent and predictable framework for Metalclad's business planning and investment. The totality of these circumstances demonstrates a lack of orderly process and timely disposition in relation to an investor of a Party acting in the expectation that it would be treated fairly and justly in accordance with the NAFTA.[170]

In *Tecmed v Mexico*,[171] the dispute concerned the replacement of an unlimited licence by a licence of limited duration for the operation of a landfill. The Tribunal applied a provision in the BIT between Mexico and Spain guaranteeing FET. The Tribunal found that this provision required transparency and protection of the investor's basic expectations. The Tribunal explained that:

> The foreign investor expects the host State to act in a consistent manner, free from ambiguity and totally transparently in its relation with the foreign investor, so that it may know beforehand any and all rules and regulations that will govern its investments, as well as the goals of the relevant policies and administrative practices or directives, to be able to plan its investment and comply with such regulations.[172]

[168] At para 76.
[169] At para 89.
[170] At para 99. The Award was set aside in part by the Supreme Court of British Columbia on grounds that were peculiar to NAFTA.
[171] *Tecmed v Mexico*, Award, 29 May 2003.
[172] At para 154.

The Tribunal concluded that the investor's fair expectations were frustrated by the contradiction and uncertainty in Mexico's behaviour which was

> characterized by its ambiguity and uncertainty which are prejudicial to the investor in terms of its advance assessment of the legal situation surrounding its investment and the planning of its business activity and its adjustment to preserve its rights.[173]

In *MTD v Chile*,[174] the respondent had signed an investment contract for the construction of a planned community with the country's Foreign Investment Commission. The project failed because it turned out to be inconsistent with zoning regulations. The Tribunal found that the guarantee of FET in the BIT between Chile and Malaysia had been violated by what it described as 'the inconsistency of action between two arms of the same Government *vis-à-vis* the same investor'.[175] It went on to state that while it was the investor's duty to inform itself of the country's law and policy in principle, Chile also had an obligation to act coherently and apply its policies consistently.[176]

The duty of transparency, however, has its limits.[177] In *Micula v Romania I*,[178] the Tribunal warned of a standard of transparency that would be inappropriate and unrealistic. After referring to the statements on transparency in *Metalclad* and in *Tecmed*, it said:

> Whether a state has been unfair and inequitable by failing to be transparent with respect to its laws and regulations, or being ambiguous and inconsistent in their application, must be assessed in light of all of the factual circumstances surrounding such conduct. For example, it would be unrealistic to require Romania to be totally transparent with the general public in the context of diplomatic negotiations. The question before the Tribunal is thus not whether Romania has failed to make full disclosure of or grant full access to sensitive information; it is whether, in the event that Romania failed to do so, Romania acted unfairly and inequitably with respect to the Claimants.[179]

dd. Compliance with contractual obligations

Closely related to the issue of legitimate expectations is the question of the observance of obligations arising from contracts. Contractual agreements are the

[173] At para 172.
[174] *MTD v Chile*, Award, 25 May 2004.
[175] At para 163.
[176] At paras 165–166. Chile failed in its attempt to have this Award annulled: *MTD v Chile*, Decision on Annulment, 21 March 2007.
[177] See also *Al Tamimi v Oman*, Award, 3 November 2015, para 399.
[178] *Micula v Romania I*, Award, 11 December 2013.
[179] At para 533.

classical instrument in most, if not all, legal systems for the creation of legal stability and predictability. Therefore, *pacta sunt servanda* would seem to be an obvious application of the stability requirement that is so prominent in the FET standard. The connection between this aspect of FET and the umbrella clause[180] is evident.

In several cases dealing with the protection of the investors' legitimate expectations, these expectations were actually based on contractual arrangements with the host State. It does not, however, follow that every breach of a contract by a host State or one of its entities automatically amounts to a violation of the FET standard.

Some tribunals seemed to take the view that a failure to observe contractual obligations on the part of a government would be contrary to the FET standard.[181] The Tribunal in *Mondev v United States*[182] found it clear that the protection of FET under Article 1105(1) NAFTA extended to contract claims. The Tribunal said:

> a governmental prerogative to violate investment contracts would appear to be inconsistent with the principles embodied in Article 1105 and with contemporary standards of national and international law concerning governmental liability for contractual performance.[183]

Similarly, in *SGS v Paraguay*,[184] a case involving unpaid invoices for pre-shipment inspections, the Tribunal spoke of a 'baseline expectation of contractual compliance'. It said:

> a State's non-payment under a contract is, in the view of the Tribunal, capable of giving rise to a breach of a fair and equitable treatment requirement, such as, perhaps, where the non-payment amounts to a repudiation of the contract, frustration of its economic purpose, or substantial deprivation of its value.[185]

Some tribunals found that the existence of a contract created legitimate expectations that were protected by the FET standard.[186]

Most tribunals, however, have adopted a more restrictive approach. They have found that a simple breach of contract by a State would not trigger a violation of

[180] See VIII.6 below.

[181] Tentatively: *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, para 162; *Noble Ventures v Romania*, Award, 12 October 2005, para 182; *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, paras 144–151; *Teinver v Argentina*, Award, 21 July 2017, paras 849–851, 854–857.

[182] *Mondev v United States*, Award, 11 October 2002.

[183] At para 134.

[184] *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010.

[185] At para 146.

[186] *Continental Casualty v Argentina*, Award, 5 September 2008, para 261; *Suez and Vivendi v Argentina*, Decision on Liability, 30 July 2010, para 231; *Tulip v Turkey*, Award, 10 March 2014, para 404; *Perenco v Ecuador*, Decision on Remaining Issues of Jurisdiction and Liability, 12 September 2014, paras 562–563.

the FET standard.[187] Rather, 'a breach of FET requires conduct in the exercise of sovereign powers'.[188] Only a termination of the contract, brought about through the employment of sovereign prerogative, would lead to a violation of the FET standard.[189] The same would apply to government interference with a contract between the investor and a State entity.[190]

In *Waste Management*,[191] one of the claims concerned the failure of the City of Acapulco to make payments under a concession agreement.[192] The Tribunal did not find that this amounted to a violation of FET. It said:

> even the persistent non-payment of debts by a municipality is not to be equated with a violation of Article 1105, provided that it does not amount to an outright and unjustified repudiation of the transaction and provided that some remedy is open to the creditor to address the problem.[193]

The view that a simple breach of contract is insufficient to amount to a breach of the FET standard is clearly prevalent. But this seemingly simple test leads to further questions. The distinction between sovereign and commercial acts, which is accepted in the field of State immunity, is of unclear validity in the field of State responsibility. Also, even if the underlying relationship and the breach are clearly commercial, the motives of a government for a certain act may still be governmental.

ee. Procedural propriety and due process

Some treaties offer a separate provision guaranteeing effective means for the assertion of rights under domestic law.[194] But the bulk of the case law dealing with due process rests on the FET standard.

[187] *GAMI v Mexico*, Final Award, 15 November 2004, para 101; *Parkerings v Lithuania*, Award, 11 September 2007, paras 344–345; *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 636; *Duke Energy v Ecuador*, Award, 18 August 2008, paras 342–345, 354; *Glamis Gold v United States*, Award, 8 June 2009, para 620; *EDF v Romania*, Award, 8 October 2009, paras 238–260; *Hamester v Ghana*, Award, 18 June 2010, paras 333–338; *Hochtief v Argentina*, Decision on Liability, 29 December 2014, para 216; *MNSS v Montenegro*, Award, 4 May 2016, para 328; *Urbaser v Argentina*, Award, 8 December 2016, paras 606–607; *United Utilities v Estonia*, Award, 21 June 2019, paras 581–587.

[188] *RFCC v Morocco*, Award, 22 December 2003, paras 33–34, 51; *Bayindir v Pakistan*, Award, 27 August 2009, paras 180, 377; *Burlington v Ecuador*, Decision on Jurisdiction, 2 June 2010, para 204; *Toto v Lebanon*, Award, 7 June 2012, para 162; *BIVAC v Paraguay*, Further Decision on Objections to Jurisdiction, 9 October 2012, paras 246–247; *E energija v Latvia*, Award, 22 December 2017, para 838; *Glencore v Colombia*, Award, 27 August 2019, paras 1373–1378.

[189] *Rumeli v Kazakhstan*, Award, 29 July 2008, para 615.

[190] *Alpha v Ukraine*, Award, 8 November 2010, para 422.

[191] *Waste Management v Mexico II*, Award, 30 April 2004.

[192] At paras 108–117.

[193] At para 115. This part of the decision is cited with approval in *GAMI v Mexico*, Award, 15 November 2004, para 101.

[194] See VIII.7 below.

Fair procedure is an elementary requirement of the rule of law and a vital element of FET. Therefore, a host State is under the obligation to establish a judicial system that allows the effective exercise of the substantive rights granted to foreign investors. This does not necessarily mean that all governmental actions must be subject to judicial review. The contours of this requirement may be outlined with the help of a comparative analysis[195] and by resort to international human rights instruments.[196] Under international law, it is beyond doubt that the acts of domestic courts are attributable to the State for purposes of State responsibility.[197]

Fair procedure includes the traditional international law concept of denial of justice.[198] The Tribunal in *Azinian v Mexico*[199] gave the following description of a denial of justice:

> A denial of justice could be pleaded if the relevant courts refuse to entertain a suit, if they subject it to undue delay, or if they administer justice in a seriously inadequate way… There is a fourth type of denial of justice, namely the clear and malicious misapplication of the law.[200]

Unlike other aspects of investment protection,[201] it is generally accepted that a claim for denial of justice is conditioned on a prior exhaustion of local remedies.[202]

The US Model BIT of 2012 as well as the USMCA specifically clarify that the FET standard covers protection from denial of justice and guarantees due process. They provide that:

[195] *Total v Argentina*, Decision on Liability, 27 December 2010, para 111.

[196] *Rompetrol v Romania*, Award, 6 May 2013, paras 89(c), 168–172; *Al-Warraq v Indonesia*, Final Award, 15 December 2014, paras 556–621; *Chevron v Ecuador II*, Second Partial Award on Track II, 30 August 2018, para 8.57–8.58.

[197] See X.2(a) below.

[198] *RosInvest v Russia*, Final Award, 12 September 2010, para 279; *Binder v Czech Republic*, Final Award, 15 July 2011, para 448; *Oostergetel v Slovakia*, Final Award, 23 April 2012, para 273; *Arif v Moldova*, Award, 8 April 2013, para 442; *Philip Morris v Uruguay*, Award, 8 July 2016, paras 498–501; *Olin v Libya*, Final Award, 25 May 2018, paras 348–349, 352; *Krederi v Ukraine*, Award, 2 July 2018, paras 441–450; *Chevron v Ecuador II*, Second Partial Award on Track II, 30 August 2018, paras 8.23–8.42; *United Utilities v Estonia*, Award, 21 June 2019, paras 868–870. Generally, on denial of justice see J Paulsson, *Denial of Justice in International Law* (2005).

[199] *Azinian v Mexico*, Award, 1 November 1999.

[200] At paras 102, 103. See also *Iberdrola v Guatemala*, Award, 17 August 2012, para 432.

[201] *AES v Argentina*, Decision on Jurisdiction, 26 April 2005, para 69; *Mytilineos v Serbia & Montenegro*, Partial Award on Jurisdiction, 8 September 2006, paras 221–222.

[202] *Jan de Nul v Egypt*, Award, 6 November 2008, paras 255–261; *Chevron v Ecuador I*, Interim Award, 1 December 2008, paras 233, 235; *Pantechniki v Albania*, Award, 30 July 2009, paras 96, 102; *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, para 164; *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, para 293; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, paras 274–281; *Flughafen Zürich v Venezuela*, Award, 18 November 2014, paras 642–643; *Corona v Dominican Republic*, Award, 31 May 2016, para 248; *Bear Creek v Peru*, Award, 30 November 2017, para 205; *Krederi v Ukraine*, Award, 2 July 2018, paras 473–485; *Marfin v Cyprus*, Award, 26 July 2018, para 1272.

> 'fair and equitable treatment' includes the obligation not to deny justice in criminal, civil, or administrative adjudicatory proceedings in accordance with the principle of due process embodied in the principal legal systems of the world . . . .[203]

Tribunals have held that lack of a fair procedure, or serious procedural shortcomings, were important elements in a finding of a violation of the FET standard[204] but that 'the standard for a finding of procedural impropriety is a high one under the FET'.[205] The relevant cases relate to access to the courts, undue delays, fair procedure, and the right to be heard in judicial or administrative proceedings.

Access to the courts is a basic aspect of due process. In *Siemens v Argentina*,[206] the Tribunal found a breach of FET as a result of 'the denial of access to the administrative file for purposes of filing the appeal'.[207] Tribunals have held that the unjustified refusal of an access to justice was a denial of justice and hence a violation of the FET standard.[208]

In some cases, the claimants had complained about the length of judicial proceedings in domestic courts which, in some cases, had taken many years. The tribunals, while critical of delays, did not find that these amounted to a violation to the FET standard.[209] They cited special circumstances relating to the complexity of the issues[210] or to the political situation in the country concerned.[211] Only rarely did delays in domestic proceedings lead to a finding of a violation of FET.[212]

203 Article 5(2)(a) US Model BIT 2012; Article 14.6(2)(a) USMCA. The CETA in Article 8.10(2) provides: 'A Party breaches the obligation of fair and equitable treatment referenced in paragraph 1 if a measure or series of measures constitutes: (a) denial of justice in criminal, civil or administrative proceedings; (b) fundamental breach of due process, including a fundamental breach of transparency, in judicial and administrative proceedings . . . .'

204 *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, para 292; *Apotex v United States*, Award, 25 August 2014, paras 9.16–9.65; *Bear Creek v Peru*, Award, 30 November 2017, para 205; *Krederi v Ukraine*, Award, 2 July 2018, para 436; *Glencore v Colombia*, Award, 27 August 2019, paras 1318–1319.

205 *Belenergia v Italy*, Award, 6 August 2019, para 609. See also *Krederi v Ukraine*, Award, 2 July 2018, paras 442–448, 631.

206 *Siemens v Argentina*, Award, 6 February 2007. See also *Azinian v Mexico*, Award, 1 November 1999, para 102.

207 At para 308.

208 *AMTO v Ukraine*, Final Award, 26 March 2008, para 75; *Iberdrola v Guatemala*, Award, 17 August 2012, para 432; *Dan Cake v Hungary*, Decision on Jurisdiction and Liability, 24 August 2015, paras 143–154; *Krederi v Ukraine*, Award, 2 July 2018, paras 451–454.

209 *Roussalis v Romania*, Award, 7 December 2011, paras 602–604; *Vannessa Ventures v Venezuela*, Award, 16 January 2013, paras 226–227; *Krederi v Ukraine*, Award, 2 July 2018, paras 455–460.

210 *Jan de Nul v Egypt*, Award, 6 November 2008, paras 202–204; *White Industries v India*, Final Award, 30 November 2011, paras 10.4.10–10.4.24; *Oostergetel v Slovakia*, Final Award, 23 April 2012, para 290.

211 *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, para 165; *Olin v Libya*, Final Award, 25 May 2018, para 350.

212 *Pey Casado v Chile*, Award, 8 May 2008, paras 659–660; *Chevron v Ecuador I*, Partial Award on the Merits, 30 March 2010, para 250; *Valores Mundiales v Venezuela*, Award, 25 July 2017, para 583.

Findings that proceedings lacked procedural fairness often concerned the right to be heard.[213] In *Metalclad v Mexico*,[214] the municipality had refused to grant a construction permit. The Tribunal found that there had been a violation of the FET guarantee in Article 1105 of the NAFTA. An element in this finding was a lack of procedural propriety, specifically a failure to hear the investor:

> Moreover, the permit was denied at a meeting of the Municipal Town Council of which Metalclad received no notice, to which it received no invitation, and at which it was given no opportunity to appear.[215]

In *Middle East Cement v Egypt*,[216] one of the complaints concerned the seizure and auction of the claimant's ship without a proper notification to the owner. The Tribunal applied provisions promising FET and full protection and security in the BIT between Greece and Egypt. It found that a matter as important as the seizure and auctioning of a ship of the claimant should have been notified by a direct communication. Therefore, it found that the procedure applied did not meet the requirements of the FET and full protection and security standards.[217]

In some cases, tribunals found serious defects in the adjudicative process.[218] *Loewen v United States*[219] concerned the propriety of court proceedings in a Mississippi state court against a Canadian undertaker. The trial in Mississippi exhibited a gross failure to afford due process and to protect the investor from prejudice on account of his nationality. The Tribunal found that the conduct of the trial was so flawed that it constituted a miscarriage of justice.[220] As to Article 1105 of the NAFTA, the Tribunal also recognized the significance of due process:

> Manifest injustice in the sense of a lack of due process leading to an outcome which offends a sense of judicial propriety is enough,[221] ... the whole trial and its resultant verdict were clearly improper and discreditable and cannot be squared with minimum standards of international law and fair and equitable treatment.[222]

[213] *Tecmed v Mexico*, Award, 29 May 2003, para 162; *Al-Bahloul v Tajikistan*, Partial Award on Jurisdiction and Liability, 2 September 2009, para 221; *Gold Reserve v Venezuela*, Award, 22 September 2014, para 600; *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, paras 543, 594; *Krederi v Ukraine*, Award, 2 July 2018, paras 595–596.

[214] *Metalclad v Mexico*, Award, 30 August 2000.

[215] At para 91.

[216] *Middle East Cement v Egypt*, Award, 12 April 2002.

[217] At para 143.

[218] *Krederi v Ukraine*, Award, 2 July 2018, paras 461–467.

[219] *Loewen v United States*, Award, 26 June 2003.

[220] At para 54.

[221] At para 132.

[222] At para 137.

Other cases in which tribunals found a lack of fair procedure concerned the intervention of the executive in court proceedings,[223] the secret awarding of licences without the possibility of judicial review[224] bias on the part of a court,[225] and the corruption of a judge. In *Chevron v Ecuador II*,[226] the Tribunal found that a domestic judge had allowed the plaintiffs in national court proceedings against the foreign investor to write his judgment in exchange for a bribe and that this amounted to a violation of the FET standard. The Tribunal said:

> the Tribunal has found that Judge Zambrano acted corruptly, in return for a bribe promised to him by certain of the Lago Agrio Plaintiffs' representatives. Judge Zambrano's collusive conduct in the 'ghostwriting' of the Lago Agrio Judgment was not authorised under Ecuadorian law. Nor was it under judicial standards long established under international law. He was far from acting as an independent or impartial judge deciding the Lago Agrio Litigation fairly between the parties, under minimum standards for judicial conduct long recognized under international law.[227]

The Tribunal added that this situation remained unremedied by the appellate courts.[228]

For a finding of procedural unfairness, the investor must be directly affected by the lack of independence or impartiality in court proceedings. The identification of a general lack of independence and impartiality in the judicial system is not enough for a finding of a denial of justice in a particular case.[229]

Denial of justice is traditionally associated with the administration of justice by domestic courts.[230] This includes criminal proceedings against the investor.[231] But investment tribunals have accepted that the procedural guarantees inherent in the FET standard extend to the activities of the host State's administrative authorities.[232] On the other hand, the requirement to afford a fair procedure on the basis of the FET standard does not extend to a State entity's management of its contractual relationship with the investor.[233]

[223] *Petrobart v Kyrgyzstan*, Arbitral Award, 29 March 2005, p 75.
[224] *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 418.
[225] *Flughafen Zürich v Venezuela*, Award, 18 November 2014, para 707.
[226] *Chevron v Ecuador II*, Second Partial Award on Track II, 30 August 2018.
[227] At para 8.56. Footnote omitted.
[228] At para 8.60.
[229] *Vannessa Ventures v Venezuela*, Award, 16 January 2013, para 228.
[230] *Grand River v United States*, Award, 12 January 2011, paras 222–236.
[231] *Tokios Tokelės v Ukraine*, Award, 26 July 2007, para 133; *Rompetrol v Romania*, Award, 6 May 2013, paras 278–279; *Al-Warraq v Indonesia*, Final Award, 15 December 2014, para 621.
[232] *Genin v Estonia*, Award, 25 June 2001, para 364; *Rumeli v Kazakhstan*, Award, 29 July 2008, paras 615, 617–618, 623; *Chemtura v Canada*, Award, 2 August 2010, paras 211–224; *AES v Hungary*, Award, 23 September 2010, paras 9.3.36–9.3.73; *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, para 292; *Bosh v Ukraine*, Award, 25 October 2012, paras 145, 214; *TECO v Guatemala*, Award, 19 December 2013, paras 454–465; *Corona v Dominican Republic*, Award, 31 May 2016, para 248.
[233] *Bayindir v Pakistan*, Award, 27 August 2009, paras 343–348.

In *Thunderbird v Mexico*,[234] the Tribunal held that the standards of due process and procedural fairness applicable in administrative proceedings are lower than in a judicial process. In the particular case, it found no violation of the FET standard, explaining that the claimant had been given a full opportunity to be heard and to present evidence and that the proceedings were subject to a judicial review by the courts.[235]

An investment tribunal will not act as a court of appeal and will not decide whether the decision of a domestic court was in error or whether another view of the law would have been preferable. Nevertheless, there is a line between an ordinary error and a gross miscarriage of justice, which no longer may be considered as an exercise of the rule of law. This line will be crossed when it is impossible for a third party to recognize how an impartial judge could have reached the result in question. Proof of bad faith may be relevant but is not required in such a case. Therefore, allegations of violations of substantive due process through manifestly wrong or unjust decisions must overcome a high threshold and have rarely succeeded.[236] In *Pantechniki v Albania*,[237] the Tribunal said in this respect:

> The general rule is that 'mere error in the interpretation of the national law does not *per se* involve responsibility.' Wrongful application of the law may nonetheless provide 'elements of proof of a denial of justice.' But that requires an extreme test: the error must be of a kind which no 'competent judge could reasonably have made.' Such a finding would mean that the state had not provided even a minimally adequate justice system.[238]

ff. Application of domestic law

Although an error in the application of the law will not normally amount to a treaty violation, there is authority to the effect that a systematic and wilful failure to apply the host State's law on the part of State organs may amount to a violation of the FET standard.

In *Gami v Mexico*,[239] the claimant had alleged that the host State's failure to enforce its own sugar regime violated the FET standard under the NAFTA. The Tribunal said:

[234] *Thunderbird v Mexico*, Award, 26 January 2006.
[235] At paras 197–201.
[236] *Mondev v United States*, Award, 11 October 2002, para 127; *Ares v Georgia*, Award, 26 February 2008, paras 9.3.41–9.3.42; *AMTO v Ukraine*, Final Award, 26 March 2008, para 80; *Oostergetel v Slovakia*, Final Award, 23 April 2012, para 273; *Iberdrola v Guatemala*, Award, 17 August 2012, para 432; *Arif v Moldova*, Award, 8 April 2013, paras 442, 445; *Krederi v Ukraine*, Award, 2 July 2018, paras 468–472, 486–490, 584, 612, 629; *Marfin v Cyprus*, Award, 26 July 2018, para 1272.
[237] *Pantechniki v Albania*, Award, 30 July 2009.
[238] At para 94. Footnotes omitted.
[239] *GAMI v Mexico*, Final Award, 15 November 2004.

> a government's failure to implement or abide by its own law in a manner adversely affecting a foreign investor may but will not necessarily lead to a violation of Article 1105.[240]

Other tribunals have found similarly that 'deliberate and sustained illegality in the treatment of a protected investment could, in appropriate circumstances, be suggestive of a failure to meet the applicable standards of fair and equitable treatment'.[241] Investors are entitled to expect that the host State will comply with its laws and regulations.[242]

In *Siag v Egypt*,[243] the claimants had obtained a series of judicial rulings in their favour by Egyptian courts, but the government failed to comply with these rulings. The Tribunal found that Egypt's actions constituted a denial of justice and a violation of the FET standard.[244]

In *Gavrilović v Croatia*,[245] the Tribunal confirmed the principle that, although an error by the host State in the application of its law will not necessarily give rise to a treaty violation, a State's failure to apply its law may amount to a violation of the FET standard. The Tribunal said:

> An erroneous application of the law by a State may be sufficient to implicate treaty standards where it is established that there was a blatant disregard of the applicable law, a clear and malicious misapplication of the law, or a complete lack of candor or good faith in the application of the law. The error of law must be of such a nature as to give rise to justified concerns as to the judicial propriety of the outcome . . . .[246]

The clearest endorsement of the principle that a State's failure to enforce its own legislation amounts to a violation of the FET principle came from the Tribunal in *Zelena v Serbia*.[247] The case arose from the operation of an animal-rendering facility and the government's failure to enforce legislation on the handling of

240 At para 91.
241 *Rompetrol v Romania*, 6 May 2013, Award, para 177; see also *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 385; *Lemire v Ukraine*, Award, 28 March 2011, para 43; *TECO v Guatemala*, Award, 19 December 2013, para 458; *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, para 602; *Dan Cake v Hungary*, Decision on Jurisdiction and Liability, 24 August 2015, para 145.
242 *Tenaris v Venezuela I*, Award, 29 January 2016, paras 490–496; *Teinver v Argentina*, Award, 21 July 2017, para 679; *RREEF v Spain*, Decision on Responsibility and Principles of Quantum, 30 November 2018, para 287.
243 *Siag v Egypt*, Award, 1 June 2009.
244 At paras 451–455.
245 *Gavrilović v Croatia*, Award, 26 July 2018.
246 At para 878. Footnotes omitted.
247 *Zelena v Serbia*, Award, 9 November 2018 (unpublished).

hazardous material also against the claimant's competitors. The Tribunal summarized its analysis as follows:

> In sum, as regards the implementation and enforcement of the Serbian ABP legislation by the Respondent, the Tribunal concludes that it was reasonable and legitimate for the Claimants to rely on a reasonable level of implementation and enforcement of the Serbian ABP legislation within a reasonable time and that these legitimate expectations were frustrated by the Respondent's conduct. Thus, the Respondent has breached its obligation, under Article 3(1) of the BIT, to accord fair and equitable treatment to the Claimants' investment.[248]

Micula v Romania II[249] arose from the government's alleged failure to enforce its tax legislation against illegal producers of alcohol thereby tolerating a black market which made the claimants' business unviable. The Tribunal, relying on *GAMI* and *Zelena*, said:

> The Tribunal agrees that there may be circumstances in which a failure to enforce laws could amount to a denial of legitimate expectations and hence a breach of the obligation to provide fair and equitable treatment.[250]

The Tribunal noted that the parties' experts had estimated the rate of untaxed spirits at 90 per cent (Claimant) and 55–80 per cent (Respondent).[251] Nevertheless, it found that Romania had engaged in serious and visible efforts to enforce its taxation laws relating to alcohol and dismissed the claim.[252]

gg. Freedom from coercion and harassment

Freedom from coercion and harassment is part of FET.[253] Tribunals have found that harassment, threats, and coercion directed at the investor were in violation of the FET standard.[254]

In *Pope & Talbot v Canada*,[255] SLD, a government regulatory authority, had launched a 'verification review' against the investor that was confrontational and

[248] At para 267.
[249] *Micula v Romania II*, Award, 5 March 2020.
[250] At para 367.
[251] At para 409.
[252] At paras 368–372.
[253] Article 8.10(2) of the CETA includes the following clarifying language on the meaning of FET: '(e) abusive treatment of investors, such as coercion, duress and harassment'.
[254] *Al-Bahloul v Tajikistan*, Partial Award on Jurisdiction and Liability, 2 September 2009, para 221; *Total v Argentina*, Decision on Liability, 27 December 2010, paras 129, 338; *Mobil v Argentina*, Decision on Jurisdiction and Liability, 10 April 2013, paras 938–940; *Stati v Kazakhstan*, Award, 19 December 2013, para 1095; *Tatneft v Ukraine*, Award on the Merits, 29 July 2014, paras 396–397; *Burlington v Ecuador*, Decision on Reconsideration and Award, 7 February 2017, paras 171–172; *Olin v Libya*, Final Award, 25 May 2018, paras 326–345.
[255] *Pope & Talbot v Canada*, Award on the Merits, 10 April 2001, paras 156–181.

aggressive. The Tribunal held that this investigation was 'more like combat than cooperative regulation'.[256] It found that these actions by the regulatory authority were 'threats and misrepresentation', 'burdensome and confrontational', and hence a violation of the FET standard.[257]

In *Tecmed v Mexico*,[258] an unlimited licence for the operation of a landfill had been replaced by a licence of limited duration. The Tribunal applied a provision in the BIT between Mexico and Spain guaranteeing FET according to international law. The Tribunal found that the denial of the permit's renewal was designed to force the investor to relocate to another site, bearing the costs and the risks of a new business. The Tribunal said:

> Under such circumstances, such pressure involves forms of coercion that may be considered inconsistent with the fair and equitable treatment to be given to international investments under Article 4(1) of the Agreement and objectionable from the perspective of international law.[259]

Desert Line v Yemen[260] concerned contracts for road construction. A dispute about outstanding payments involved armed threats by the State and the arrest of some of the investor's personnel. A local arbitration resulted in an award in the claimant's favour who was, however, subsequently forced to accept a substantially reduced amount in a settlement agreement. The Tribunal found that the settlement agreement had been imposed upon the claimant under threats and physical attacks. It said:

> the subjection of the Claimant's employees, family members, and equipment to arrest and armed interference, as well as the subsequent peremptory 'advice' that it was 'in [his] interest' to accept that the amount awarded be amputated by half, falls well short of minimum standards of international law and cannot be the result of an authentic fair and equitable negotiation.[261]

In the resulting award, the Tribunal took the unusual step of awarding not just damages for the violation of the FET standard but additionally awarded moral damages in the amount of US$1 million.

In other cases, tribunals found that the investors' allegations of coercion and harassment had not been proven. These included complaints of a campaign to

[256] At para 181.
[257] *Pope & Talbot v Canada*, Award in respect of Damages, 31 May 2002, paras 67–69.
[258] *Tecmed v Mexico*, Award, 29 May 2003.
[259] At para 163. Footnote omitted. See, however, *Mamidoil v Albania*, Award, 30 March 2015, paras 742–749.
[260] *Desert Line v Yemen*, Award, 6 February 2008, paras 151–194.
[261] At para 179.

punish the investor for publishing material critical to the regime,[262] of cumbersome inspections,[263] of coercion in contract renegotiation,[264] and of criminal prosecution.[265]

hh. Good faith

Good faith is a general principle of law and one of the foundations of international law in general and of foreign investment law in particular.[266] Arbitral tribunals have confirmed that good faith is inherent in FET.[267] It is 'the common guiding beacon' to the obligation under BITs, it is 'at the heart of the concept of FET' and 'permeates the whole approach' to investor protection.[268] The Tribunal in *Tecmed v Mexico*,[269] interpreting a BIT provision on FET, said:

> The Arbitral Tribunal finds that the commitment of fair and equitable treatment … is an expression and part of the *bona fide* principle recognized in international law ….[270]

The FET standard in general and the obligation to act in good faith in particular includes the obligation not to purposefully inflict damage upon an investment.[271] The Tribunal in *Waste Management v Mexico*[272] found that the obligation to act in good faith was a basic obligation under the FET standard as contained in Article 1105 of the NAFTA. In particular, a deliberate conspiracy by government authorities to defeat the investment would violate this principle:

> The Tribunal has no doubt that a deliberate conspiracy—that is to say, a conscious combination of various agencies of government without justification to defeat the purposes of an investment agreement—would constitute a breach of Article 1105(1). A basic obligation of the State under Article 1105(1) is to act in good faith and form, and not deliberately to set out to destroy or frustrate the investment by improper means.[273]

[262] *Tokios Tokelės v Ukraine*, Award, 26 July 2007, paras 123–137.

[263] *AMTO v Ukraine*, Final Award, 26 March 2008, para 96; *Helnan v Egypt*, Award, 3 July 2008, paras 138–146; *Levy v Peru*, Award, 26 February 2014, para 382.

[264] *Ampal-American v Egypt*, Decision on Liability and Heads of Loss, 21 February 2017, paras 194–216; *CMC v Mozambique*, Award, 24 October 2019, paras 425–427.

[265] *Levy v Peru*, Award, 26 February 2014, para 386; *OI European v Venezuel*a, Award, 10 March 2015, paras 537–548; *Quiborax v Bolivia*, Award, 16 September 2015, paras 305–306, 563–572; *Al Tamimi v Oman*, Award, 3 November 2015, paras 432–447; *Krederi v Ukraine*, Award, 2 July 2018, paras 637–640.

[266] *Merrill & Ring v Canada*, Award, 31 March 2010, para 187; *Devas v India*, Award on Jurisdiction and Merits, 25 July 2016, para 467; *Bear Creek v Peru*, Award, 30 November 2017, paras 524, 527.

[267] *Genin v Estonia*, Award, 25 June 2001, para 367; *Siag v Egypt*, Award, 1 June 2009, para 450.

[268] *Sempra v Argentina*, Award, 28 September 2007, paras 297–299.

[269] *Tecmed v Mexico*, Award, 29 May 2003.

[270] At para 153, quoting I Brownlie, *Principles of Public International Law* (1989) 19.

[271] *Vivendi v Argentina*, Resubmitted Case: Award, 20 August 2007, para 7.4.39.

[272] *Waste Management v Mexico II*, Award, 30 April 2004.

[273] At para 138.

In *Bayindir v Pakistan*,[274] the investor claimed that its expulsion was based on local favouritism and on bad faith since the reasons given by the Government did not correspond to its actual motivation.[275] The Tribunal in its Decision on Jurisdiction found that 'the allegedly unfair motives of expulsion, if proven, are capable of founding a fair and equitable treatment claim under the BIT'.[276]

In *Saluka v Czech Republic*,[277] the Tribunal described the central role of the requirement of good faith in FET as follows:

> A foreign investor protected by the Treaty may in any case properly expect that the Czech Republic implements its policies *bona fide* by conduct that is, as far as it affects the investors' investment, reasonably justifiable by public policies and that such conduct does not manifestly violate the requirements of consistency, transparency, even-handedness and non-discrimination.[278]

In *Frontier Petroleum v Czech Republic*,[279] the Tribunal gave the following description of violations of the good faith principle:

> Bad faith action by the host state includes the use of legal instruments for purposes other than those for which they were created. It also includes a conspiracy by state organs to inflict damage upon or to defeat the investment, the termination of the investment for reasons other than the one put forth by the government, and expulsion of an investment based on local favouritism. Reliance by a government on its internal structures to excuse non-compliance with contractual obligations would also be contrary to good faith.[280]

It follows from these authorities that action in bad faith against the investor would be a violation of FET. Bad faith action by the host State includes the use of legal instruments for purposes other than those for which they were created.[281] It also includes a conspiracy by State organs to inflict damage upon or to defeat the investment.

Allegations of bad faith require a high standard of proof and will often fail.[282]

[274] *Bayindir v Pakistan*, Decision on Jurisdiction, 14 November 2005.
[275] At paras 242, 243.
[276] At para 250.
[277] *Saluka v Czech Republic*, Partial Award, 17 March 2006.
[278] At para 307.
[279] *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010.
[280] At para 300. Footnotes omitted.
[281] *Flemingo v Poland*, Award, 12 August 2016, paras 554–560.
[282] *Nordzucker v Poland*, Second Partial Award, 18 January 2009, paras 92–95; *Chemtura v Canada*, Award, 2 August 2010, paras 143–148, 158, 184; *Oostergetel v Slovakia*, Final Award, 23 April 2012, paras 300–301; *Micula v Romania I*, Award, 11 December 2013, para 836; *Gosling v Mauritius*, Award, 18 February 2020, para 250; *Micula v Romania II*, Award, 5 March 2020, para 378.

A related but different question is whether every violation of the standard of FET requires bad faith. Put differently, is it a valid defence for the host State to argue that, although its actions may have caused harm to the investor, these actions were taken *bona fide* and hence could not have violated the FET standard? Arbitral practice clearly indicates that the FET standard may be violated, even if no *mala fides* is involved.[283] For instance, the Tribunal in *Mondev v United States*[284] said:

> To the modern eye, what is unfair or inequitable need not equate with the outrageous or the egregious. In particular, a State may treat foreign investment unfairly and inequitably without necessarily acting in bad faith.[285]

Similarly, the Tribunal in *Mobil v Argentina*[286] held:

> Although action in bad faith is a violation of fair and equitable treatment, a violation of the standard can be found even if there is a mere objective disregard of the rights enjoyed by the investor under the FET standard. Thus such a violation does not require bad faith on the part of the State. This has been stated in several ICSID awards.[287]

The Tribunal in *El Paso v Argentina*[288] said that 'a violation can be found even if there is a mere objective disregard of the rights enjoyed by the investor under the FET standard, and that such a violation does not require subjective bad faith on the part of the State'.[289] Other tribunals have consistently adopted the same approach.[290]

[283] The only contrary indication would be a dictum in *Genin v Estonia*, Award, 25 June 2001, para 371: 'any procedural irregularity that may have been present would have to amount to bad faith, a willful disregard of due process of law or an extreme insufficiency of action'. However, this passage does not relate to fair and equitable treatment but to the standard of arbitrary and discriminatory measures in Article II (3)(b) of the Estonia–United States BIT.

[284] *Mondev v United States*, Award, 11 October 2002.

[285] At para 116. Quoted with approval in *Crystallex v Venezuela*, Award, 4 April 2016, para 543.

[286] *Mobil v Argentina*, Decision on Jurisdiction and Liability, 10 April 2013.

[287] At para 934.

[288] *El Paso v Argentina*, Award, 31 October 2011.

[289] At para 372.

[290] *Tecmed v Mexico*, Award, 29 May 2003, para 153; *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 186; *Loewen v United States*, Award, 26 June 2003, para 132; *CMS v Argentina*, Award, 12 May 2005, para 280; *Azurix v Argentina*, Award, 14 July 2006, para 372; *LG&E v Argentina*, Decision on Liability, 3 October 2006, para 129; *PSEG v Turkey*, Award, 19 January 2007, paras 245–246; *Siemens v Argentina*, Award, 6 February 2007, paras 299–300; *Enron v Argentina*, Award, 22 May 2007, para 263; *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 602; *Duke Energy v Ecuador*, Award, 18 August 2008, para 341; *National Grid v Argentina*, Award, 3 November 2008, para 173; *Jan de Nul v Egypt*, Award, 6 November 2008, para 185; *Invesmart v Czech Republic*, Award, 26 June 2009, paras 419–422; *Bayindir v Pakistan*, Award, 27 August 2009, para 181; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 249; *RSM v Grenada II*, Award, 10 December 2010, para 7.2.24; *Deutsche Bank v Sri Lanka*, Award, 31 October 2012, para 420; *Micula v Romania I*, Award, 11 December 2013, para 524; *E energija v Latvia*, Award, 22 December 2017, para 839.

Therefore, good faith is indeed a central element of FET. A showing of bad faith on the part of the host State would almost certainly amount to a violation of FET. At the same time, absence of bad faith is not a guarantee of compliance with the FET standard. There is ample authority that good faith is inherent in FET but also that the FET standard may be violated even without bad faith.

(h) Composite acts

Adverse action by the host State need not take place through a single event but may occur through several acts and may be scattered over time. The phenomenon of composite acts is well-known in the law of State responsibility and has found expression in the International Law Commission's (ILC) Articles on State Responsibility in the following terms:

> **Article 15**
> ***Breach consisting of a composite act***
> 1. The breach of an international obligation by a State through a series of actions or omissions defined in aggregate as wrongful occurs when the action or omission occurs which, taken with the other actions or omissions, is sufficient to constitute the wrongful act.
> 2. In such a case, the breach extends over the entire period starting with the first of the actions or omissions of the series and lasts for as long as these actions or omissions are repeated and remain not in conformity with the international obligation.

In international investment law, creeping expropriation is well-recognized.[291] The incremental infringement of investor rights is not, however, limited to expropriation but is frequently discussed in the context of FET. In examining the State's behaviour for compliance with the FET standard, tribunals have not just looked at individual occurrences but have looked at the overall cumulative impact of the measures.[292] As succinctly stated by the Tribunal in *RosInvest v Russia*:

[291] See VII.3(i) above.

[292] *Tecmed v Mexico*, Award, 29 May 2003, para 62; *Trans-Global v Jordan*, Decision under Rule 41(5), 12 May 2008, paras 108–117; *Chevron v Ecuador I*, Interim Award, 1 December 2008, paras 296–301; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 316; *Suez and InterAgua v Argentina*, Decision on Liability, 30 July 2010, paras 217, 227; *Pac Rim v El Salvador*, Decision on Jurisdiction, 1 June 2012, para 2.71; *Swisslion v Macedonia*, Award, 6 July 2012, paras 275–277, 291;

> an assessment of whether Respondent breached the IPPA can only be effectively conducted if the conduct as a whole is reviewed, rather than isolated measures or aspects.[293]

The Tribunal in *El Paso v Argentina*[294] adopted the concept of a composite act from Article 15 of the ILC Articles and pointed to the parallel phenomenon of creeping expropriation.[295] It said:

> Although they may be seen in isolation as reasonable measures to cope with a difficult economic situation, the measures examined can be viewed as cumulative steps which individually do not qualify as violations of FET, … but which amount to a violation if their cumulative effect is considered… A *creeping violation of the FET standard* could thus be described as a process extending over time and comprising a succession or an accumulation of measures which, taken separately, would not breach that standard but, when taken together, do lead to such a result.[296]

Some tribunals found that that the individual acts leading to a violation of FET had to be linked by a pattern or purpose. In *Rompetrol v Romania*,[297] the Tribunal said:

> the cumulative effect of a succession of impugned actions by the State of the investment can together amount to a failure to accord fair and equitable treatment even where the individual actions, taken on their own, would not surmount the threshold for a Treaty breach. But this would only be so where the actions in question disclosed some link of underlying pattern or purpose between them; a mere scattered collection of disjointed harms would not be enough.[298]

Tatneft v Ukraine, Award on the Merits, 29 July 2014, paras 327–332, 412–413, 462; *Perenco v Ecuador*, Decision on Remaining Issues of Jurisdiction and on Liability, 12 September 2014, paras 606, 607; *Flemingo v Poland* Award, 12 August 2016, para 536; *E energija v Latvia*, Award, 22 December 2017, paras 1060–1066; *Gavrilović v Croatia*, Award, 26 July 2018, para 1134; *NextEra v Spain*, Decision on Jurisdiction, Liability and Quantum Principles, 12 March 2019, para 598.

[293] *RosInvest v Russia*, Final Award, 12 September 2010, para 599, see also para 621. The IPPA is the Agreement between the Government of the United Kingdom and the Government of the USSR for the Promotion and Reciprocal Protection of Investments of 1989.

[294] *El Paso v Argentina*, Award, 31 October 2011.

[295] At paras 516, 518.

[296] At paras 515, 518. Italics original.

[297] *Rompetrol v Romania*, Award, 6 May 2013.

[298] At para 271. See also para 278. See also *Stati v Kazakhstan*, Award, 19 December 2013, para 1095; *Gold Reserve v Venezuela*, Award, 22 September 2014, para 566. By contrast, in *Blusun v Italy*, Award, 27 December 2016, at para 362 the Tribunal found that a violation of FET could occur through a series of measures 'taken without plan or coordination'.

Where part of the series of acts occurred before the date of the treaty's entry into force, the resulting obligations will be applied only to the acts that have taken place after that date.[299]

(i) Conclusion

As demonstrated, tribunals have applied the FET standard to typical fact situations and have now developed considerable case law in this area. The categories outlined above by no means exhaust the possibilities of the FET standard. With the progression of arbitral practice tribunals are likely to further develop these categories and add new ones.

At the same time, there is a trend in modern investment treaties to restrict the impact of the FET standard. The US Model BITs of 2004 and 2012 specify that the protection offered by FET does not go beyond the international minimum standard under customary international law. The USMCA contains an explanation to the same effect.[300] The Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP), in addition to restricting FET to customary international law, states that a mere breach of an investor's expectation resulting in loss or damage does not amount to a breach of FET.[301] The CETA contains an exhaustive definition of FET.[302] In addition, the CETA contains a far-reaching exception for regulatory measures.[303]

2. Full protection and security

ADDITIONAL READING: HE Zeitler, 'The Guarantee of "Full Protection and Security" in Investment Treaties Regarding Harm Caused by Private Actors' (2005) *Stockholm Intl Arb Rev* 1; G Cordero Moss, 'Full Protection and Security' in A Reinisch (ed) *Standards of Investment Protection* (2008) 131; C Schreuer, 'Full Protection and Security' (2010) 1 *Journal of International Dispute Settlement* 353; HE Zeitler, 'Full Protection and Security' in SW Schill (ed) *International Investment Law and Comparative Public Law* (2010) 183; RA Lorz, 'Protection and Security' in M Bungenberg et al (eds) *International Investment Law* (2015) 764; S Alexandrov, 'The Evolution of the Full Protection and Security Standard' in M

[299] *Société Générale v Dominican Republic*, Award on Preliminary Objections to Jurisdiction, 19 September 2008, paras 91–92; *Walter Bau v Thailand*, Award, 1 July 2009, paras 12.43, 13.1(f).
[300] See VIII.1(f) above.
[301] CPTPP Article 9.6(4).
[302] CETA Article 8.10. See VIII.1(c) above.
[303] CETA Article 8.9. See also CETA Articles 28.3 and 28.6.

Kinnear et al (eds) *Building International Investment Law* (2016) 319; A Reinisch and C Schreuer, *International Protection of Investments* (2020) 536.

(a) Concept

At first sight, the traditional notion of full protection and security (FPS) is amorphous and not readily amenable to operational applicability. However, as with other standards contained in BITs, arbitral jurisprudence has gradually refined the understanding of the term.

FPS is a standard feature in most BITs. It has also found entry into multilateral investment treaties, such as the ECT (Article 10(1)), NAFTA (Article 1105(1)), and the USMCA (Article 14.6 (1)).

Treaty practice has relied on different formulations and patterns. Whereas the traditional version (found in a series of US FCN treaties going back to the nineteenth century)[304] relies on the classical version of a guarantee which provides for 'full protection and security', other treaties have omitted the word 'full'. Another variation promises 'protection in accordance with fair and equitable treatment'. A simple approach is restricted to the granting of 'protection' (and not security), and yet another wording relies on the promise of 'legal security'. Other phrases and combinations will also be found. Overall, these variations seem to have played a limited role in the practice of tribunals.[305] The two elements 'protection' and 'security' are part of a unitary concept. There is no indication that they should be interpreted and applied separately. 'Protection' denotes the host State's obligation to take the necessary measures, whereas 'security' indicates the condition to which the investor is entitled.

The FPS standard has been applied chiefly to three settings. In some earlier cases, acts of insurgents or rioting groups had harmed the foreign investment. In a second group of cases, government forces like police authorities or military units were involved. More recent cases have addressed governmental regulatory acts that disturb the legal stability surrounding the investor's business.

The breadth of the clause raises issues of delimitation in relation to other treaty standards, like FET or the umbrella clause. Especially when it comes to the protection against the application of laws affecting the security and protection of the investment, the standard may acquire special importance if the treaty does not contain other clauses with a broad scope.

[304] See K Vandevelde, *Bilateral Investment Treaties, History, Policy, and Interpretation* (2010) 243.

[305] *Parkerings v Lithuania*, Award, 11 September 2007, para 354. But see the discussion of the significance of the word 'full' in *AAPL v Sri Lanka*, Final Award, 27 June 1990, para 50; *Azurix v Argentina*, Award, 14 July 2006, para 408; *Suez and InterAgua v Argentina*, Decision on Liability, 30 July 2010, paras 162, 169.

Some tribunals have interpreted the standard of full protection and security in conjunction with FET.[306] Other tribunals have found that the two standards were separate.[307] As a matter of treaty interpretation, it appears unconvincing to assume that two standards listed separately in the same document have the same meaning and need not be examined independently.[308] This does not apply where the treaty links the two standards, for instance by providing that one is an expression of the other or should be interpreted in accordance with the other.

In *Frontier Petroleum v Czech Republic*,[309] the Tribunal described the difference between the FPS and the FET standards as follows:

> full protection and security obliges the host state to provide a legal framework that grants security and protects the investment against adverse action by private persons as well as state organs, whereas fair and equitable treatment consists mainly of an obligation on the host state's part to desist from behaviour that is unfair and inequitable.[310]

(b) The standard of liability

FPS is an absolute standard, which means that its content does not depend upon the level of treatment given to nationals or to other foreign investors. However, there is broad consensus that the standard does not provide absolute protection against physical or legal infringement. The host State is not placed under an obligation of strict liability to prevent such violations. Rather, it is generally accepted that the host State will have to exercise 'due diligence' and will have to take such measures to protect the foreign investment as are reasonable under the circumstances.[311] At

[306] *Wena Hotels v Egypt*, Award, 8 December 2000, paras 84–95; *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 187; *PSEG v Turkey*, Award, 19 January 2007, paras 257–259; *National Grid v Argentina*, Award, 3 November 2008, paras 187 and 189; *Vannessa v Venezuela*, Award, 16 January 2013, paras 216–232; *Rompetrol v Romania*, Award, 6 May 2013, para 197; *OI European v Venezuela*, Award, 10 March 2015, para 576; *Rusoro v Venezuela*, Award, 22 August 2016, para 548.

[307] *Azurix v Argentina*, Award, 14 July 2006, para 407; *Jan de Nul v Egypt*, Award, 6 November 2008, para 269; *Suez and InterAgua v Argentina*, Decision on Liability, 30 July 2010, para 166; *Ulysseas v Ecuador*, Final Award, 12 June 2012, para 272; *Mamidoil v Albania*, Award, 30 March 2015, paras 819–820; *OperaFund v Spain*, Award, 6 September 2019, para 576; *BayWa v Spain*, Decision on Jurisdiction, Liability and Directions on Quantum, 2 December 2019, para 529.

[308] *Krederi v Ukraine*, Award, 2 July 2018, para 650.

[309] *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010.

[310] At para 296. See also *Gemplus v Mexico*, Award, 16 June 2010, paras 9–11; *Krederi v Ukraine*, Award, 2 July 2018, para 651.

[311] *Elettronica Sicula SpA* (*ELSI*) (*United States v Italy*), Judgment, 20 July 1989, ICJ Rep (1989) 15, para 108; *AAPL v Sri Lanka*, Final Award, 27 June 1990, para 53; *Tecmed v Mexico*, Award, 29 May 2003, para 177; *Noble Ventures v Romania*, Award, 12 October 2005, para 164; *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 484; *Biwater Gauff v Tanzania*, Award, 24 July 2008, paras 725–726; *Suez and InterAgua v Argentina*, Decision on Liability, 30 July 2010, para 158; *Frontier Petroleum v Czech*

the same time, the standard would be eviscerated and downgraded to a meaningless requirement if it were assumed – as was the case in *LESI v Algeria*[312]—that it accords no more protection than clauses on national treatment or MFN treatment.

The level of a host State's economic development, the availability of appropriate resources, the existence of an armed conflict, and other political as well as economic circumstances may have an impact on its ability to provide full protection and security. It is under debate to what extent these economic and social conditions should be taken into account when assessing a State's compliance with the full protection and security standard.[313]

In *Pantechniki v Albania*,[314] the investor sought to recover losses sustained during the widespread civil strife that prevailed in Albania in 1997. The sole arbitrator addressed the level of development of Albania in the context of the full protection and security standard. He distinguished FPS from denial of justice which should not depend on a host State's level of development. Protection against physical violence emanating from private persons would depend on the State's resources. The arbitrator concluded that the Albanian authorities had been powerless in the face of major social unrest and held that there had been no violation of the FPS standard because of the general situation prevailing in the country. He added that the assessment might have been different had the police refused to intervene.[315]

The FPS standard will not be violated through a reasonable exercise of a State's right to regulate.[316] But recognition of a State's police powers does not as such afford a valid defence against an alleged violation of the FPS standard. In exercising its sovereign right to regulate the State must remain within the boundaries of international law.[317]

Republic, Final Award, 12 November 2010, paras 269–270; *Paushok v Mongolia*, Award on Jurisdiction and Liability, 28 April 2011, paras 324–325; *Vannessa v Venezuela*, Award, 16 January 2013, para 223; *Mamidoil v Albania*, Award, 30 March 2015, para 821; *von Pezold v Zimbabwe*, Award, 28 July 2015, para 596; *MNSS v Montenegro*, Award, 4 May 2016, para 351; *Ampal-American v Egypt*, Decision on Liability and Heads of Loss, 21 February 2017, para 241; *Strabag v Libya*, Award, 29 June 2020, para 335; *Eskosol v Italy*, Award, 4 September 2020, paras 479–482.

312 *LESI & ASTALDI v Algeria*, Award, 12 November 2008, para 174; the BIT applicable in that case required 'protection et securité constantes, pleines et entières.'

313 N Gallus, 'The Influence of the Host State's Level of Development on International Investment Treaty Standards of Protection' (2005) 6 *JWIT* 711; U Kriebaum, 'The Relevance of Economic and Political Conditions for the Protection under Investment Treaties' (2011) 10 *LPICT* 383. See also *AAPL v Sri Lanka*, Final Award, 27 June 1990, para 77; *Mamidoil v Albania*, Award, 30 March 2015, para 824; *Strabag v Libya*, Award, 29 June 2020, paras 234–236, 344–345.

314 *Pantechniki v Albania*, Award, 30 July 2009.

315 At paras 71–84.

316 *AES v Hungary*, Award 23 September 2010, para 13.3.2; *Belenergia v Italy*, Award, 6 August 2019, paras 620–623.

317 *Suez and InterAgua v Argentina*, Decision on Liability, 30 July 2010, paras 148-150; *Marfin v Cyprus*, Award, 26 July 2018, para 1324.

(c) Protection against physical violence and harassment

The duty to grant physical protection and security may operate in relation to encroachments by State organs[318] or in relation to private acts.[319] A minority of tribunals considers that protection under the standard is limited to violence emanating from third parties.[320] The host State's responsibility may be incurred by its failure to prevent the resulting damage or its failure to punish the perpetrators.[321]

Violence by State organs was under review in *AAPL v Sri Lanka*.[322] Security forces had destroyed the investment in the course of a counter-insurgency operation. The Tribunal reviewed all circumstances and held that these actions were unwarranted and excessive.

In *AMT v Zaire*,[323] the host country was held liable under a protection and security clause in the applicable BIT after incidents of looting by elements of the armed forces.

In *Eureko v Poland*,[324] there was an allegation of harassment of the investor's senior representatives. The Tribunal found that there was no violation of the standard, since there was no evidence that the State had authorized or instigated these acts. However, the position might have been different had such actions occurred repeatedly without protective measures on the part of the State.

Tenaris v Venezuela[325] involved labour unrest and accusations of collusion or lack of protection on the part of State organs. The Tribunal accepted that the State's obligation is not limited to physical protection from third parties but also extends to actions of State organs. On the facts it decided that no violation of the standard had occurred.

Other cases concerned private violence.[326] In the *ELSI* case,[327] a Chamber of the International Court of Justice (ICJ) applied a provision in an FCN Treaty that granted 'the most constant protection and security'. One charge by the claimants was that the Italian authorities had allowed workers to occupy the factory.

[318] *Parkerings v Lithuania*, Award, 11 September 2007, para 355; *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 730; *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, para 261; *Tenaris v Venezuela I*, Award, 29 January 2016, para 439; *Krederi v Ukraine*, Award, 2 July 2018, para 656.

[319] *Pantechniki v Albania*, Award, 30 July 2009, paras 77 et seq; *Ampal-American v Egypt*, Decision on Liability and Heads of Loss, 21 February 2017, para 290.

[320] *El Paso v Argentina*, Award, 31 October 2011, para 522; *Mobil v Argentina*, Decision on Jurisdiction and Liability, 10 April 2013, para 1004.

[321] *Parkerings v Lithuania*, Award, 11 September 2007, para 355.

[322] *AAPL v Sri Lanka*, Final Award, 27 June 1990, paras 45 et seq, 78 et seq.

[323] *AMT v Zaire*, Award, 21 February 1997, paras 6.02 et seq. See also *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 483.

[324] *Eureko v Poland*, Partial Award, 19 August 2005, paras 236–237.

[325] *Tenaris v Venezuela I*, Award, 29 January 2016, paras 439, 443.

[326] See also *Eastern Sugar v Czech Republic*, Partial Award, 27 March 2007, para 203; *Pantechniki v Albania*, Award, 30 July 2009, paras 77 et seq; *Toto v Lebanon*, Award, 7 June 2012, para 229; *OI European Group v Venezuela*, Award, 10 March 2015, para 580.

[327] *Elettronica Sicula SpA (ELSI) (United States v Italy)*, Judgment, 20 July 1989, ICJ Reports (1989) 15.

The Court found that the response of the Italian authorities had been adequate under the circumstances.[328] The Court stated that '[t]he reference in Article V to the provision of "constant protection and security" cannot be construed as the giving of a warranty that property shall never in any circumstances be occupied or disturbed'.[329]

In *Wena Hotels v Egypt*,[330] the Tribunal found Egypt liable under the FPS standard because employees of a State entity had seized the hotel in question and because the police authorities had been aware of the seizure and had not acted to protect the investor before or after the invasive action.

In *Tecmed v Mexico*,[331] the claimant alleged that the Mexican authorities had not acted efficiently against 'social demonstrations' and disturbances at the site of the landfill under dispute. The Tribunal applied a treaty provision guaranteeing 'full protection and security to the investments ... in accordance with International Law'. It found that there was not sufficient evidence to prove that the Mexican authorities had encouraged, fostered, or contributed to the actions in question and that there was no evidence that the authorities had not reacted reasonably.[332]

Similarly, *Noble Ventures v Romania*[333] involved demonstrations and protests by employees. The relevant treaty provision stipulated that the '[i]nvestment shall ... enjoy full protection and security'. The Tribunal rejected the claim, finding that it was difficult to identify any specific failure on the part of Romania to exercise due diligence in protecting the claimant.[334]

In *Ampal-American v Egypt* the Tribunal decided that a failure by the Egyptian authorities to protect claimant's investment against terrorist attacks was a violation of the FPS standard.[335]

(d) Legal protection

There is authority to the effect that the principle of full protection and security reaches beyond physical violence and requires legal protection for the investor.[336]

[328] At paras 105–108.
[329] At para 108.
[330] *Wena Hotels v Egypt*, Award, 8 December 2000, para 84.
[331] *Tecmed v Mexico*, Award, 29 May 2003.
[332] At paras 175–177.
[333] *Noble Ventures v Romania*, Award, 12 October 2005.
[334] At paras 164–166.
[335] *Ampal-American v Egypt*, Decision on Liability and Heads of Loss, 21 February 2017, para 290.
[336] *CSOB v Slovakia*, Award, 29 December 2004, para 170; *Ares v Georgia*, Award, 26 February 2008, para 10.3.4; *National Grid v Argentina*, Award, 3 November 2008, paras 187–190; *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, paras 260–273; *Total v Argentina*, Decision on Liability, 27 December 2010, para 343; *Unglaube v Costa Rica*, Award 16 May 2012, para 283; *Vannessa v Venezuela*, Award, 16 January 2013, para 223; *Levy v Peru*, Award, 26 February 2014, para 406; *Anglo American v Venezuela*, Award, 18 January 2019, para 482.

Some treaties explicitly provide for 'full protection and legal security'.[337] An explicit reference to legal security leaves no doubt that FPS extends to the protection of legal rights.[338] But even the usual formula 'full protection and security' was held by tribunals to include the protection of investor's rights through a functioning legal system.[339]

In the *ELSI* case,[340] the guarantee of 'the most constant protection and security' was also the basis for a complaint concerning the time taken (16 months) for a decision on an appeal against an order requisitioning the factory. The ICJ's Chamber examined this argument and found that the time taken, though undoubtedly long, did not violate the treaty standard in view of other procedural safeguards under Italian law.[341]

In *CME v Czech Republic*,[342] a regulatory authority had created a legal situation that enabled the investor's local partner to terminate the contract on which the investment depended. The Tribunal said that '[t]he host State is obligated to ensure that neither by amendment of its laws nor by actions of its administrative bodies is the agreed and approved security and protection of the foreign investor's investment withdrawn or devalued'.[343]

In the parallel case *Lauder v Czech Republic*,[344] the Tribunal, however, denied a violation of the standard, based on a different assessment of the same facts. It reached the result that the only duty of the host State under the 'protection and security' clause had been to grant the investor access to its judicial system.

In *Azurix v Argentina*,[345] the Tribunal confirmed that 'full protection and security may be breached even if no physical violence or damage occurs':[346]

> The cases referred to above show that full protection and security was understood to go beyond protection and security ensured by the police. It is not only a matter of physical security; the stability afforded by a secure investment environment is as important from an investor's point of view. The Tribunal is aware that in recent free trade agreements signed by the United States, for instance, with Uruguay, full protection and security is understood to be limited to the level of police

[337] Germany–Argentina BIT (1991) Article 4(1): 'plena protección y seguridad jurídica'.

[338] *Siemens v Argentina*, Award, 6 February 2007, para 303; *Paushok v Mongolia*, Award on Jurisdiction and Liability, 28 April 2011, para 326; *Tatneft v Ukraine*, Award on the Merits, 29 July 2014, para 425.

[339] *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, paras 263, 273; *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 7.146; *Krederi v Ukraine*, Award, 2 July 2018, para 652.

[340] *Elettronica Sicula SpA (ELSI) (United States of America v Italy)*, Judgment, 20 July 1989, ICJ Reports (1989) 15.

[341] At para 109.

[342] *CME v Czech Republic*, Partial Award, 13 September 2001.

[343] At para 613.

[344] *Lauder v Czech Republic*, Final Award, 3 September 2001, para 314.

[345] *Azurix v Argentina*, Award, 14 July 2006.

[346] At para 406.

> protection required under customary international law. However, when the terms 'protection and security' are qualified by 'full' and no other adjective or explanation, they extend, in their ordinary meaning, the content of this standard beyond physical security.[347]

In *Siemens v Argentina*,[348] the Tribunal derived additional authority for the proposition that FPS goes beyond physical security and extends to legal protection from the fact that the applicable BIT's definition of investment applied also to intangible assets:

> As a general matter and based on the definition of investment, which includes tangible and intangible assets, the Tribunal considers that the obligation to provide full protection and security is wider than 'physical' protection and security. It is difficult to understand how the physical security of an intangible asset would be achieved.[349]

In *Vivendi v Argentina*,[350] the Tribunal had to apply a clause requiring 'full protection and security in accordance with the principle of fair and equitable treatment'. The Tribunal found that the scope of that provision was not limited to safeguarding 'physical possession or the legally protected terms of operation of the investment'.[351]

Sempra v Argentina[352] recognized that the standard had traditionally developed in the context of the physical protection of the investment, but that exceptionally a broader interpretation would be possible.

In *Biwater Gauff v Tanzania*,[353] the Tribunal confirmed that the guarantee of 'full security' extends to legal protection:

> The Arbitral Tribunal adheres to the *Azurix* holding that when the terms 'protection' and 'security' are qualified by 'full', the content of the standard may extend to matters other than physical security. It implies a State's guarantee of stability in a secure environment, both physical, commercial and legal.[354]

The investor may have to take active legal steps to obtain the investment's protection. In *GEA v Ukraine*,[355] the claimant argued that the host State should have

[347] At para 408.
[348] *Siemens v Argentina*, Award, 6 February 2007.
[349] At para 303.
[350] *Vivendi v Argentina*, Resubmitted Case: Award, 20 August 2007.
[351] At para 7.4.15. Cited approvingly in *AES v Hungary*, Award, 23 September 2010, para 13.3.2.
[352] *Sempra v Argentina*, Award, 28 September 2007, para 323.
[353] *Biwater Gauff v Tanzania*, Award, 24 July 2008.
[354] At para 729.
[355] *GEA v Ukraine*, Award, 31 March 2011, para 247.

initiated proceedings to inquire into a theft of its property. The Tribunal rejected the claim because the claimant itself had never brought a criminal complaint.

Therefore, there is substantial authority for the proposition that the FPS standard goes beyond physical security and extends to a measure of legal security. On the other hand, a considerable number of tribunals have denied that 'full protection and security' offers a guarantee of legal protection and found that the FPS standard should be confined to physical protection and security.[356]

In *Suez and InterAgua v Argentina*,[357] the Tribunal found that FPS did not extend to an obligation to maintain a stable and secure legal and commercial environment.[358] The Tribunal found that an overly extensive interpretation of FPS would result in an undesirable overlap with other standards of protection.[359] A textual and historical interpretation led the Tribunal to reject the concept of legal security.[360]

(e) Relationship to customary international law

It is undeniable that the full protection and security standard has its origins in customary international law. This is illustrated by the *Amco v Indonesia*[361] case which was not decided on the basis of a BIT but in the framework of customary international law. The Tribunal found that under international law 'a State has a duty to protect aliens and their investment against unlawful acts'.[362]

Some treaty provisions on protection and security tie the standard to general international law ('full protection and security in accordance with international law'), parallel to the practice on FET. Other treaties refer to protection and security and to treatment in accordance with international law as separate standards, suggesting that the two are not identical.

The question remains whether an unqualified reference to 'full protection and security' provides an autonomous treaty standard or merely serves to incorporate customary law. To clarify the issue for purposes of the NAFTA, the three parties stated in a Note of Interpretation that the provision on FPS (together with FET) in Article 1105(1) embodies customary law.[363] In other words, the NAFTA parties

356 *Saluka v Czech Republic*, Partial Award, 17 March 2006, para 484; *BG Group v Argentina*, Final Award, 24 December 2007, paras 323–328; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 668; *Liman Caspian v Kazakhstan*, Award, 22 June 2010, para 289; *EDF v Argentina*, Award, 11 June 2012, para 1109; *Gold Reserve v Venezuela*, Award, 22 September 2014, paras 622–623; *Crystallex v Venezuela*, Award, 4 April 2016, para 632; *Olin v Libya*, Final Award, 25 May 2018, paras 365–366; *OperaFund v Spain*, Award, 6 September 2019, para 576.

357 *Suez and InterAgua v Argentina*, Decision on Liability, 30 July 2010, paras 158–173.

358 At para 170.

359 At para 168.

360 At para 171.

361 *Amco v Indonesia*, Award, 20 November 1984.

362 At para 172.

363 NAFTA Free Trade Commission, Interpretative Note of 31 July 2001, quoted in *Mondev v USA*, Award, 11 October 2002, para 101.

assumed that the standard reflects the requirements of the international minimum standard as applied to aliens.[364] The subsequent BIT practice of the United States and Canada has followed this interpretation. Article 14.6 of the USMCA explicitly links the full protection and security standard to the level of protection under customary international law.

In the *ELSI* case, the ICJ suggested that the standard 'may go further' than general international law,[365] even though the clause in the relevant treaty contained a reference to international law ('full protection and security required by international law'). Some tribunals have regarded FPS as a standard that is independent of customary international law.[366] Other tribunals have expressed the view that FPS is no more than the traditional obligation to protect aliens under customary international law.[367]

3. Arbitrary or discriminatory measures

ADDITIONAL READING: V Heiskanen, 'Arbitrary and Unreasonable Measures' in A Reinisch (ed) *Standards of Investment Protection* (2008) 87; F Ortino, 'Non-Discriminatory Treatment in Investment Disputes' in P-M Dupuy et al (eds) *Human Rights in International Investment Law and Arbitration* (2009) 344; C Schreuer, 'Protection against Arbitrary or Discriminatory Measures' in C Rogers et al (eds) *The Future of Investment Arbitration* (2009) 183; P Dumberry, 'The Prohibition against Arbitrary Conduct and the Fair and Equitable Treatment Standard under NAFTA Article 1105' (2014) 15 *JWIT* 117; C Titi, 'Full Protection and Security, Arbitrary or Discriminatory Treatment and the Invisible EU Model BIT' (2014) 15 *JWIT* 534; U Kriebaum, 'Arbitrary/Unreasonable or Discriminatory Measures' in M Bungenberg et al (eds) *International Investment Law* (2015) 790; V Lowe, 'Arbitrary and Discriminatory Treatment' in M Kinnear et al (eds) *Building International Investment Law* (2016) 307; A Reinisch and C Schreuer, *International Protection of Investments* (2020) 813.

(a) Introduction

By definition, every State oriented at the rule of law will outlaw arbitrary action, and foreign investors properly expect that host States will follow this standard.

[364] See I.1(c) and VIII.1(f) above.

[365] *Elettronica Sicula SpA* (*ELSI*) (*US v Italy*), Judgment, 20 July 1989, ICJ Reports (1989) 15, para 111.

[366] *Azurix v Argentina*, Award, 14 July 2006, para 361; *Frontier Petroleum v Czech Republic*, Final Award, 12 November 2010, para 268; *Crystallex v Venezuela*, Award, 4 April 2016, para 632.

[367] *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 190; *Noble Ventures v Romania*, Award, 12 October 2005, para 164; *El Paso v Argentina*, Award, 31 October 2011, para 522.

The traditional understanding of the international minimum standard for the treatment of foreigners under customary international law prohibits arbitrary action.[368] It follows that the treaty standard against arbitrariness is also reflected in customary international law. This does not, however, mean that the treaty term is necessarily restricted to the traditional concept as developed in customary international law.

Measures differentiating between foreign investors and nationals or among foreign investors do not violate the minimum standard under traditional international law.[369] But the host State may promise non-discrimination through a pertinent treaty provision. A guarantee against discrimination may be given through the prohibition of arbitrary or discriminatory treatment or through clauses granting national treatment[370] and MFN treatment[371] to foreign investors.

Protection against discriminatory treatment is a relative standard, similar to the national treatment and MFN treatment standards. Its content depends upon the level of treatment given to a national or other foreign investor in a similar situation. On the other hand, protection against arbitrary treatment is an absolute standard comparable to the FET standard. This is also evident in the debate on the relationship of the arbitrary and discriminatory standard to the FET standard.[372]

(b) Textual variations

In treaty practice, the rule against arbitrariness is typically combined with the prohibition of discrimination ('shall not impair investments by arbitrary or discriminatory measures'). The separate listing of the two standards, separated by the word 'or', suggests that each must be accorded its own significance and scope.[373]

Some treaties do not use the term 'arbitrary' but refer to 'unjustified or discriminatory action' or to 'unreasonable or discriminatory action'. It would be difficult to identify a difference between 'arbitrary' and 'unjustified' or 'unreasonable' action and, presumably, the terms are interchangeable. The Tribunal in *National Grid v Argentina*,[374] said in response to an argument by the claimant that the concepts were different:

[368] A Verdross, 'Les règles internationales concernant le traitement des étrangers' (1931-III) 37 *Recueil* 323, 358; Restatement (Third) of the Foreign Relations Law of the United States (1986) 2: 196.

[369] *Genin v Estonia*, Award, 25 June 2001, para 368.

[370] See VIII.4 below.

[371] See VIII.5 below.

[372] See VIII.1(e) above.

[373] In this sense: *Azurix v Argentina*, Award, 14 July 2006, para 391; *Siag v Egypt*, Award, 1 June 2009, para 457; *AES v Hungary*, Award, 23 September 2010, para 10.3.2.

[374] *National Grid v Argentina*, Award, 3 November 2008.

> It is the view of the Tribunal that the plain meaning of the terms 'unreasonable' and 'arbitrary' is substantially the same in the sense of something done capriciously, without reason.[375]

The Tribunal in *Urbaser v Argentina*[376] though seems to have tried to distinguish between the terms 'unjustified' and 'unlawful' when it stated that the applicable BIT clause did

> not use the term 'unlawful' but instead the word 'unjustified,' which can imply possible justifications by reference to grounds other than legal ones, in particular in case of measures justified by reasons based on equity or good faith.[377]

(c) The meaning of 'arbitrary'

Tribunals have adopted different approaches to establishing the meaning of 'arbitrary' and its application to a specific case. One reading of the clause simply refers to the ordinary meaning and seeks to extrapolate this meaning from general legal dictionaries. Some tribunals have consulted *Black's Law Dictionary*, according to which 'arbitrary' means 'depending on individual discretion' or action 'founded on prejudice or preference rather than on reason of fact'.[378]

The Tribunal in *Azurix v Argentina*[379] gave the following definition of 'arbitrary' based on its ordinary meaning in accordance with Article 31 of the Vienna Convention on the Law of Treaties (VCLT):

> In its ordinary meaning, 'arbitrary' means 'derived from mere opinion', 'capricious', 'unrestrained', 'despotic.' Black's Law Dictionary defines the term, *inter alia*, as 'done capriciously or at pleasure', 'not done or acting according to reason or judgment', 'depending on the will alone.'[380]

Tribunals have applied the concept of 'arbitrary' to the following categories of measures:

375 At para 197.
376 *Urbaser v Argentina*, Award, 8 December 2016.
377 At para 1089.
378 *Lauder v Czech Republic*, Final Award, 3 September 2001, para 221, cited with approval in *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 162 and in *CMS v Argentina*, Award, 12 May 2005, para 291; *Azurix v Argentina*, Award, 14 July 2006, para 392. See also *Siemens v Argentina*, Award, 6 February 2007, para 318; *Plama v Bulgaria*, Award, 27 August 2008, para 184; *El Paso v Argentina*, Award, 31 October 2011, para 319.
379 *Azurix v Argentina*, Award, 14 July 2006.
380 At para 392. In identical terms: *Siemens v Argentina*, Award, 6 February 2007, para 318.

- a measure that inflicts damage on the investor without serving any apparent legitimate purpose. The decisive criterion for the determination of the unreasonable or arbitrary nature of a measure harming the investor would be whether it can be justified in terms of rational reasons that are related to the facts. Arbitrariness would be absent if the measure is a reasonable and proportionate reaction to objectively verifiable circumstances;
- a measure that is not based on legal standards but on discretion, prejudice, or personal preference;
- a measure taken for reasons that are different from those put forward by the decision maker. This applies, in particular, where a public interest is put forward as a pretext to take measures that are designed to harm the investor;
- a measure taken in wilful disregard of due process and proper procedure.

Tribunals have adopted these categories to establish the existence of arbitrary action by the host State.[381]

aa. Rational decision-making

In a considerable number of cases, tribunals have examined whether the measure alleged to be unreasonable or arbitrary was the result of a rational decision-making process.[382] Tribunals were not satisfied with the host State's unilateral assertion of public interest or public purpose. Rather, they went into an independent examination of the public interest postulated by the State. This examination involved two elements:

[381] *EDF v Romania*, Award, 8 October 2009, para 303; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 262; *SAUR v Argentine Republic*, Decision on Jurisdiction and Liability, 6 June 2012, para 488; *Toto v Lebanon*, Award, 7 June 2012, para 157; *TRACO v Poland*, First Partial Award, 5 September 2012, para 224; *OI European v Venezuela*, Award, 10 March 2015, paras 494, 519; *Teinver v Argentina*, Award, 21 July 2017, footnote 1116; *Krederi v Ukraine*, Award, 2 July 2018, paras 669, 672; *Glencore v Colombia*, Award, 27 August 2019, para 1449; *RWE v Spain*, Decision on Jurisdiction, Liability and certain issues of Quantum, 30 December 2019, para 647.

[382] *Lauder v Czech Republic*, Award, 3 September 2001, paras 222, 230, 232; *Occidental Exploration v Ecuador*, Award, 1 July 2004, para 163; *LG&E v Argentina*, Decision on Liability, 3 October 2006, paras 158, 162; *Enron v Argentina*, Award, 22 May 2007, para 281; *Sempra v Argentina*, Award, 28 September 2007, para 318; *Cargill v Poland*, Final Award, 29 February 2008, paras 524–528; *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 709; *Al-Bahloul v Tajikistan*, Partial Award on Jurisdiction and Liability, 2 September 2009, para 251; *El Paso v Argentina*, Award, 31 October 2011, para 322; *Mobil v Argentina*, Decision on Jurisdiction and Liability, 10 April 2013, paras 872–878; *Mamidoil v Albania*, Award, 30 March 2015, paras 791, 795; *Philip Morris v Uruguay*, Award, 8 July 2016, paras 389–420; *Isolux v Spain*, Award, 12 July 2016, paras 820–825; *Antaris v Czech Republic*, Award, 2 May 2018, paras 360, 443, 444; *Greentech v Italy*, Award, 23 December 2018, para 462; *SolEs Badajoz v Spain*, Award, 31 July 2019, para 326; *Glencore v Colombia*, Award, 27 August 2019, paras 1453–1454, 1457; *RWE v Spain*, Decision on Jurisdiction, Liability and Certain Issues of Quantum, 30 December 2019, paras 644–645; *Watkins v Spain*, Award, 21 January 2020, para 604.

1. The examination of the existence of a genuine public purpose.
2. The examination of the existence of a reasonable relationship between the aims pursued by the State and the effectiveness of the measures taken.

The Tribunal in *Saluka v Czech Republic*[383] emphasized the need for a rational process of decision in the following terms:

> The standard of 'reasonableness' therefore requires, in this context as well, a showing that the State's conduct bears a reasonable relationship to some rational policy . . . .[384]

Similarly, the Tribunal in *Plama v Bulgaria*[385] explained arbitrariness in terms of an absence of reason or fact:

> Unreasonable or arbitrary measures—as they are sometimes referred to in other investment instruments—are those which are not founded in reason or fact but on caprice, prejudice or personal preference.[386]

In *Invesmart v Czech Republic*,[387] the Tribunal held that the requirement of reasonableness was satisfied provided the measure was based on reasonable policy considerations. It was not for the Tribunal to second-guess the merits of the policy considerations in question. The Tribunal said:

> The Czech Republic can be held to have acted reasonably so long as, in the Tribunal's view, it did so out of some reasonable policy consideration, as opposed to conduct that was motivated by the intention to deprive an investor of the value of its investment.
>
> Whilst the merits of this decision may be questioned, this is not a matter for this Tribunal. It is clear that the Czech Republic acted in the interests of legitimate policy concerns . . . .[388]

In *AES v Hungary*,[389] the Tribunal went one step further. It undertook a detailed analysis of the concept of 'unreasonable and discriminatory measures'. In doing so, the Tribunal found that a rational policy pursued by the State was not enough. The measure taken also had to be suitable in objective terms:

[383] *Saluka v Czech Republic*, Partial Award, 17 March 2006.
[384] At para 460. Quoted with approval in *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 693.
[385] *Plama v Bulgaria*, Award, 27 August 2008.
[386] At para 184.
[387] *Invesmart v Czech Republic*, Award, 26 June 2009, paras 452–463.
[388] At paras 460, 462.
[389] *AES v Hungary*, Award, 23 September 2010.

> 10.3.7 There are two elements that require to be analyzed to determine whether a state's act was unreasonable: the existence of a rational policy; and the reasonableness of the act of the state in relation to the policy.
> 10.3.8 A rational policy is taken by a state following a logical (good sense) explanation and with the aim of addressing a public interest matter.
> 10.3.9 Nevertheless, a rational policy is not enough to justify all the measures taken by a state in its name. A challenged measure must also be reasonable. That is, there needs to be an appropriate correlation between the state's public policy objective and the measure adopted to achieve it. This has to do with the nature of the measure and the way it is implemented.

The Tribunal proceeded to examine separately whether the State had pursued a rational policy and whether there was a reasonable correlation between the State's policy objective and the measures adopted to achieve it.[390]

In *Micula v Romania I*,[391] the Tribunal found that the concept 'reasonable' required the examination of two elements: the existence of a rational policy and an appropriate relation of the act in question to that policy. The Tribunal said:

> With respect to the meaning of the term 'unreasonable', both Parties appear to agree that 'unreasonable' means lacking in justification or not grounded in reason (i.e., arbitrary), or not enacted in pursuit of legitimate objectives … The Respondent also proposes the formulation used by the *Saluka* tribunal: for a state's conduct to be reasonable, it must 'bear a reasonable relationship to rational policies […]'. Although the definition is rather circular, the Tribunal finds it appropriate, with the specification made by the *AES* tribunal, namely that the determination of whether the state's conduct is reasonable requires the analysis of two elements: 'the existence of a rational policy; and the reasonableness of the act of the state in relation to the policy' (*AES v. Hungary*, ¶ 10.3.7). As noted by the *AES* tribunal, a policy is rational when the state adopts it 'following a logical (good sense) explanation and with the aim of addressing a public interest matter' (*Id.*, ¶ 10.3.8), and an action is reasonable when there is 'an appropriate correlation between the state's public policy objective and the measure adopted to achieve it' (*Id.*, ¶ 10.3.9). In other words, for a state's conduct to be reasonable, it is not sufficient that it be related to a rational policy; it is also necessary that, in the implementation of that policy, the state's acts have been appropriately tailored to the pursuit of that rational policy with due regard for the consequences imposed on investors.[392]

[390] At paras 10.3.1–10.3.36.
[391] *Micula v Romania I*, Award, 11 December 2013.
[392] At para 525.

The Tribunal in *Electrabel v Hungary*[393] followed the approach developed in these cases. It said:

> *Standard for 'Arbitrariness'*: As already indicated above, this Tribunal agrees with the *Saluka*, *AES*, and *Micula* tribunals in that a measure will not be arbitrary if it is reasonably related to a rational policy. As the *AES* tribunal emphasised, this requires two elements: 'the existence of a rational policy; and the reasonableness of the act of the state in relation to the policy. A rational policy is taken by a state following a logical (good sense) explanation and with the aim of addressing a public interest matter. Nevertheless, a rational policy is not enough to justify all the measures taken by a state in its name. A challenged measure must also be reasonable. That is, there needs to be an appropriate correlation between the state's public policy objective and the measure adopted to achieve it. This has to do with the nature of the measure and the way it is implemented.' In the Tribunal's view, this includes the requirement that the impact of the measure on the investor be proportional to the policy objective sought. The relevance of the proportionality of the measure has been increasingly addressed by investment tribunals and other international tribunals, including the ECtHR. The test for proportionality has been developed from certain municipal administrative laws, and requires the measure to be suitable to achieve a legitimate policy objective, necessary for that objective, and not excessive considering the relative weight of each interest involved.[394]

bb. Rule of law

Another approach to interpreting 'arbitrary', 'unjustified', or 'unreasonable' is to examine whether measures are based on legal standards or on discretion. The ICJ gave an often-cited definition of the term 'arbitrary' in the *ELSI* case.[395] It said:

> Arbitrariness is not so much something opposed to a rule of law, as something opposed to the rule of law.[396]

In *Lauder v Czech Republic*,[397] the Tribunal found that the Czech Republic had taken a discriminatory and arbitrary measure. It said:

393 *Electrabel v Hungary*, Award, 25 November 2015.
394 At para 179. Footnotes omitted.
395 *Elettronica Sicula SpA (ELSI) (United States v Italy)*, International Court of Justice, Judgment, 20 July 1989, ICJ Reports (1989) 15.
396 At para 128.
397 *Lauder v Czech Republic*, Final Award, 3 September 2001.

> The measure was arbitrary because it was not founded on reason or fact, nor on the law which expressly accepted '*applications from companies with foreign equity participation*' …, but on mere fear reflecting national preference.[398]

In *Lemire v Ukraine*,[399] the Tribunal related violations of the local law to arbitrary or discriminatory measures in the following way:

> Although not every violation of domestic law necessarily translates into an arbitrary or discriminatory measure under international law and a violation of the FET standard, in the Tribunal's view a blatant disregard of applicable tender rules, distorting fair competition among tender participants, does.[400]

In *Crystallex v Venezuela*,[401] the Tribunal described arbitrary action in terms of an absence of legal standards, discretion, prejudice, or personal preference:

> In the Tribunal's eyes, a measure is for instance arbitrary if it is not based on legal standards but on excess of discretion, prejudice or personal preference, and taken for reasons that are different from those put forward by the decision maker.[402]

In *Cervin v Costa Rica*,[403] the Tribunal defined arbitrary conduct as conduct that is not governed by law, justice, or reason but is based only on 'capriciousness'. In *Valores Mundiales v Venezuela*,[404] the Tribunal found that certain measures taken by Venezuela lacked any foundation in Venezuelan law and were hence arbitrary for purposes of the BIT with Spain.

Other tribunals too have found that action that was unlawful under local law was contrary to the treaty requirement not to take unreasonable or discriminatory measures.[405] It follows that illegality under the local law is a relevant factor to determine whether actions taken by the State are unjustified.

cc. Adverse intention

In some cases, tribunals examined the existence of an adverse intention on the part of the host State when interpreting the concept of arbitrary/unreasonable.[406] In

[398] At para 232. Italics original.
[399] *Lemire v* Ukraine, Decision on Jurisdiction and Liability, 14 January 2010.
[400] At para 385.
[401] *Crystallex v Venezuela*, Award, 4 April 2016.
[402] At para 578.
[403] *Cervin v Costa Rica*, Award, 7 March 2017, para 523.
[404] *Valores Mundiales v Venezuela*, Award, 25 July 2017, paras 605–619.
[405] *Saluka v Czech Republic*, Partial Award, 17 March 2006, paras 467, 470; *El Paso v Argentina*, Award, 31 October 2011, para 323; *TECO v Guatemala*, Award, 19 December 2013, para 621; *Olin v Libya*, Final Award, 25 May 2018, para 376.
[406] *Enron v Argentina*, Award, 22 May 2007, para 281.

CME v Czech Republic,[407] the Media Council, a regulatory authority, had created a legal situation that enabled the investor's local partner to terminate the contract on which the investment depended. The Tribunal looked at the Media Council's intention to determine that this was in violation of the BIT's provision on 'unreasonable or discriminatory measures'. The Tribunal said:

> On the face of it, the Media Council's actions and inactions in 1996 and 1999 were unreasonable as the clear intention of the 1996 actions was to deprive the foreign investor of the exclusive use of the Licence under the MOA and the clear intention of the 1999 actions and inactions was [to] collude with the foreign investor's Czech business partner to deprive the foreign investor of its investment. The behaviour of the Media Council also smacks of discrimination against the foreign investor.[408]

The intention to deprive the investor of its investment under the pretext of a decision based on law was the decisive criterion for the application of this standard.

In *Biwater Gauff v Tanzania*,[409] the Tribunal, applying the BIT's prohibition of unreasonable or discriminatory measures, diagnosed an adverse intention in the following terms:

> In each case, the Republic's actions were abusive and unreasonable. There is no evidence supporting the Republic's asserted justifications for the seizure and deportation, which were instead parts of a concerted campaign against BGT and City Water.[410]

In *Teinver v Argentina* the Tribunal found that a series of abusive and artificial justifications were crucial for its finding of unjustified measures.[411]

On the other hand, there are some decisions in which tribunals indicated that they did not believe that an adverse intention or bad faith were essential for a violation of the prohibition of arbitrary or discriminatory treatment.[412]

dd. Due process

Another group of decisions have linked the concept of 'arbitrary' to violations of procedural propriety and due process.[413] In the *ELSI*

[407] *CME v Czech Republic*, Partial Award, 13 September 2001.
[408] At para 612.
[409] *Biwater Gauff v Tanzania*, Award, 24 July 2008.
[410] At para 709.
[411] *Teinver v Argentina*, Award, 21 July 2017, para 925.
[412] *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, Dispositif, para 5, para 163; *Azurix v Argentina*, Award, 14 July 2006, para 392; *Siemens v Argentina*, Award, 6 February 2007, para 318.
[413] *Inmaris Perestroika v Ukraine*, Award, 1 March 2012, para 282; *Roussalis v Romania*, Award, 7 December 2011, paras 358–359; *OI European Group v Venezuela*, Award, 10 March 2015, para 494.

case,[414] the ICJ, when describing the concept of 'arbitrary or discriminatory measures', also referred to procedural aspects:

> a wilful disregard of due process of law, an act which shocks, or at least surprises, a sense of juridical propriety.[415]

Investment tribunals have followed the lead of the ICJ in *ELSI*.[416] The *Azurix* Tribunal said:

> The Tribunal finds that the definition in *ELSI* is close to the ordinary meaning of arbitrary since it emphasizes the element of willful disregard of the law.[417]

The Tribunal in *Genin v Estonia*[418] gave a restrictive description of the term 'arbitrary'. It made the following statement about the issue of arbitrariness arising from procedural irregularity:

> in order to amount to a violation of the BIT, any procedural irregularity that may have been present would have to amount to bad faith, a willful disregard of due process of law or an extreme insufficiency of action.[419]

Other tribunals have adopted a less demanding standard for arbitrariness through procedural shortcomings. In *Lemire v Ukraine*[420] the Tribunal said:

> the President's 'Instruction' amounted to interference with the independent and impartial decision of the National Council in favour of two of Claimant's competitors … and thus amounts to an '*arbitrary or discriminatory measure*' within the meaning of Article II.3 (b) of the BIT.[421]

In *Alghanim v Jordan*,[422] the Tribunal described arbitrariness flowing from a violation of due process of law in the following terms:

[414] *Elettronica Sicula SpA (ELSI) (United States of America v Italy)*, Judgment, 20 July 1989, ICJ Reports (1989) 15.

[415] At para 128. The Court found on the facts of the case, that the temporary requisitioning of the industrial plant had not violated this standard.

[416] See also *Duke Energy* v *Ecuador*, Award, 18 August 2008, para 378; *E energija v Latvia*, Award, 22 December 2017, para 841.

[417] *Azurix v Argentina*, Award, 14 July 2006, para 392. In the same sense: *Siemens v Argentina*, Award, 6 February 2007, para 318.

[418] *Genin v Estonia*, Award, 25 June 2001.

[419] At para 371, quoting the ICJ in *ELSI*. The Tribunal found that on the facts of the case before it the standard had not been violated.

[420] *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010.

[421] At para 356. Italics original. See also para 418.

[422] *Alghanim v Jordan*, Award, 14 December 2017.

> The protection from arbitrary measures requires the Tribunal to assess whether the investment has been subject to 'a wilful disregard of due process of law', not whether the act is 'opposed to a rule of law'. This necessarily entails consideration of the whole process of law to which the investment was subjected.[423]

(d) The meaning of 'discriminatory'

The Tribunal in *Plama v Bulgaria*[424] gave the following general definition of discrimination:

> With regard to discrimination, it corresponds to the negative formulation of the principle of equality of treatment. It entails like persons being treated in a different manner in similar circumstances without reasonable or justifiable grounds.[425]

Discrimination can take several forms. It can be based on race, religion, political affiliation, disability, and other criteria. In the context of the treatment of foreign investment, the most frequent problem is discrimination based on nationality. Consequently, most of the practice dealing with discrimination focuses on nationality. Discrimination based on nationality is addressed in investment treaties by way of two specific standards: national treatment and MFN treatment.[426] But this does not mean that the issue of discrimination is necessarily restricted to nationality.

In *Ulysseas v Ecuador*,[427] the respondent had contended that the only standard for discriminatory treatment was nationality.[428] The Tribunal rejected this argument and said:

> In the Tribunal's view, for a measure to be discriminatory it is sufficient that, objectively, two similar situations are treated differently. As stated by the ICSID tribunal in *Goetz v. Burundi*, '*discrimination supposes a differential treatment applied to people who are in similar situations*'. As such, discrimination may well disregard nationality and relate to a foreign investor being treated differently from another investor whether national or foreign in a similar situation.[429]

[423] At para 309.
[424] *Plama v Bulgaria*, Award, 27 August 2008.
[425] At para 184.
[426] These standards are dealt with in VIII.4 and VIII.5.
[427] *Ulysseas v Ecuador*, Final Award, 12 June 2012.
[428] At para 292.
[429] At para 293. Italics original. Footnote omitted.

In *von Pezold v Zimbabwe*,[430] the Tribunal found that the measures taken by Zimbabwe regarding the expropriation of certain farms were discriminatory as they were directed against claimants based on their skin colour.

A finding of discrimination is independent of a violation of domestic law. In fact, domestic law may be the cause for a violation of the international standard. In *Lauder v Czech Republic*,[431] the applicable BIT offered protection against 'arbitrary and discriminatory measures.' The Tribunal said:

> For a measure to be discriminatory, it does not need to violate domestic law, since domestic law can contain a provision that is discriminatory towards foreign investment, or can lack a provision prohibiting the discrimination of foreign investment.[432]

Practice dealing with discrimination has concentrated on two key issues. One concerns the basis of comparison for the alleged discrimination. The other concerns the question whether discriminatory intent is a requirement for a finding of discrimination or whether the fact of unequal treatment is sufficient.

aa. The basis of comparison

The basis of comparison is a crucial question in applying provisions dealing with non-discrimination.[433] As held by the Tribunal in *Metalpar v Argentina*:

> [t]reating different categories of subjects differently is not unequal treatment. The principle of equality only applies between equal subjects, not between unequal subjects.[434]

If the investor is entitled to non-discrimination what group must be looked at for comparison? Only businesses engaged in exactly the same activity? Or also businesses engaged in similar activity? Or businesses engaged in any economic activity?[435]

In some cases, the issue of the basis of comparison never arose since the tribunals were able to pinpoint unjustifiable differential treatment among businesses

[430] *von Pezold v Zimbabwe*, Award, 28 July 2015, para 501.
[431] *Lauder v Czech Republic*, Final Award, 3 September 2001.
[432] At para 220.
[433] *Goetz v Burundi*, Award, 10 February 1999, para 121; *Electrabel v Hungary*, Award, 25 November 2015, para 175.
[434] *Metalpar v Argentina*, Award on the Merits, 6 June 2008, para 162.
[435] NAFTA tribunals have dealt with a similar question when interpreting the provision of Article 1102 of the NAFTA on national treatment. See *SD Myers v Canada*, Partial Award, 13 November 2000, para 250; *Pope & Talbot v Canada*, Award on the Merits of Phase 2, 10 April 2001, paras 45–63, 68–69, 78; *Methanex v United States*, Final Award on Jurisdiction and Merits, 3 August 2005, IV, B, paras 17–19, 25–37; *Feldman v Mexico*, Award, 16 December 2002, para 171.

within the same area of activity.[436] In *Occidental v Ecuador*,[437] the Tribunal rejected a narrow comparison that would have looked only at the same economic sector or activity.[438] In *Enron v Argentina*,[439] the Tribunal looked at the question whether there had been 'any capricious, irrational or absurd differentiation' in the treatment of different sectors of the economy.[440]

In some cases, tribunals found that it was not possible to compare different sectors of the economy and to establish discrimination on that basis.[441] The Tribunal in *BG Group v Argentina* found that gas distributors and other public service providers such as electricity distributors were not in like circumstances.[442]

In *El Paso v Argentina*,[443] the claimant had complained about differences in treatment between the hydrocarbons sector and the banking sector. The Tribunal said:

> It is this Tribunal's view that a differential treatment based on the existence of a different factual and legal situation does not breach the BIT's standard. Here the Tribunal is in line with the approach of other tribunals already cited and finds itself in agreement with the tribunal in *Enron*, which found no discrimination between the different sectors of the economy, although they were indeed treated differently, as there was no 'capricious, irrational or absurd differentiation in the treatment accorded to the Claimant as compared to other entities or sectors.'[444]

bb. Discriminatory intent

Tribunals generally favour an objective approach that looks at the discriminatory consequences of a particular measure and not at any discriminatory intent.[445] The Tribunal in *Siemens v Argentina*[446] said:

[436] *Nykomb v Latvia*, Arbitral Award, 16 December 2003, Section 4.3.2; *Saluka v Czech Republic*, Partial Award, 17 March 2006, paras 313–347, 466; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, paras 384–385.

[437] *Occidental Exploration v Ecuador*, Final Award, 1 July 2004.

[438] At paras 167–176. The Tribunal added that it found the practice concerning 'like products' developed within GATT/WTO not specifically pertinent, paras 174–176.

[439] *Enron v Argentina*, Award, 22 May 2007.

[440] At para 282. See also *Sempra v Argentina*, Award, 28 September 2007, para 319.

[441] *CMS v Argentina*, Award, 12 May 2005, para 293; *Metalpar v Argentina*, Award on the Merits, 6 June 2008, paras 161–164; *National Grid v Argentina*, Award, 3 November 2008, paras 201–202; *El Paso v Argentina*, Award, 31 October 2011, paras 309–315.

[442] *BG Group v Argentina*, Final Award, 24 December 2007, para 357.

[443] *El Paso v Argentina*, Award, 31 October 2011, paras 305–316.

[444] At para 315. Footnote omitted.

[445] *SD Myers v Canada*, Partial Award, 13 November 2000, paras 252–254; *Feldman v Mexico*, Award, 16 December 2002, para 184; *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 177; *Eastern Sugar v Czech Republic*, Partial Award, 27 March 2007, para 338; *Cargill v Poland*, Final Award, 29 February 2008, para 522; *El Paso v Argentina*, Award, 31 October 2011, para 305; *Unglaube v Costa Rica*, Award, 16 May 2012, para 263; *Ulysseas v Ecuador*, Final Award, 12 June 2012, para 293; *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 7.152.

[446] *Siemens v Argentina*, Award, 6 February 2007.

> The Tribunal concurs that intent is not decisive or essential for a finding of discrimination, and that the impact of the measure on the investment would be the determining factor to ascertain whether it had resulted in non-discriminatory treatment.[447]

However, there are cases that indicate that discriminatory intent is relevant. In some cases, the Tribunals also looked at the question whether measures had been taken in view of the investors' foreign nationality.[448] In *LG&E v Argentina*,[449] the Tribunal held that either discriminatory intent or discriminatory effect would suffice. In the end, it relied on the effect of the acts in question. The Tribunal said:

> In the context of investment treaties, and the obligation thereunder not to discriminate against foreign investors, a measure is considered discriminatory if the intent of the measure is to discriminate or if the measure has a discriminatory effect.[450]

Therefore, the primary criterion for discrimination under a treaty clause protecting the investor against arbitrary or discriminatory treatment is whether the investor has, in fact, been treated less favourably than other investors, especially based on nationality. Despite some cases pointing to discriminatory intent, the preponderant view is that discrimination need not be based on an intention to discriminate. *De facto* discrimination is enough.

4. National treatment

ADDITIONAL READING: AK Bjorklund, 'National Treatment' in A Reinisch (ed) *Standards of Investment Protection* (2009) 29; A Kamperman Sanders (ed) *The Principle of National Treatment in International Economic Law* (2014); A Reinisch, 'National Treatment' in M Bungenberg et al (eds) *International Investment Law* (2015) 846; RE Vinuesa, 'National Treatment, Principle' in R Wolfrum (ed) *International Economic Law—The Max Planck Encyclopedia of Public International Law* (2015) 664; J Kurtz, 'National Treatment' in J Kurtz (ed) *The WTO and International Investment Law* (2016) 79; AK Bjorklund, 'The National Treatment Obligation' in K Yannaca-Small (ed) *Arbitration under International Investment*

[447] At para 321.

[448] *Lauder v Czech Republic*, Final Award, 3 September 2001, para 231. In *Methanex v United States*, Final Award on Jurisdiction and Merits, 3 August 2005, the Tribunal is unclear on this point: see IV, B, para 1 and para 12; *Noble Ventures v Romania*, Award, 12 October 2005, para 180; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 356; *Urbaser v Argentina*, Award, 8 December 2016, para 1088.

[449] *LG&E v Argentina*, Decision on Liability, 3 October 2006.

[450] At para 146. Footnote omitted.

Agreements (2018) 21.01; A Reinisch and C Schreuer, *International Protection of Investments* (2020) 587.

(a) General meaning

Clauses on national treatment are part of the standard repertoire of investment treaties. They appear in BITs as well as in multilateral treaties like the ECT (Article 10(3)), the NAFTA (Article 1102), and the USMCA (Article 14.4). Most of the relevant practice deals with the national treatment clause of NAFTA which provides in Article 1102(1):

> Each Party shall accord to investors of another Party treatment no less favorable than that it accords, in like circumstances, to its own investors with respect to the establishment, acquisition, expansion, management, conduct, operation, and sale or other disposition of investments.

National treatment clauses are an expression of the non-discrimination principle. Under customary international law there is no obligation to treat nationals and foreigners alike.[451] National treatment clauses are meant to provide a level playing field between foreign investors and their local competitors and to prevent protectionist measures by host States in favour of national investors. They oblige host States to make no negative differentiation between foreign and national investors when enacting and applying their rules and regulations and thus to promote the position of the foreign investor to the level accorded to nationals.[452] The standard is therefore contingent, relative, or comparative. The required treatment of foreign investors depends on treatment accorded to national investors.

The purpose of national treatment clauses in investment treaties differs fundamentally from the concept of 'national treatment' as it became known a few decades ago, as part of the proposed 'New International Economic Order'.[453] That concept was intended to limit, as far as possible, any rights a foreign investor could derive from international law.

Most national treatment clauses apply once a business is established (post-entry national treatment). This covers both regulatory and contractual matters.[454] Some investment treaties, especially those concluded by the United States and Canada,[455]

[451] *Methanex v United States*, Final Award on Jurisdiction and Merits, 3 August 2005, IV, C, para 25.

[452] *Thunderbird v Mexico*, Arbitral Award, 26 January 2006, para 175; *Champion Trading v Egypt*, Award, 27 October 2006, para 125; *Parkerings v Lithuania*, Award, 11 September 2007, para 367; *Archer Daniels Midland v Mexico*, Award, 21 November 2007, para 193; *Bayindir v Pakistan*, Award, 27 August 2009, para 387.

[453] See I.1(c) above.

[454] *Bayindir v Pakistan*, Award, 27 August 2009, para 388.

[455] The CETA text includes a pre-entry national treatment requirement which is however not arbitrable (Article 8.6. CETA in combination with Article 8.18 CETA).

also offer a right of access to a national market based on national treatment (pre-entry national treatment).[456]

The relative homogeneity of national treatment clauses in BITs does not mean that the standard is easy to apply. Although the basic clause is generally the same, the practical implications differ due to exemptions of certain business sectors. More importantly, even the basic guarantee contained in the national treatment standard itself is not always clear. Only few tribunals have found breaches of this standard and even where they did, they usually failed to discuss the exact meaning of the concept. It is generally agreed that the application of national treatment clauses is fact specific.[457] Like the concept of FET,[458] the national treatment standard resists abstract definition and a consistent approach to its interpretation is difficult to make out.

There is a certain overlap of the national treatment standard with the non-discrimination obligation under the FET standard[459] and the prohibition of arbitrary or discriminatory measures[460] contained in many investment protection treaties.

In examining whether the national treatment standard has been respected, tribunals typically take three steps.[461] First, the tribunal will determine whether the foreign investor and the domestic investor are placed in a comparable setting, in 'a like situation' or in 'like circumstances'. Second, it must determine whether the treatment accorded to the foreign investor was at least as favourable as the treatment accorded to domestic investors. Third, in the case of treatment that is less favourable, it must determine whether the differentiation was justified. Behind these seemingly simple parameters of the clause, lie complex issues that are not fully answered by existing case law.

(b) The basis of comparison: like circumstances

National treatment clauses typically do not contain an indication how to decide on the comparator. US treaties traditionally specify that the clause will apply in 'like situations'.[462] In recent years, US treaty practice has changed to 'in like

[456] See VI.5(b) above. See also *ADF v United States*, Award, 9 January 2003, para 153.
[457] The Appellate Body of the WTO has observed that the 'concept of "likeness" is a relative one that evokes the image of an accordion'; *Japan—Taxes on Alcoholic Beverages II*, WT/DS8, -10, -11/AB/R (4 October 1996), at H.1.(a).
[458] See VIII.1(d) above.
[459] See VIII.1(e) above.
[460] See VIII.3(d) above.
[461] *Methanex v United States*, Final Award, 3 August 2005, IV, B, para 13; *UPS v Canada*, Award on the Merits, 24 May 2007, para 83; *Archer Daniels Midland v Mexico*, Award, 21 November 2007, para 196; *Bayindir v Pakistan*, Award, 27 August 2009, para 399; *Olin v Libya*, Award, 25 May 2018, para 204. In *Gavrilović v Croatia*, Award, 26 July 2018, para 1191 the Tribunal focused on only two of the elements. It analysed whether: (i) the Claimants and [a host State national] were in like circumstances; and (ii) the Claimants were accorded less favourable treatment than [the host state national].
[462] See the 1984 US Model BIT Article II.1.

circumstances'.[463] The NAFTA (Article 1102) and the USMCA (Article 14.4) refer to 'in like circumstances'. The CETA (Article 8.6) refers to 'in like situations'.

Finding a suitable basis of comparison has turned out to be difficult.[464] Some tribunals have pointed out that this analysis was fact-specific.[465] Some investment tribunals have taken the view that in order to determine whether a foreign investor and a local comparator were in 'like circumstances' or 'like situations' they had to assess whether they operated in the same economic sector.[466] For instance, the Tribunal in *SD Myers v Canada*[467] emphasized the relevance of the 'economic' or 'business' sector for the determination of likeness:

> The concept of 'like circumstances' invites an examination of whether a non-national investor complaining of less favorable treatment is in the same 'sector' as the national investor. The Tribunal takes the view that the word 'sector' has a wide connotation that includes the concepts of 'economic sector' and 'business sector'.[468]

Similarly, in *Feldman v Mexico*, 'in like circumstances' was interpreted to refer to the same business: the export of cigarettes.[469] By contrast, the Tribunal in *Occidental v Ecuador* referred to local producers in general, 'and this cannot be done by addressing exclusively the sector in which that particular activity is undertaken'.[470] It considered the measure 'VAT refund' rather than the particular economic activity of the investor for the establishment of the relevant comparator.

A fact-specific assessment of 'like circumstances' must look beyond business sectors and include the business and regulatory environment surrounding the activity in question.[471] This approach was taken in *Merrill & Ring v Canada*.[472] The Tribunal said:

> NAFTA tribunals have, on a number of occasions, considered various factors in assessing whether investors are 'in like circumstances' … The environment, trade, the nature of services and functions, and public policy considerations are

463 See the 2004 and 2012 US Model BITs Article 3.
464 *Bogdanov v Moldova III*, Final Award, 16 April 2013, para 218.
465 *Bayindir v Pakistan*, Award, 27 August 2009, para 389; *Apotex v United States*, Award, 25 August 2014, para 8.15; *Vento v Mexico*, Award, 6 July 2020, para 240.
466 *Pope & Talbot v Canada*, Award on the Merits of Phase 2, 10 April 2001, para 78; *ADF v United States*, Award, 9 January 2003, para 156; *Champion Trading v Egypt*, Award, 27 October 2006, para 130; *Archer Daniels Midland v Mexico*, Award, 21 November 2007, paras 198–201; *Olin v Libya*, Award, 25 May 2018, paras 205–208.
467 *SD Myers v Canada*, Partial Award, 13 November 2000.
468 At para 250.
469 *Feldman v Mexico*, Award, 16 December 2002, para 171.
470 *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 173.
471 *Grand River v United States*, Award, 12 January 2011, para 166; *Railroad Development v Guatemala*, Award, 29 June 2012, para 153; *Levy v Peru*, Award, 26 February 2014, paras 396–401.
472 *Merrill & Ring v Canada*, Award, 31 March 2010.

> found among such factors. This also explains why it is not enough on occasions to undertake the comparison solely in the same sector of economic activity and it might be necessary, as in *Occidental*, to consider whole sectors of the economy and business.[473]

Instead of focusing on business sectors, the Tribunal decided 'that the proper comparison is between investors which are subject to the same regulatory measures under the same jurisdictional authority'.[474]

The Tribunal in *Apotex v United States*[475] noted that the parties accepted that both the business sector and the regulatory regime were relevant. It said:

> it is appropriate in the identification of comparators which are in 'like circumstances' to look at, *inter alia*, whether those which are said to be comparators: (i) are in the same economic of business sector; (ii) have invested in, or are businesses that compete with the investor or its investments in terms of goods or services; or (iii) are subject to a comparable legal regime or regulatory requirements, as the Claimants and their investments.[476]

In *Clayton/Bilcon v Canada*, the Tribunal found that the comparison cases concerning environmental impact assessments invoked by the investor where 'sufficiently similar' to use them for a comparison with the treatment that the claimant's investment had received.[477] The application of a 'less favourable evaluation standard' to the foreign investor led to a finding of a violation.[478]

Therefore, the overall legal context in which a measure is placed must also be considered when 'like circumstances' are identified.

(c) Less favourable treatment

The application of a national treatment clause presupposes some type of 'treatment' by the host State. This indicates that what is required is not a theoretical distinction but actual behaviour.[479] The Tribunal in *Daimler v Argentina*[480] stated:

[473] At para 88.
[474] At para 89.
[475] *Apotex v United States*, Award, 25 August 2014.
[476] At para 8.15.
[477] *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, para 695.
[478] At para 705.
[479] *SD Myers v Canada*, Partial Award, 13 November 2000, para 254; *Merrill & Ring v Canada*, Award, 31 March 2010, paras 79–80.
[480] *Daimler v Argentina*, Award, 22 August 2012.

> beyond dispute is that 'treatment' deals with the actual behavior of the Host States towards a foreign private investment as measured against the international obligations binding upon the State on the basis of treaty law and general international law.[481]

Under most national treatment clauses, the treatment of foreign investors must be 'no less favourable' than that of their domestic counterparts. This leaves the possibility that national law may be more favourable for the foreign investor. Hence, a positive differentiation remains permissible and will even be obligatory if the minimum standard under international law is higher than the one applied to nationals.

Several questions arise with regard to the existence of a differentiation. Must the host State give a foreign investor the most favourable treatment given to any national comparator, or treatment no less favourable than the average domestic investor or even only the least favourably treated domestic investor?[482] Most investment protection treaties do not address this question and the case law of tribunals also does not provide a general answer. NAFTA tribunals have accepted that it is enough to prove that the foreign investor was treated less favourably than a single domestic investor who was in like circumstances.[483]

Some tribunals have distinguished between *de jure* and *de facto* discrimination, sometimes also referred to as direct and indirect discrimination.[484] The difference between the two is usually the degree to which the discriminatory treatment is evident. *De jure* or direct discrimination refers to discriminatory treatment that is openly linked to (foreign) nationality, whereas *de facto* or indirect discrimination indicates treatment that disadvantages foreign investors as a matter of fact even though it may be neutral on its face.

In *Archer Daniels Midland v Mexico*,[485] the Tribunal endorsed this view and defined these two forms of discrimination as follows:

> The national treatment obligation under Article 1102 is an application of the general prohibition of discrimination based on nationality, including both *de jure* and *de facto* discrimination. The former refers to measures that on their face treat entities differently, whereas the latter includes measures which are neutral on their face but which result in differential treatment.[486]

[481] At para 218. See also *Apotex v United States*, Award, 25 August 2014, paras 8.11–8.14.

[482] *Feldman v Mexico*, Award, 16 December 2002, para 185. See also AK Bjorklund, 'National Treatment' in A Reinisch (ed) *Standards of Investment Protection* (2009) 29, 54.

[483] *Pope & Talbot v Canada*, Award of the Merits of Phase 2, 10 April 2001, para 41; *Archer Daniels Midland v Mexico*, Award, 21 November 2007, para 205.

[484] *ADF v United States*, Award, 9 January 2003, para 157; *Parkerings v Lithuania*, Award, 11 September 2007, para 368; *Corn Products v Mexico*, Decision on Responsibility, 15 January 2008, para 115; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, para 249.

[485] *Archer Daniels Midland v Mexico*, Award, 21 November 2007.

[486] At para 193.

The same view was expressed by the Tribunal in *Alpha v Ukraine*:[487]

> Such discrimination could arise *de jure* if there is a government measure such as a law or regulation that explicitly discriminates between domestic and foreign investors, or *de facto* if the measure is not explicitly or inherently discriminatory but discriminates between domestic and foreign investors in the way in which it is applied.[488]

The references to 'national treatment' and to 'investors of the other Contracting State' indicate that these clauses prohibit discrimination based on nationality. This leaves open the question whether they apply to differentiations that are not nationality-based but are still unjustifiable on rational grounds.[489] The Tribunal in *Feldman v Mexico*[490] seemed to think that it was sufficient to produce proof of discrimination and not necessary to show discrimination based on nationality. The Tribunal said:

> it is not self-evident, as the Respondent argues, that any departure from national treatment must be *explicitly* shown to be a result of the investor's nationality. There is no such language in Article 1102. Rather, Article 1102 by its terms suggests that it is sufficient to show less favorable treatment for the foreign investor than for domestic investors in like circumstances… For practical as well as legal reasons, the Tribunal is prepared to assume that the differential treatment is a result of the Claimant's nationality, at least in the absence of any evidence to the contrary.[491]

Similarly, the Tribunal in *Thunderbird v Mexico*[492] indicated that it was not necessary for the claimant to show separately that the discrimination was motivated by nationality. The fact of less favourable treatment was enough. The Tribunal said:

> It is not expected from Thunderbird that it show *separately* that the less favourable treatment was motivated because of nationality. The text of Article 1102 of the NAFTA does not require such showing. Rather, the text contemplates the case where a foreign investor is treated less favourably than a national investor. That case is to be proven by a foreign investor, and, additionally, the reason why there was a less favourable treatment.[493]

[487] *Alpha v Ukraine*, Award, 8 November 2010.
[488] At para 426.
[489] *Pope & Talbot v Canada*, Award on the Merits of Phase 2, 10 April 2001, para 79; *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 177; *Merrill & Ring v Canada*, Award, 31 March 2010, para 94.
[490] *Feldman v Mexico*, Award, 16 December 2002.
[491] At para 181. Italics original.
[492] *Thunderbird v Mexico*, Arbitral Award, 26 January 2006.
[493] At para 177. Underlining original.

On the other hand, a purely incidental differentiation resulting from misguided policy decisions does not suffice to show discrimination.[494] Also, a differentiation need not violate domestic law to be contrary to the national treatment standard. The Tribunal in *Lauder v Czech Republic*[495] said in this respect:

> For a measure to be discriminatory, it does not need to violate domestic law, since domestic law can contain a provision that is discriminatory towards foreign investment, or can lack a provision prohibiting the discrimination of foreign investment.[496]

(d) Is there a justification for the differentiation?

The third part of an investigation into an alleged violation of a national treatment clause pertains to the justification for a differentiating measure. Although most investment treaties do not explicitly say so, it is widely accepted that differentiations are justifiable if rational grounds are shown. However, a precise definition of these grounds has remained elusive. Furthermore, the case law is not uniform on whether the pursuit of some rational policy by the government to justify the differential treatment is sufficient[497] or whether the State must use the least interfering means with investor rights if there are several alternative ways to achieve its policy goals.[498]

Some tribunals have merged the justification test with their analysis of whether the foreign investor was in 'like circumstances' with the domestic comparator.[499] This conflates the question whether two entities are comparable for the purpose of the national treatment standard with the question whether a difference in treatment is justified by a rational government policy. For reasons of clarity, judicial rigour, and transparency it is better to keep the three steps of analysis (like circumstances, less favourable treatment, justification) apart. This allows States and investors to anticipate more effectively which differentiations are accepted as justified by tribunals.

National policies in favour of the domestic public interest can, under certain circumstances, constitute a rational ground for according less than national treatment. However, which specific grounds may be argued in this regard is unclear.[500]

494 *GAMI v Mexico*, Final Award, 15 November 2004, para 114.

495 *Lauder v Czech Republic*, Final Award, 3 September 2001.

496 At para 220.

497 *GAMI v Mexico*, Final Award, 15 November 2004, para 114.

498 *SD Myers v Canada*, Partial Award, 13 November 2000, para 221.

499 *SD Myers v Canada*, Partial Award, 13 November 2000, para 250; *Pope & Talbot v Canada*, Award on Merits of Phase 2, 10 April 2001, para 78; *Feldman v Mexico*, Award, 16 December 2002, para 170; *Apotex v United States*, Award, 25 August 2014, para 8.55.

500 See already the PCIJ in the *Oscar Chinn Case (UK v Belgium)*, Judgment, 12 December 1934, PCIJ, Series A/B, No 63.

Tribunals have accepted a variety of circumstances as legitimizing differential treatment. In *SD Myers v Canada*, the Tribunal seems to have assumed that subsidies are allowed to promote national policies.[501] In *GAMI v Mexico*, the Tribunal found that the solvency of an important local industry, in this case sugar, was a legitimate policy goal.[502] In *ADF v United States*, the Tribunal found no violation of the national treatment standard in a US requirement to use locally produced steel for government projects, if it was applied equally to national and foreign contractors.[503]

In *Clayton/Bilcon v Canada*, the respondent had applied different environmental impact tests to comparable projects. The Tribunal found that the host State must pursue a reasonable and non-discriminatory policy and decided that there was no rational government policy for applying the different standards.[504]

In *Rusoro v Venezuela*,[505] the Tribunal decided that it was justified to differentiate between small-scale miners and large mining companies. It did not, however, distinguish between the 'in like circumstances' test and the 'justification' analysis and stated:

> The Bolivarian Republic has adopted an official policy, differentiating between small scale, traditional miners and large mining companies and offering additional support and less stringent requirements to small miners. Thus Rusoro (and other large miners) and small scale miners are not 'in like circumstances', and the difference in treatment is justified by valid policy reasons.
>
> The Tribunal finds that the distinct treatment given to small scale miners in the 2010 Measures does not result in a breach of Art. IV.1 of the BIT.[506]

One factor in deciding on the legality of differential treatment might be whether the policy in the specific case is lawful under other relevant rules of international law. Some States promote domestic entities based on cultural policies by way of subsidies.[507] The UNESCO Convention on the Protection and Promotion of the Diversity of Cultural Expressions, may justify such a differentiation.[508]

In *Thunderbird v Mexico*, the Tribunal held in an *obiter dictum* that no claim to national treatment could be made if the conduct of the investor was illegal under national law, in this case gambling. This applied even if that national law was not

[501] *SD Myers v Canada*, Partial Award, 13 November 2000, para 255: 'CANADA's right to source all government requirements and to grant subsidies to the Canadian industry are but two examples of legitimate alternative measures.'

[502] *GAMI v Mexico*, Final Award, 15 November 2004, para 114.

[503] *ADF v United States*, Award, 9 January 2003, paras 156–158.

[504] *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, paras 724–725.

[505] *Rusoro v Venezuela*, Award, 22 August 2016.

[506] At paras 563, 564.

[507] See *UPS v Canada*, Award on the Merits, 24 May 2007, para 156.

[508] Article 20 of the Convention on the Protection and Promotion of the Diversity of Cultural Expressions, 20 October 2005.

uniformly enforced.[509] Hence, no 'equality in injustice' can be claimed by a foreign investor under this standard.

(e) The relevance of discriminatory intent

Most tribunals do not require proof of discriminatory intent for the finding of a violation of a national treatment provision. The Tribunal in *SD Myers v Canada*[510] looked at the practical impact of a government measure rather than for any intent on the part of the host government to favour its national and said:

> Intent is important, but protectionist intent is not necessarily decisive on its own. The existence of an intent to favour nationals over non-nationals would not give rise to a breach of [Article] 1102 of the NAFTA if the measure in question were to produce no adverse effect on the non-national complainant. The word 'treatment' suggests that practical impact is required to produce a breach of Article 1102, not merely a motive or intent that is in violation of Chapter 11.[511]

Other tribunals have similarly held that an intent to discriminate was not decisive and that what mattered was the impact or result of the measure.[512]

On the other hand, there are some tribunals whose findings concerning the requirement of intent are ambiguous. The Tribunal in *Genin v Estonia* seemed to require a discriminatory intent as a necessary prerequisite for a finding of discrimination.[513] *Methanex v United States* also includes language that may be understood to require evidence of intent to discriminate.[514] The same is true for *Electrabel v Hungary*.[515]

509 *Thunderbird v Mexico*, Arbitral Award, 26 January 2006, para 183.

510 *SD Myers v Canada*, Partial Award, 13 November 2000.

511 At para 254.

512 *Feldman v Mexico*, Award, 16 December 2002, para 181; *RFCC v Morocco*, Award, 22 December 2003, para 74; *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 177; *Siemens v Argentina*, Award, 6 February 2007, para 321; *Parkerings v Lithuania*, Award, 11 September 2007, para 368; *Corn Products v Mexico*, Decision on Responsibility, 15 January 2008, para 138; *Cargill v Poland*, Final Award, 29 February 2008, para 345; *Bayindir v Pakistan*, Award, 27 August 2009, para 390; *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, para 719.

513 *Genin v Estonia*, Award, 25 June 2001, para 369.

514 *Methanex v United States*, Final Award, 3 August 2005, IV, B, para 12: 'In order to sustain its claim under Article 1102(3), Methanex must demonstrate, cumulatively, that California intended to favour domestic investors by discriminating against foreign investors and that Methanex and the domestic investor supposedly being favored by California are in like circumstances.' But in para 1 of the same chapter the Tribunal says: 'an affirmative finding under NAFTA Article 1102 … does not require the demonstration of the malign intent alleged by Methanex.'

515 *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 7.163: 'There is no factual evidence that any relevant conduct by MVM, HEO or the Hungarian Government (including its ministers) was ever motivated by national or other discrimination within the terms of Article 10(7) ECT.'

(f) The relevance of WTO case law

On the significance of World Trade Organization (WTO) law and its jurisprudence for the interpretation of investment treaties, earlier NAFTA decisions in *SD Myers*,[516] *Pope & Talbot*,[517] and *Feldman*[518] seemed to assume that the relevant WTO jurisprudence was indeed suitable to guide tribunals. Meanwhile, the tide seems to have turned against relying on WTO jurisprudence in the interpretation and application of the national treatment standard in investment treaties.

The departure from the original approach started in 2004 when the Tribunal in *Occidental Exploration v Ecuador*[519] rejected the argument that WTO jurisprudence should be applied to the BIT between Ecuador and the United States. It noted that the WTO is concerned with 'like products', but the BIT addressed 'like situations', and added that the WTO policies concerning competitive and substitutable goods could not be treated in the same way as the BIT policies concerning 'like situations'.[520]

The decisive turnaround came with the *Methanex* ruling and its detailed clause-by-clause analysis of the various parts of the NAFTA as compared to the language in WTO law.[521] The Tribunal pointed out that the NAFTA rules use different language in different parts. In part, the language is the same as that used in the WTO, but not so in Chapter Eleven dealing with foreign investment. The conclusion in *Methanex* was that the NAFTA parties were aware of the difference in language, and that in Chapter Eleven of the NAFTA the parties deliberately referred to 'like circumstances' as opposed to 'like goods'. Thus, the *Methanex* Tribunal ruled that 'like circumstances' in the context of a foreign investment cannot be considered to be identical with the concept of 'like goods' and that, therefore, the NAFTA investment provisions had to be interpreted autonomously, independent from trade law considerations.[522]

Other tribunals have adopted the same approach and have refused to transfer GATT/WTO law concerning 'like products' to investment law concerning 'like circumstances'.[523] Nevertheless, *Corn Products v Mexico*[524] suggests that the

[516] *SD Myers v Canada*, Partial Award, 13 November 2000, paras 244–247.
[517] *Pope & Talbot v Canada*, Award on Merits, 10 April 2001, paras 45–63, 68–69.
[518] *Feldman v Mexico*, Award, 16 December 2002, para 165.
[519] *Occidental Exploration v Ecuador*, Final Award, 1 July 2004.
[520] At paras 153–155, 174–176. At para 175 the Tribunal found that the purpose of national treatment was rather the opposite of that under GATT/WTO: 'it [the national treatment] is to avoid exporters being placed at a disadvantage in foreign markets because of the indirect taxes paid in the country of origin, while in GATT/WTO the purpose is to avoid imported products being affected by a distortion of competition with similar domestic products because of taxes and other regulations in the country of destination'.
[521] *Methanex v United States*, Final Award, 3 August 2005, IV, B, paras 25–37.
[522] At paras 35, 37.
[523] *Bayindir v Pakistan*, Award, 27 August 2009, para 389; *Cargill v Mexico*, Award, 18 September 2009, para 193; *Merrill & Ring v Canada*, Award, 31 March 2010, paras 86–87; *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, para 692.
[524] *Corn Products v Mexico*, Decision on Responsibility, 15 January 2008, para 122.

determination of a 'like product' under the GATT rules and the investment provision of Article 1102 of the NAFTA are closely linked. Similarly, the Tribunal in *Cargill v Poland* referred to WTO case law to argue that there is no precise and final definition of 'like'.[525]

Therefore, although there is no complete departure from GATT/WTO law, there is a clear trend in the case law of investment tribunals to interpret 'like circumstances' or 'like situations' autonomously.

(g) Burden of proof

In general, tribunals have imposed upon the claimant the burden of proving the existence of like circumstances and of discrimination.[526] On the other hand, respondents had to prove their affirmative defences, notably the existence of a justification for the differentiation.[527]

5. Most-favoured-nation treatment

ADDITIONAL READING: P Acconci, 'Most-Favoured Nation Treatment and International Law on Foreign Investment' in P Muchlinski et al (eds) *The Oxford Handbook of International Investment Law* (2008) 363; W Ben Hamida, 'MFN Clauses and Procedural Rights' in T Weiler (ed) *Investment Treaty Arbitration and International Law*, vol 1 (2008) 231; AR Ziegler, 'Most-Favoured-Nation (MFN) Treatment' in A Reinisch (ed) *Standards of Investment Protection* (2008) 59; K Hobér, 'MFN Clauses and Dispute Resolution in Investment Treaties' in C Binder et al (eds) *International Investment Law for the 21st Century* (2009) 31; SW Schill, *The Multilateralization of International Investment Law* (2009); GS Tawil, 'Most Favoured Nation Clauses and Jurisdictional Clauses in Investment Treaty Arbitration' in C Binder et al (eds) *International Investment Law for the 21st Century* (2009) 9; Z Douglas, 'The MFN Clause in Investment Arbitration' (2011) 2 *JIDS* 97; M Paparinskis, 'MFN Clauses and International Dispute Settlement' (2011) 26 *ICSID Rev* 14; C Greenwood, 'Reflections on "Most Favoured Nation"

[525] *Cargill v Poland*, Final Award, 5 March 2008, para 311.

[526] *ADF v United States*, Award, 9 January 2003, para 157; *Tecmed v Mexico*, Award, 29 May 2003, para 181; *Thunderbird v Mexico*, Arbitral Award, 26 January 2006, para 176; *UPS v Canada*, Award on the Merits, 24 May 2007, para 84; *Alpha v Ukraine*, Award, 8 November 2010, para 428; *Total v Argentina*, Decision on Liability, 27 December 2010, para 212; *Anglo American v Venezuela*, Award, 18 January 2019, paras 495–501.

[527] *Feldman v Mexico*, Award, 16 December 2002, para 177; *Nykomb v Latvia*, Arbitral Award, 16 December 2003, p 34; *Apotex v United States*, Award, 25 August 2014, paras 8.6–8.10; *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, paras 717–724; *Al Tamimi v Oman*, Award, 3 November 2015, para 457; *Mercer v Canada*, Award, 6 March 2018, paras 7.15–7.16; *Olin v Libya*, Award, 25 May 2018, paras 203, 217.

Clauses in Bilateral Investment Treaties' in DD Caron et al (eds) *Practising Virtue: Inside International Arbitration* (2015) 556; A Reinisch, 'Most Favoured Nation Treatment' in M Bungenberg et al (eds) *International Investment Law* (2015) 807; C Titi, 'Most-Favoured-Nation Treatment' (2016) 33 *J Int Arb* 425; S Batifort and JB Heath, 'The New Debate on the Interpretation of MFN Clauses in Investment Treaties' (2017) 111 *AJIL* 873; P Dumberry, 'The Importation of the FET Standard through MFN Clauses' (2017) 32 *ICSID Rev* 116; NJ Calamita and E Zelazna, 'Most-Favoured-Nation Clauses and the Centrality and Limits of General Principles' in A Gattini et al (eds) *General Principles of Law and International Investment Arbitration* (2018) 398; A Cohen Smutny et al, 'The MFN Clause and its Evolving Boundaries', in K Yannaca-Small (ed) *Arbitration under International Investment Agreements* (2018) Ch 23; A Reinisch and C Schreuer, *International Protection of Investments* (2020) 680.

(a) Introduction

Customary international law does not require equal treatment of investors of different nationalities. To remedy inequalities, almost all BITs and most other treaties for the protection of investments contain most-favoured-nation (MFN) clauses. The idea of an MFN clause is to avoid discrimination by ensuring that the State Parties to the treaty treat each other and their nationals at least as favourably as they treat third States and their nationals. The more favourable treatment of other States and their nationals may result from mere practice or from treaty obligations. In international investment law, most cases involving MFN clauses concern situations in which an investor invokes benefits granted in treaties of the host State with third States ('third party treaties').

An MFN clause contained in a treaty (called the 'basic treaty'), will extend the better treatment granted to a third State or its nationals to a beneficiary of the MFN clause. This means not only that discrimination based on nationality in comparison to nationals of third States is prohibited. It also means that the beneficiary of the MFN clause is entitled to rely on treaties that the host State has concluded with third States and that would not be applicable otherwise.

MFN clauses have a multilateralizing effect. MFN treatment ensures that investors automatically receive the most favourable treatment extended by a host State to any third-State investor. The purpose of MFN clauses in investment treaties is the creation of a level playing field for investors by avoiding distortion of competition through differentiated treatment.[528] In *National Grid v Argentina*,[529] the Tribunal expressed this aim in the following terms:

[528] *Telefónica v Argentina*, Decision on Jurisdiction, 25 May 2006, para 98: 'An MFN clause is aimed at ensuring equality of treatment to the beneficiaries in respect of its subject matter at the most advantageous level.'

[529] *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006.

> The MFN clause is an important element to ensure that foreign investors are treated on a basis of parity with other foreign investors … when they invest abroad.[530]

An MFN clause creates a standard that is relative and dynamic. This means that its effect depends on the treaty relations of the host State which may develop over time. If the host State does not grant any relevant benefit to a third State and its nationals, the clause will be without practical significance. However, as soon as the host State does confer a relevant benefit to a third State and its investors, that benefit is automatically extended to the beneficiary of the MFN clause.

The traditional significance of MFN treatment in economic relations has led to the inclusion of MFN clauses in international economic treaties for centuries. It is the core standard for the liberalization of international trade. Article I of the GATT, which contains a general MFN clause, is the cornerstones of the entire regime.

(b) The *ejusdem generis* rule

The application of an MFN clause is subject to the *ejusdem generis* rule. The *ejusdem generis* rule states that benefits from a generally worded MFN clause will accrue only within the subject-matter covered by the basic treaty.[531] If the matters covered by the basic treaty and the matters invoked in the third-party treaty are *ejusdem generis* (of the same kind), the MFN clause will apply. If the benefit to be derived from the third-party treaty relates to issues different from the subject-matter of the basic treaty, the MFN clause will not apply. Therefore, an MFN clause in an investment treaty will not attract provisions from a consular or an extradition treaty.

The Commentary to the International Law Commission's Report on The Most-Favoured-Nation Clause of 1978 describes the *ejusdem generis* rule in the following terms:

> a clause conferring most-favoured-nation rights in respect of a certain matter, or class of matter, can attract the rights conferred by other treaties … only in regard to the same matter or class of matter.[532]

The 'same subject-matter' requirement of the *ejusdem generis* rule is satisfied if both treaties relate to the protection of foreign investments. The Tribunal in *Maffezini v Spain*[533] described the *ejusdem generis* principle as follows:

[530] At para 92.

[531] For a detailed exposition of this principle see the work of the International Law Commission on this topic at YBILC 1978 II, 27.

[532] Article 9(1) of the ILC Draft Articles on Most-Favoured-Nation Clauses (1978).

[533] *Maffezini v Spain*, Decision on Jurisdiction, 25 January 2000.

> if a third-party treaty contains provisions for the settlement of disputes that are more favorable to the protection of the investor's rights and interests than those in the basic treaty, such provisions may be extended to the beneficiary of the most favored nation clause as they are fully compatible with the *ejusdem generis* principle. Of course, the third-party treaty has to relate to the same subject matter as the basic treaty, be it the protection of foreign investments or the promotion of trade, since the dispute settlement provisions will operate in the context of these matters;[534]

(c) The scope of MFN clauses

The application of an MFN clause presupposes the applicability of the treaty containing it. To be applicable, BITs and other investment treaties require the existence of an admitted investor and a covered investment. Therefore, an MFN clause cannot be used to expand the category of 'investor' and 'investment' as defined in the treaty.[535]

The Tribunal in *Metal-Tech v Uzbekistan*[536] said in this respect:

> As a general matter, the Tribunal notes that, ordinarily, an MFN clause cannot be used to import a more favorable definition of investment contained in another BIT. The reason is that the defined terms 'investments' and 'investors' are used in the MFN clause itself, so that the treatment assured to investments and investors by Article 3 necessarily refers to investments and investors as defined in Article 1 of the BIT. In other words, one must fall within the scope of the treaty, which is in particular circumscribed by the definition of investment and investors, to be entitled to invoke the treaty protections, of which MFN treatment forms part. Or, in fewer words, one must be under the treaty to claim *through* the treaty.[537]

An MFN clause is not a rule of interpretation. It does not just come into play where the wording of the basic treaty leaves room for doubt. An MFN clause endows its beneficiary with rights that are additional to the rights contained in the basic treaty.

[534] At para 56. See also *Suez and InterAgua v Argentina*, Decision on Jurisdiction, 16 May 2006, para 57.

[535] *Berschader v Russia*, Award, 21 April 2006, para 188; *Société Générale v Dominican Republic*, Award on Preliminary Objections to Jurisdiction, 19 September 2008, paras 40–41; *HICEE v Slovakia*, Partial Award, 23 May 2011, paras 148–149; *Vannessa v Venezuela*, Award, 16 January 2013, para 133; *Rizvi v Indonesia*, Award on Jurisdiction, 16 July 2013, paras 200–228; *ST-AD v Bulgaria*, Award on Jurisdiction, 18 July 2013, para 397; *Nova Scotia Power v Venezuela*, Award, 30 April 2014, para 150; *Krederi v Ukraine*, Award, 2 July 2018, para 295; *Itisaluna v Iraq*, Award, 3 April 2020, para 150.

[536] *Metal-Tech v Uzbekistan*, Award, 4 October 2013, paras 132–163.

[537] At para 145. Italics original.

Whoever is entitled to rely on an MFN clause will be granted rights accruing from a third-party treaty even if these rights go beyond the basic treaty.

The final report of the ILC Study Group on the Most-Favoured-Nation clause described the function of an MFN clause as follows:

> this is at the very core of what MFN is about: it seeks to provide something better than what the beneficiary would otherwise receive under the basic treaty. On that basis, it would seem inevitable that if the basic treaty provides for a certain kind of treatment, the consequence of the application of an MFN clause is that the treaty provision in the basic treaty would be overridden.[538]

Opponents of a wide application of MFN clauses point out that investment treaties are the result of specific negotiations. The application of MFN clauses may lead to the replacement of the negotiated substance of these treaties. Under such circumstances, the question arises whether and to what extent the MFN rule is meant to alter specific arrangements and to import a regime from another treaty.

The rules of interpretation laid down in the VCLT apply also to MFN clauses.[539] Thus, the primary task is to identify the ordinary meaning of the clause in its context and in the light of the treaty's object and purpose.

A focus on the intention of the parties that would be reflected in the basic treaty's substantive provisions is unconvincing. The intentions of the parties are relevant to the extent that they find expression in the treaty's text.[540] The treaty's text includes the MFN clause and there is no good reason why the parties' intention should be reflected in the basic treaty's substantive provisions rather than in its MFN clause.

(d) Variations of MFN clauses

The wording of MFN clauses varies, and each clause must be interpreted and applied on its own terms.[541] In many treaties, the MFN clause is combined with a national treatment clause. For instance, the ECT provides:

[538] International Law Commission, Final report of the Study Group on the Most-Favoured-Nation clause, Doc A/CN.4/L.852, 29 May 2015, para 115.

[539] *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, para 80.

[540] *Garanti Koza v Turkmenistan*, Decision on the Objection to Jurisdiction for Lack of Consent, 3 July 2013, para 57: 'The best indication of the intentions of the State parties to the U.K.–Turkmenistan BIT is the text of the treaty they signed.' See also *Wintershall v Argentina*, Award, 8 December 2008, paras 78, 88; *El Paso v Argentina*, Award, 31 October 2011, para 590.

[541] *Tza Yap Shum v Peru*, Decision on Jurisdiction and Competence, 19 June 2009, para 198: 'Each MFN clause is a world in itself, which demands an individualised interpretation to determine its scope of application.'

> Each Contracting Party shall accord to Investments in its Area of Investors of other Contracting Parties, and their related activities including management, maintenance, use, enjoyment or disposal, treatment no less favourable than that which it accords to Investments of its own Investors or of the Investors of any other Contracting Party or any third state and their related activities including management, maintenance, use, enjoyment or disposal, whichever is the most favourable.[542]

Other versions of MFN clauses do not refer to the same 'treatment', but to 'all matters subject to this agreement'.[543] Some MFN clauses are restricted to a specific standard like FET.[544] Some MFN clauses, like those in many BITs of the United Kingdom, list the Articles to which MFN treatment is meant to apply.[545]

Many MFN clauses contain exceptions. Typical exceptions relate to regional economic integration organisations and to tax agreements.[546] Some tribunals have concluded that, under the principle *expressio unius est exclusio alterius*, this means that all matters not falling under an exception must be covered by the MFN clause. The presence of a defined list of exceptions means that other unlisted issues are not excluded.[547]

The application of MFN clauses to dispute settlement is highly contested.[548] Some treaties specify that their MFN clauses exclude[549] or include[550] dispute settlement.

Most MFN clauses relate only to the post-establishment phase. Some treaties, however, especially those of the United States and Canada, extend MFN treatment to the pre-establishment (pre-entry) phase, by including the word 'establishment' among the matters covered by the MFN clause.[551]

542 ECT Article 10(7).

543 See eg Spain–Argentina BIT (1991) Article IV(2).

544 See *Paushok v Mongolia*, Award on Jurisdiction and Liability, 28 April 2011, para 570.

545 United Kingdom Model Investment Promotion and Protection Agreement (IPPA 2008) Article 3(3).

546 Argentina–Germany BIT (1991) Article 3(4).

547 *MTD v Chile*, Award, 25 May 2004, para 104; *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, para 85; *Gas Natural v Argentina*, Decision on Jurisdiction, 17 June 2005, para 30; *Suez and InterAgua v Argentina*, Decision on Jurisdiction, 16 May 2006, para 56; *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, para 82; *RosInvest v Russian Federation*, Award on Jurisdiction, 5 October 2007, para 135; *Hochtief v Argentina*, Decision on Jurisdiction, 24 October 2011, para 74.

548 See XII.9 below.

549 See CETA, Article 8.7.(4).

550 Austrian Model BIT Article 3(3); Austria–Kazakhstan BIT (2010) Article 3(3).

551 See VI.5(b) above.

(e) MFN and substantive rights

Although the application of MFN clauses to dispute settlement is highly controversial, it is widely accepted that investors may rely on MFN clauses to claim a better substantive treatment accorded by a host State to investors of third States.[552] There is ample practice to demonstrate that tribunals have allowed the importation, by operation of an MFN clause, of substantive standards of protection not contained in the basic treaty.[553] The Tribunal in *Berschader v Russian Federation*[554] found that:

> [i]t is universally agreed that the very essence of an MFN provision in a BIT is to afford to investors all material protection provided by subsequent treaties . . . .[555]

Not all treaties offer all the typical standards of treatment like compensation for expropriation, FET, FPS, national treatment, protection against arbitrary or discriminatory measures, umbrella clauses, and transfer clauses. Where some of these substantive standards were missing in the basic treaty or were expressed in narrower terms, claimants have successfully resorted to MFN clauses in the respective treaties to rely on the wider protection in other treaties.

For instance, where the assurance of FET was missing from the basic treaty, tribunals have imported it with the help of an MFN clause.[556] In *ATA v Jordan*,[557] the Tribunal permitted the claimant to invoke a breach of FET although the applicable Jordan–Turkey BIT did not contain such a clause. The Tribunal noted:

> by virtue of Article II(2) of the Treaty (the 'MFN' clause), the Respondent has assumed the obligation to accord to the Claimant's investment fair and equitable treatment (see the UK–Jordan BIT) and treatment no less favourable than that required by international law (see the Spain–Jordan BIT).[558]

Other standards of treatment, not contained in the basic treaty, were also made applicable with the help of an MFN clause.[559] In *Tatneft v Ukraine*,[560] the Tribunal

552 See, however, CETA, Article 8.7 which seems to exclude the use of the MFN clause to import substantive standards from other treaties.

553 DD Caron and E Shirlow, 'Most-Favored-Nation Treatment: Substantive Protection' in M Kinnear et al (eds) *Building International Investment Law* (2016) 399, 400; P Dumberry, 'The Importation of the FET Standard through MFN Clauses: An Empirical Study of BITs' (2017) 32 *ICSID Rev* 116.

554 *Berschader v Russian Federation*, Award, 21 April 2006.

555 At para 179.

556 *Bayindir v Pakistan*, Award, 27 August 2009, paras 155, 157; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 575; *LESI & ASTALDI v Algeria*, Award, 12 November 2008, para 151; *Paushok v Mongolia*, Award, 28 April 2011, paras 242, 246, 254, 307, 562–572; *Al-Warraq v Indonesia*, Final Award, 15 December 2014, paras 541, 555.

557 *ATA v Jordan*, Award, 18 May 2010.

558 At para 125, footnote 16.

559 *Micula v Romania II*, Award, 5 March 2020, paras 439–443, 446.

560 *Tatneft v Ukraine*, Award, 29 July 2014.

permitted the importation not only of FET but also of the full protection and security standard by way of an MFN clause.[561] In *Devas v India*,[562] the Tribunal affirmed 'the possibility of importing the full protection and security clause of a third-party treaty'.[563]

MFN clauses have also been invoked in the context of defining the standard of compensation for expropriation. In *CME v Czech Republic*,[564] the applicable BIT provided for 'just compensation' representing the 'genuine value of the investment affected'. In its award, the Tribunal relied on the MFN clause to rule that the compensation should represent the 'fair market value' of the investment:

> The determination of compensation under the Treaty between the Netherlands and the Czech Republic on basis of the 'fair market value' finds further support in the 'most favored nation' provision of Art. 3(5) of the Treaty … The bilateral investment treaty between the United States of America and the Czech Republic provides that compensation shall be equivalent to the fair market value of the expropriated investment immediately before the expropriatory action was taken … The Czech Republic therefore is obligated to provide no less than 'fair market value' to Claimant in respect of its investment, should (in contrast to this Tribunal's opinion) 'just compensation' representing the 'genuine value' be interpreted to be less than 'fair market value.'[565]

There is also case authority to support the importation of an umbrella clause, that is absent in the basic treaty, by way of an MFN clause.[566] In *Arif v Moldova*,[567] the Tribunal accepted that an umbrella clause was one of the 'substantive obligations' to which the MFN clause applied. The Tribunal stated:

> Both Parties agree that an MFN clause applies to substantive obligations. The MFN clause in Article 4 is broadly drafted and does not restrict its application to any particular kind of substantive obligation under the BIT. Therefore, the Tribunal finds that the MFN clause of the BIT can import an 'umbrella' clause (which is substantive in nature), from either the Moldova–UK or Moldova–USA BIT, thereby extending the more favourable standard of protection granted by the 'umbrella' clause in either one of these BIT's into the BIT at hand. Respondent's

[561] At para 365.
[562] *Devas v India*, Award on Jurisdiction and Merits, 25 July 2016.
[563] At para 496.
[564] *CME v Czech Republic*, Final Award, 14 March 2003.
[565] At para 500.
[566] *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, para 317; *EDF v Argentina*, Award, 11 June 2012, para 937; *EDF v Argentina*, Decision on Annulment, 5 February 2016, para 237; *Consutel v Algeria*, Final Award, 3 February 2020, paras 356–359.
[567] *Arif v Moldova*, Award, 8 April 2013.

> arguments to the contrary are rejected. The Tribunal therefore has jurisdiction over Claimant's 'specific commitments' claim via the MFN clause of Article 4.[568]

A seemingly innocuous reference in the MFN clause to all matters covered by the basic treaty may serve to exclude the importation of additional standards. In *Teinver v Argentina*,[569] the Spain–Argentina BIT contained an MFN clause that was subject to the limiting words 'in all matters governed by this Agreement'. The Tribunal held that this phrase amounted to a limitation to matters already governed by the BIT which excluded the importation of new standards from a more favourable treaty. The Tribunal said:

> In the Tribunal's view, in interpreting the scope of the MFN Clause contained in Article IV(2) of the Treaty, meaning must be given to the critical words '[i]n all matters governed by this Agreement'. According to Claimants, this language should be interpreted as referring generally to the protection of foreign investors. This interpretation is too broad and disregards the reference to all 'matters' governed by the Treaty. In the Tribunal's view, the plain and ordinary meaning of this language is to refer to the various rights or forms of protection contained in the individual provisions of the Treaty.[570]

In some cases, tribunals declined to apply an MFN clause because they found that the claimants were not in 'like circumstances' or in a 'similar situation'.[571]

6. The umbrella clause

ADDITIONAL READING: S Alexandrov, 'Breaches of Contract and Breaches of Treaty' (2004) 5 *JWIT* 555; A Sinclair, 'The Origins of the Umbrella Clause in the International Law of Investment Protection' (2004) 4 *Arbitration International* 411; T Wälde, 'The "Umbrella" Clause in Investment Arbitration' (2005) 6 *JWIT* 183; N Gallus, 'An Umbrella just for Two?' (2008) 24 *Arbitration International* 157; MC Gritón Salias, 'Do Umbrella Clauses Apply to Unilateral Undertakings?' in C Binder et al (eds) *International Investment Law for the 21st Century* (2009) 490; SW Schill, 'Umbrella Clauses as Public Law Concepts in Comparative Perspective' in SW Schill (ed) *International Investment Law and Comparative Public Law* (2010) 317; T Gazzini and A Tanzi, 'Handle with Care: Umbrella Clauses and MFN Treatment in Investment Arbitration' (2013) 14 *JWIT* 978; S Hamamoto, 'Parties to the

[568] At para 396.
[569] *Teinver v Argentina*, Award, 21 July 2017.
[570] At para 884.
[571] *Parkerings v Lithuania*, Award, 11 September 2007, paras 369, 396; *İçkale v Turkmenistan*, Award, 8 March 2016, paras 328–329; *Vento v Mexico*, Award, 6 July 2020, paras 240–265.

"Obligations" in the Obligations Observance ("Umbrella") Clause' (2015) 30 *ICSID Rev* 449; A Sinclair, 'Umbrella Clauses' in M Bungenberg et al (eds) *International Investment Law* (2015) 887; ME Footer, 'Umbrella Clauses and Widely-Formulated Arbitration Clauses' (2017) 16 *LPICT* 87; K Yannaca-Small, 'The Umbrella Clause' in K Yannaca-Small (ed) *Arbitration under International Investment Agreements*, 2nd edn (2018) 16.01; A Reinisch and C Schreuer, *International Protection of Investments* (2020) 855.

(a) Meaning and origin

An umbrella clause is a provision in an investment protection treaty that guarantees the observance of obligations assumed by the host State vis-à-vis the investor. These clauses are referred to as 'umbrella clauses' because they bring contractual and other commitments under the treaty's protective umbrella. At times, they are also referred to as 'observance of undertakings clauses'. The most contentious issue in relation to clauses of this kind is whether, and in what circumstances, they place contracts between the host State and the investor under the treaty's protection.

A typical umbrella clause is Article 2(2) of the British Model Treaty:

> Each Contracting Party shall observe any obligation it may have entered into with regard to investments of nationals or companies of the other Contracting Party.

The German Model Treaty contains a similar clause in Article 8(2). Many, but by no means all, BITs contain clauses of this kind. The ECT offers such a clause in Article 10(1),[572] but the NAFTA and its successor treaty the USMCA as well as the CETA and the texts of other investment Chapters in FTAs negotiated by the EU do not contain an umbrella clause.

The wording of umbrella clauses in investment treaties is not uniform. A general discussion must allow for the variation in language of these clauses and the resulting differences in interpretation. Some treaties follow the British model quoted above, whereas other treaties use more detailed wording. The investment protection treaty concluded between France and Hong Kong in 1995 states in Article III:

> Without prejudice to the provisions of this Agreement, each Contracting Party shall observe any particular obligation it may have entered into with regard to investments of investors of the other Contracting Party, including provisions more favourable than those of this Agreement.

[572] ECT Article 10(1), last sentence: 'Each Contracting Party shall observe any obligation it has entered into with an Investor or an Investment of an Investor of any other Contracting Party.'

A provision that addresses the future legal order of the host State is not an umbrella clause properly speaking:

> Each Contracting Party shall create and maintain in its territory a legal framework apt to guarantee to investors the continuity of legal treatment, including the compliance, in good faith, of all undertakings assumed with regard to each specific investor.[573]

Umbrella clauses are by no means of recent vintage. They arose in the context of the post-1945 controversies on whether State contracts were subject to the host State's domestic laws[574] or undertakings on the level of international law.[575] At that time, projects for large-scale foreign investments prompted the question whether guarantees given under the domestic law of the host State provided sufficient legal stability to justify the required expenditures for such projects.

As early as 1953, Sir Elihu Lauterpacht proposed an 'umbrella treaty' between Iran and the United Kingdom in the context of the Anglo-Iranian Oil Company dispute. He suggested that the contractual settlement between the Anglo-Iranian Oil Company and the National Iranian Oil Company and/or the Iranian Government should provide that a breach of the consortium agreement would also qualify simultaneously as a breach of treaty obligations between the United Kingdom and Iran.[576]

The BIT between Germany and Pakistan of 1959—the first modern investment treaty—already contained a clause of this kind. In 1959, the German government informed the German Parliament about the effect of an umbrella clause:

> The violation of such an obligation [of an investment agreement] accordingly will also amount to a violation of the international legal obligation contained in the present Treaty.[577]

[573] Italy–Jordan BIT (1996) Article 2(4). See *Salini v Jordan*, Decision on Jurisdiction, 29 November 2004, para 126.

[574] In 1929, the PCIJ ruled in the *Serbian Loans* case that '[a]ny contract which is not a contract between States in their capacity as subjects of international law is based on the municipal law of some country'. PCIJ, Judgment, 12 July 1929, No 14, Series A, No 20, 41; see also *Noble Ventures v Romania*, Award, 12 October 2005, para 53: 'The Tribunal recalls the well established rule of general international law that in normal circumstances *per se* a breach of a contract by the State does not give rise to direct international responsibility on the part of the State.'

[575] FA Mann, 'State Contracts and State Responsibility' (1960) 54 *AJIL* 572; R Jennings, 'State Contracts in International Law' (1961) 37 *BYIL* 156; S Schwebel, 'International Protection of Contractual Agreements' (1959) 53 *ASIL Proceedings* 273; A Verdross, 'Protection of Private Property under Quasi-International Agreements' (1959) 6 *Nederlands Tijdschrift voor Internationaal Recht* 355; C Hyde, 'Economic Development Agreements' (1962-I) 105 *Recueil* 267.

[576] A Sinclair, 'The Origins of the Umbrella Clause in the International Law of Investment Protection' (2004) 4 *Arbitr Int* 411, 415; Y Chernykh, 'The Gust of the Wind: The Unknown Role of Sir Elihu Lauterpacht in the Drafting of the Abs–Shawcross Draft Convention' in SW Schill et al (eds) *International Investment Law and History* (2018) 262.

[577] Translation by the authors. For the original German text, see J Alenfeld, *Die Investitionsförderungsverträge der Bundesrepublik Deutschland* (1971) 97, note 180.

Contract claims may be put under the protection of a treaty and be referred to international adjudication. Jennings and Watts make this point in *Oppenheim's International Law* in the following words:

> It is doubtful whether a breach by a state of its contractual obligations with aliens constitutes *per se* a breach of an international obligation, unless there is some such additional element as denial of justice, or expropriation, or breach of treaty, in which case it is that additional element which will constitute the basis for the state's international responsibility. However, either by virtue of a term in the contract itself or of an agreement between the state and the alien, or by virtue of an agreement between the state allegedly in breach of its contractual obligations and the state of which the alien is a national, disputes as to compliance with the terms of contracts may be referred to an internationally composed tribunal, applying, at least in part, international law.[578]

Umbrella clauses in treaties were seen as a bridge between private contractual arrangements, the domestic law of the host State, and public international law, allowing for more investor security. One effect of these clauses is to blur the distinction between investment arbitration and commercial arbitration.

Only in exceptional circumstances will breaches of contracts by States amount to expropriations.[579] Similarly, not every breach of contract is a violation of the FET standard.[580] Therefore, an umbrella clause is designed to close an important gap. An umbrella clause in a treaty protects a contract that an investor has entered into with the host State and is an expression of the maxim *pacta sunt servanda*. It follows that in the presence of an umbrella clause, a breach by the host country of an investment contract with the foreign investor constitutes a violation of the treaty and the investor can raise it in international arbitration. The existence, the content and a violation of the underlying obligation have to be established by reference to its proper law.[581]

Until 2003, the umbrella clause received little attention in academic discussion or arbitral practice, although treaties often contained such clauses. The few authors who drew attention to the clause essentially shared the view of the purpose of the clause as a means to elevate violations of investment contracts to the level of international law.[582] However, the arbitral decision in *SGS v Pakistan* in

[578] R Jennings and A Watts, *Oppenheim's International Law*, vol 1 (9th ed 1996) 927. Footnotes omitted.

[579] See VII.2 above.

[580] See VIII.1(g)dd above.

[581] *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, para 126; *Burlington v Ecuador*, Decision on Liability, 14 December 2012, para 214; *Micula v Romania I*, Award, 11 December 2013, para 418.

[582] P Weil, 'Problèmes relatifs aux contrats passés entre un État et un particulier' (1969) 128 *Recueil* 130; FA Mann, 'British Treaties for the Promotion and Protection of Investments' (1981) 52 *BYIL* 241, 246; R Dolzer and M Stevens, *Bilateral Investment Treaties* (1995) 81; I Shihata, 'Applicable Law in

2003,[583] which departed fundamentally from the conventional understanding of the clause, put an end to this phase of unanimity. Ever since this ruling, the purpose, meaning, and scope of the clause have caused controversy leading to divergent lines of jurisprudence. The positions of tribunals and academic writers reach from elevating any breach of a promise by a host State to a treaty breach, to denying any effect to the clause, plus a number of intermediate positions. These intermediate positions would limit violations of the umbrella clause to contractual commitments, to commitments undertaken by the host State in its sovereign capacity, or to breaches committed in the exercise of sovereign authority.

(b) Effective application of umbrella clauses

One line of decisions gives full effect to umbrella clauses. This practice is best represented by *Noble Ventures v Romania*[584] where the Tribunal had to interpret and apply the following clause in Article II(2)(c) of the BIT between the United States and Romania: 'Each party shall observe any obligation it may have entered into with regard to investments.' The US claimant argued, *inter alia*, that Romania had breached the umbrella clause by failing to abide by its contractual obligation to renegotiate the debts of a formerly State-owned company acquired by the investor. The Tribunal insisted on the specificity of each umbrella clause, distinguishing earlier cases on this basis. The ruling emphasized that the wording obviously referred to investment contracts.[585] Consistent with Article 31 of the VCLT, it emphasized the object and purpose of investment treaties.[586] The Tribunal said:

> two States may include in a bilateral investment treaty a provision to the effect that, in the interest of achieving the objects and goals of the treaty, the host State may incur international responsibility by reason of a breach of its contractual obligations towards the private investor of the other Party, the breach of contract being thus 'internationalized', i.e. assimilated to a breach of the treaty.[587]

International Arbitration: Specific Aspects in the case of the Involvement of State Parties' in I Shihata and D Wolfensohn (eds) *The World Bank in a Changing World—Selected Essays and Lectures* (II 1995) 601; C Schreuer, 'Travelling the BIT-Route—Of Waiting Periods, Umbrella Clauses and Forks in the Road' (2004) 5 *JWIT* 231, 250; SW Schill, 'Enabling Private Ordering: Function, Scope and Effect of Umbrella Clauses in International Investment Treaties' (2009) 10 *Minnesota JIL* 1, 2.

583 *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003.
584 *Noble Ventures v Romania*, Award, 12 October 2005.
585 At para 51.
586 At para 52.
587 At para 54. See also para 85.

> … [I]n including Art. II(2)(c) in the BIT, the Parties had as their aim to equate contractual obligations governed by municipal law to international treaty obligations as established in the BIT.
>
> By reason therefore of the inclusion of Art. II(2)(c) in the BIT, the Tribunal therefore considers the Claimant's claims of breach of contract on the basis that any such breach constitutes a breach of the BIT.[588]

In the event, the Tribunal found that Romania had not violated its contractual obligation, and the Tribunal left open the question whether the wide scope of an umbrella clause had to be narrowed in some way.[589]

The *Noble Ventures* Tribunal was not the first one to accord a broad or full scope to the clause. In *SGS v Philippines*,[590] the Tribunal, in its Decision on Jurisdiction, also ruled that in the presence of an umbrella clause in the Philippines–Swiss BIT, a violation of an investment agreement will lead to a violation of the investment treaty: 'Article X(2) [the umbrella clause] means what it says.'[591] The Tribunal stated:

> Article X(2) makes it a breach of the BIT for the host State to fail to observe binding commitments, including contractual commitments, which it has assumed with regard to specific investments. But it does not convert the issue of the *extent* or *content* of such obligations into an issue of international law. That issue (in the present case, the issue of how much is payable for services provided under the CISS Agreement) is still governed by the investment agreement.[592]

However, *SGS v Philippines* did not carry this approach to its logical conclusion. Instead, the Tribunal assumed that, due to the existence of a forum selection clause in favour of the courts of the host State, the Philippine courts were to rule on the obligations contained in the investment contract.[593]

In *Eureko v Poland*,[594] the Tribunal had to rule on the umbrella clause in Article 3.5 of the treaty between the Netherlands and Poland. The Tribunal considered the ordinary meaning, the context of the clause, and the maxim of *effet utile*. It concluded that breaches by Poland of its obligations under contracts could be breaches

588 At paras 61, 62.
589 At para 61.
590 *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004.
591 At para 119.
592 At para 128. Italics original.
593 At para 155. Other tribunals have followed this approach: *BIVAC v Paraguay*, Decision on Jurisdiction, 29 May 2009, paras 141–161; *Bosh v Ukraine*, Award, 25 October 2012, paras 251–258. But see *SGS v Paraguay*, Award, 10 February 2012, para 107.
594 *Eureko v Poland*, Partial Award, 19 August 2005.

of the BIT's umbrella clause, even if these breaches did not violate the BIT's other standards.[595] The Tribunal said:

> The plain meaning—the 'ordinary meaning'—of a provision prescribing that a State 'shall observe any obligation it may have entered into' with regard to certain foreign investment is not obscure. The phrase, 'shall observe' is imperative and categorical. 'Any' obligations is capacious; it means not only obligations of a certain type, but 'any'—that is to say, all—obligations entered into with regard to investments of investors of the other Contracting Party. . . . The context of Article 3.5 [the umbrella clause] is a Treaty whose object and purpose is 'the encouragement and reciprocal protection of investment', a treaty which contains specific provisions designed to accomplish that end, of which Article 3.5 is one. It is a cardinal rule of the interpretation of treaties that each and every operative clause of a treaty is to be interpreted as meaningful rather than meaningless.[596]

In the event, the Tribunal found that Poland had violated its obligations arising from a privatization scheme vis-à-vis the investor.

In *SGS v Paraguay* the claim was for unpaid bills under a contract between the investor and the State for the pre-shipment inspection of goods. The BIT between Switzerland and Paraguay provided in Article 11 that '[e]ither Contracting Party shall constantly guarantee the observance of the commitments it has entered into with respect to the investments of the investors of the other Contracting Party'. The Tribunal rejected a restrictive interpretation of this umbrella clause based either on the nature of the contract or on the nature of its breach. It said:

> Article 11 does not exclude commercial contracts of the State from its scope. Likewise, Article 11 does not state that its constant guarantee of observance of such commitments may be breached only through actions that a commercial counterparty cannot take, through abuses of state power, or through exertions of undue government influence.[597]
>
> . . . Article 11 requires the 'observance' of commitments. Also as a matter of the ordinary meaning of the term, a failure to meet one's obligations under a contract is clearly a failure to 'observe' one's commitments. There is nothing in Article 11 that states or implies that a government will only fail to observe its commitments if it abuses its sovereign authority.[598]

[595] At para 250. For a critical review see Z *Douglas*, 'Nothing if not Critical for Investment Treaty Arbitration: *Occidental, Eureko* and *Methanex*' (2006) 22 *Arbitr Int* 27.
[596] At paras 246 and 248.
[597] *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, para 168.
[598] *SGS v Paraguay*, Award, 10 February 2012, para 91.

In other decisions, tribunals similarly gave full effect to umbrella clauses and confirmed that, by virtue of such a clause, failure by the host State to meet obligations assumed in relation to investments amounted to a breach of the treaty.[599] This ensured that investors were able to enforce host State promises through investment arbitration irrespective of the chosen law.

(c) Restrictive application of umbrella clauses

In a series of other cases, tribunals have imposed various limitations upon the application of umbrella clauses.[600] In *SGS v Pakistan*,[601] the Swiss claimant had concluded a contract with Pakistan on pre-shipment inspection services with a forum selection clause for Pakistani courts. When Pakistan unilaterally terminated the contract, the claimant started ICSID proceedings under the BIT between Pakistan and Switzerland. The BIT contained the following clause: 'Either Contracting Party shall constantly guarantee the observance of the commitments it has entered into with respect to the investments of the investors of the other Contracting Party.'

The Tribunal refused to give effect to the umbrella clause and found that the proper mode of interpretation was a restrictive one (*in dubio mitius*).[602] The Tribunal made no reference to the modes of interpretation laid down in Article 31 of the VCLT which does not embrace this maxim. In the light of this interpretative approach, the Tribunal concluded that any other understanding would have a far-reaching impact on the sovereignty of the host State which could not be presumed in the absence of a clear expression of a corresponding will by the parties.[603]

The Tribunal presented four arguments in support of its position. First, the conventional view would also cover non-contractual obligations arising under the laws of the host State, including the smallest types of commitments, and would lead to a flood of lawsuits before international tribunals.[604] Secondly, the conventional view would make other guarantees contained in investment treaties superfluous because even a violation of a small obligation would allow a lawsuit.[605] Thirdly, the Tribunal considered that the location of the umbrella clause not with the substantive guarantees but towards the end of the treaty, spoke against a far-reaching

[599] *LG&E v Argentina*, Decision on Liability, 3 October 2006, paras 164–175; *Siemens v Argentina*, Award, 6 February 2007, paras 196–206; *Plama v Bulgaria*, Award, 27 August 2008, paras 185–187; *Duke Energy v Ecuador*, Award, 18 August 2008, paras 314–325; *AMTO v Ukraine*, Award, 26 March 2008, paras 109–112; *Garanti Koza v Turkmenistan*, Award, 19 December 2016, para 247.

[600] For a critical evaluation see SW Schill, 'Umbrella Clauses as Public Law Concepts in Comparative Perspective' in SW Schill (ed) *International Investment Law and Comparative Public Law* (2010) 317.

[601] *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003.

[602] At para 171.

[603] At paras 167–168.

[604] At paras 166, 168.

[605] At para 168.

obligation.[606] And fourthly, it pointed out that the forum selection in investment agreements would, under the conventional view, not be binding for the investor whereas the host State would be bound to honour such clauses.[607] The Tribunal did not refer to the distinction between 'commercial acts' and 'sovereign acts'.

The Tribunal denied that its position would deprive an umbrella clause of its meaning. It pointed out that the clause would be relevant in the context of the implementation of the investment treaty in the domestic legal order or if the host State failed to participate in international proceedings to which it had agreed earlier.[608]

This decision was widely criticized.[609] The sharpest criticism came from the Tribunal in *SGS v Philippines*,[610] but commentators also pointed to weaknesses of the decision.[611] The most vulnerable aspect of the decision is the lack of an attempt to ground the method of interpretation in the accepted canons embodied in Article 31 of the VCLT.

For a while it seemed as if *SGS v Pakistan* would remain an isolated decision. But the decision has also found a measure of support.[612] In 2006, two nearly identical decisions (*El Paso v Argentina* and *Pan American v Argentina*) explicitly supported the first and the second argument set forth in *SGS v Pakistan* (flood of lawsuits, overreach because of wider scope than other treaty guarantees).[613] But unlike *SGS v Pakistan*, the Tribunals then introduced the distinction between the State as a merchant and the State as a sovereign. They concluded, with a broad brush, that investment arbitration will cover only disputes concerning investment agreements or State contracts in which the State is involved 'as a sovereign' but not mere commercial contracts.[614] The Tribunal in *El Paso* sought to establish a balance between the interests of the host State and those of the investor:

[606] At para 169.

[607] At para 168.

[608] At para 172.

[609] The government of Switzerland took the unusual step of expressing its disapproval and concern over the decision in a letter of 1 October 2003 to the Deputy Secretary-General of ICSID.

[610] *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, para 125: 'Not only are the reasons given by the Tribunal in *SGS v. Pakistan* unconvincing: the Tribunal failed to give any clear meaning to the "umbrella clause"'. See also *Eureko v Poland*, Partial Award, 19 August 2005, para 257.

[611] SA Alexandrov, 'Breaches of Contract and Breaches of Treaty, The Jurisdiction of Treaty-based Arbitration Tribunals to Decide Breach of Contract Claims in *SGS v. Pakistan and SGS v. Philippines*' (2004) 5 *JWIT* 555, 569; C Schreuer 'Travelling the BIT-Route—Of Waiting Periods, Umbrella Clauses and Forks in the Road' (2004) 5 *JWIT* 231, 253; 253; T Wälde, 'The "Umbrella Clause" in Investment Arbitration—A Comment on Original Intentions and Recent Cases' (2005) 6 *JWIT* 183, 225; E Gaillard, *La jurisprudence du CIRDI* (2004) 834; SW Schill, 'Enabling Private Ordering: Function, Scope and Effect of Umbrella Clauses in International Investment Treaties' (2009) 10 *Minnesota JIL* 1, 84.

[612] See eg *Toto v Lebanon*, Decision on Jurisdiction, 11 September 2009, paras 187–202.

[613] *El Paso v Argentina*, Decision on Jurisdiction, 27 April 2006, paras 72–74; *Pan American v Argentina*, Decision on Preliminary Objections, 27 July 2006, paras 101–103.

[614] *El Paso v Argentina*, Decision on Jurisdiction, 27 April 2006, paras 77 et seq; *Pan American v Argentina*, Decision on Preliminary Objections, 27 July 2006, para 108; in *Salini v Jordan*, Decision on Jurisdiction, 29 November 2004, para 155, the Tribunal had stated categorically: 'Only the State, in the exercise of its sovereign authority (*puissance publique*), and not as a contracting party, has assumed obligations under the bilateral agreement.'

> This Tribunal considers that a balanced interpretation is needed, taking into account both State sovereignty and the State's responsibility to create an adapted and evolutionary framework for the development of economic activities, and the necessity to protect foreign investment and its continuing flow.[615]

Thus, the decisions in *El Paso* and in *Pan American* did not restrict the scope of the umbrella clause as drastically as *SGS v Pakistan*. They accepted that obligations in investment agreements are covered by the clause to the extent that they bind the State in its sovereign capacity. Essentially, the two decisions seem to echo the French concept of *contrat administratif*.[616]

The distinction between different types of investment agreements was rejected by other tribunals.[617] In *Siemens v Argentina*[618] the Tribunal stated:

> The Tribunal does not subscribe to the view of the Respondent that investment agreements should be distinguished from concession agreements of an administrative nature. Such distinction has no basis in Article 7(2) of the Treaty which refers to 'any obligations', or in the definition of 'investment' in the Treaty. Any agreement related to an investment that qualifies as such under the Treaty would be part of the obligations covered under the umbrella clause.[619]

Another approach to limiting the effect of the umbrella clause does not look at the nature of the affected contract but at the nature or magnitude of its violation. The Tribunal in *CMS v Argentina*[620] referred to the distinction between governmental and commercial action and the significance of the interference with the contract:

> the Tribunal believes the Respondent is correct in arguing that not all contract breaches result in breaches of the treaty. The standard of protection of the treaty will be engaged only when there is a specific breach of treaty rights and obligations or a violation of contract rights protected under the treaty. Purely commercial aspects of a contract might not be protected by the treaty in some situations, but the protection is likely to be available when there is significant interference by governments or public agencies with the rights of the investor.[621]

615 *El Paso v Argentina*, Decision on Jurisdiction, 27 April 2006, para 70.

616 This is contrary to the position taken by arbitrator René-Jean Dupuy in *Texaco v Libya*, Award, 19 January 1977, (1979) 53 ILR, 389, para 72 who had held that the theory of administrative contracts had no place in international law. See also *ARAMCO v Saudi Arabia*, Award, 23 August 1958, (1963) 27 ILR, 117, 164.

617 *ICS v Argentina II*, Award on Jurisdiction, 8 July 2019, paras 343–346; *Strabag v Libya*, Award, 29 June 2020, paras 164–165.

618 *Siemens v Argentina*, Award, 6 February 2007.

619 At para 206.

620 *CMS v Argentina*, Award, 12 May 2005.

621 At para 299.

Similarly, in *Sempra v Argentina*[622] the Tribunal held that ordinary commercial breaches of a contract would not violate the umbrella clause in the Argentina–US BIT. Only a breach in the exercise of a sovereign State function or power but not the conduct of an ordinary contract party could amount to a breach of the umbrella clause. In the particular case, the Tribunal found that the sweeping changes that Argentina had introduced were no ordinary contractual breaches but had been brought about in exercise of the State's public function. Therefore, it concluded that the breaches of the obligations in question resulted in a breach of the umbrella clause.[623]

Other tribunals have rejected such an approach. For example, the Tribunal in *Burlington v Ecuador* explicitly stated that to require a sovereign act for a breach of the umbrella clause has no basis in the treaty's text:

> Second, Ecuador alleges that Burlington's claims do not involve the exercise of sovereign power. This requirement, however, has no support in the text of the umbrella clause of the Treaty. Moreover, while different views have been expressed on this matter, in line with other decisions such as for instance *Duke Energy*, the Tribunal considers that umbrella clauses may apply even if no exercise of sovereign power is involved (*Duke Energy*, ¶ 320).[624]

The distinction between 'treaty claims' and 'contract claims', introduced by the *Vivendi* Annulment Committee and subsequently often relied upon by tribunals,[625] does not facilitate the understanding of the umbrella clause. The crucial point is that certain (or all) types of violations of contracts between the State and the investor will, in the presence of an umbrella clause, amount to a violation of the investment treaty.

States entering into an investment treaty are free to fashion its scope and the guarantees granted therein. If the parties choose to extend the scope of the treaty to cover, to some extent, operations previously deemed 'commercial' or 'contractual' in nature, conventional terminology cannot stand in the way of the parties' intentions. For this reason, any attempt to confine the scope of the umbrella clause by reference to abstract concepts such as 'sovereign acts', 'commercial acts', or '*contrats*

[622] *Sempra v Argentina*, Award, 28 September 2007.

[623] At paras 305–314.

[624] *Burlington v Ecuador*, Decision on Jurisdiction, 2 June 2010, para 190. See also *SGS v Paraguay*, Decision on Jurisdiction, 12 February 2010, para 168; *SGS v Paraguay*, Award, 10 February 2012, para 91.

[625] *Vivendi v Argentina*, Decision on Annulment, 3 July 2002, paras 98–101: 'In a case where the essential basis of a claim brought before an international tribunal is a breach of contract, the tribunal will give effect to any valid choice of forum clause in the contract… On the other hand, where "the fundamental basis of the claim" is a treaty laying down an independent standard by which the conduct of the parties is to be judged, the existence of an exclusive jurisdiction clause in a contract between the claimant and the respondent state cannot operate as a bar to the application of the treaty standard.' Generally, on the distinction between treaty claims and contract claims see XII.10 below.

administratifs' are unconvincing. References to categories of a specific domestic legal order have no place within the canon of interpretation laid down in Article 31 of the VCLT. Furthermore, as a historical perspective shows, the function of these clauses is to make State promises in connection with investments enforceable. This function depends neither on the form (sovereign or commercial) in which the promises are made nor on the form in which a State breaks the promise. The umbrella clause does not change the substance of the obligation nor the law applicable to it but merely makes it enforceable under international law.

(d) Umbrella clauses and privity of contract

In principle, contracts to which an umbrella clause is to apply would be between the disputing parties, that is, a State and a foreign investor. But in some cases, the disputing parties and the parties to the contract on which the investor relies for purposes of the umbrella clause are not identical. On the host State's side, the party to the contract may be a State entity or a territorial subdivision rather than the State itself. On the investor's side, the party to the contract may not be the foreign investor itself but its subsidiary in the host State. In these situations, the question arises whether an umbrella clause will protect a contract that is not directly between the host State and the investor.[626]

In some cases, tribunals found that contracts concluded by State entities were attributable to the State. *Noble Ventures v Romania*[627] concerned a contract between the claimant and the Romanian 'State Ownership Fund', a separate legal entity. The Tribunal reached the conclusion that the contractual conduct of the Fund had to be attributed to the Romanian government in view of the grant of governmental power to the Fund. The Tribunal found that, for purposes of attribution, the distinction between commercial acts and sovereign acts had no relevance.[628] It followed that the umbrella clause was applicable to the contract. The Tribunal said:

> where the acts of a governmental agency are to be attributed to the State for the purposes of applying an umbrella clause, such as Art. II(2)(c) of the BIT, breaches of a contract into which the State has entered are capable of constituting a breach of international law *by virtue of the breach of the umbrella clause*.[629]

In *Strabag v Libya*,[630] the investor had contracted with several State entities. The Tribunal applied Article 8(1) of the Austria–Libya BIT which provided that '[e]ach

[626] N Gallus, 'An Umbrella just for Two? BIT Obligations Observance Clauses and the Parties to a Contract' (2008) 24 *Arbitr Int* 157.
[627] *Noble Ventures v Romania*, Award, 12 October 2005.
[628] At para 82.
[629] At para 85. Emphasis original.
[630] *Strabag v Libya*, Award, 29 June 2020.

Contracting Party shall observe any obligation it may have entered into with regard to specific investments by investors of the other Contracting Party'. The Tribunal found that the matter required a more searching analysis than asking who the formal parties to the contracts were. The Tribunal examined the nature of the entities and of the contracts, and the manner in which the contracts were concluded and implemented. It noted that the entities performed State functions and that the contracts involved significant public projects. Moreover, the entities acted at the direction of Libyan State organs and were dependent on funding provided by State organs. All of this led the Tribunal to the conclusion that, for purposes of the umbrella clause, Libya had entered into the contracts.[631]

In other decisions, tribunals found that the umbrella clause was inapplicable where the State had not contracted in its own name.[632] In *Impregilo v Pakistan*,[633] the contracts had been concluded not by Pakistan directly but by the Pakistan Water and Power Development Authority. The claimant wanted to benefit from an umbrella clause in a third country BIT by way of an MFN clause contained in the BIT between Italy and Pakistan. The Tribunal found that contracts concluded by a separate entity of Pakistan would not be protected by an umbrella clause.[634]

A similar problem arises on the investor's side when it operates through a local subsidiary that enters into a contract. The question is whether the foreign investor may rely on the umbrella clause in relation to a contract to which it is not a party. The ECT in Article 10(1) gives an affirmative answer to this question by referring to 'any obligations it has entered into with an Investor *or an Investment of an Investor*'.[635]

Most BITs do not contain a clarification of this kind. The practice of tribunals is divided on whether foreign investors are entitled to the protection of umbrella clauses for claims arising from contracts of their local subsidiaries. Some tribunals have allowed claims of this nature.

In *Continental Casualty v Argentina*,[636] the investor's local subsidiary, CNA, had entered into a number of contracts with Argentina. The claimant invoked the umbrella clause in respect of these contracts[637] and the Tribunal left no doubt

[631] At paras 167–188.

[632] *Azurix v Argentina*, Award, 14 July 2006, paras 52, 384; *AMTO v Ukraine*, Award, 26 March 2008, paras 109–112; *EDF v Romania*, Award, 8 October 2009, paras 317, 318; *Hamester v Ghana*, Award, 18 June 2010, paras 339–350; *Bosh v Ukraine*, Award, 25 October 2012, paras 242–249; *Oxus v Uzbekistan*, Final Award, 17 December 2015, para 854; *Gavrilović v Croatia*, Award, 26 July 2018, para 1159; *Staur Eiendom v Latvia*, Award, 28 February 2020, paras 515–519.

[633] *Impregilo v Pakistan*, Decision on Jurisdiction, 22 April 2005.

[634] At para 223.

[635] Emphasis added. The Reader's Guide to the ECT offers the following explanation: 'This provision covers any contract that a host country has concluded with a subsidiary of the foreign investor in the host country, or a contract between the host country and the parent company of the subsidiary.' See also *AMTO v Ukraine*, Award, 26 March 2008, para 110.

[636] *Continental Casualty v Argentina*, Award, 5 September 2008.

[637] At para 288.

that the umbrella clause covered contracts concluded by the investor's subsidiary. The Tribunal stated, with respect to obligations covered by the umbrella clause in Article II(2)(c) of the Argentina–US BIT:

> provided that these obligations have been entered 'with regard' to investments, they may have been entered with persons or entities other than foreign investors themselves, so that an undertaking by the host State with a subsidiary such as CNA is not in principle excluded.[638]

Other tribunals have similarly extended the effect of umbrella clauses to contracts of local subsidiaries of the foreign investors.[639]

In another group of cases, tribunals decided that a successful invocation of the umbrella clause required a contract directly with the foreign investor and not with its local subsidiary.[640] In *Azurix v Argentina*,[641] a concession agreement had been concluded between a province of Argentina and the subsidiary of Azurix ABA. The Tribunal recalled that Azurix and the respondent had no contractual relationship: the obligations undertaken in the concession contract were undertaken by the province, not Argentina, in favour of ABA, not Azurix.[642] The Tribunal said:

> there is no undertaking to be honored by Argentina to Azurix other than the obligations under the BIT. Even if for argument's sake, it would be possible under Article II(2)(c) [the umbrella clause] to hold Argentina responsible for the alleged breaches of the Concession Agreement by the Province, it was ABA and not Azurix which was the party to this Agreement.[643]

In *CMS v Argentina*, the claimant was a minority shareholder in a local company TGN. The Tribunal had allowed the application of the umbrella clause with respect to a licence obtained by TGN.[644] In proceedings for the Award's annulment, the ad hoc Committee noted that under Argentinean law the obligations of Argentina under the licence were obligations to TGN, not to CMS.[645] The Committee

[638] At para 297. See also para 98.
[639] *CMS v Argentina*, Award, 12 May 2005, paras 296–303; *Enron v Argentina*, Award, 22 May 2007, paras 269–277. The ad hoc Committee declined to annul this part of the Award: Decision on Annulment, 30 July 2010, paras 317–346; *Sempra v Argentina*, Award, 28 September 2007, paras 308–314; *Duke Energy v Ecuador*, Award, 18 August 2008, paras 314–325; *Supervisión v Costa Rica*, Award, 18 January 2017, para 287.
[640] *Siemens v Argentina*, Award, 6 February 2007, paras 204–206; *BG Group v Argentina*, Final Award, 24 December 2007, paras 206–215, 361–366; *El Paso v Argentina*, Award, 31 October 2011, paras 531–538; *Burlington v Ecuador*, Decision on Liability, 14 December 2012, paras 212–220; *WNC v Czech Republic*, Award, 22 February 2017, paras 317, 322–341.
[641] *Azurix v Argentina*, Award, 14 July 2006.
[642] At para 52.
[643] At para 384.
[644] *CMS v Argentina*, Award, 12 May 2005, paras 296–303.
[645] *CMS v Argentina*, Decision on Annulment, 25 September 2007.

annulled the part of the Award dealing with the umbrella clause for failure to state reasons. In the Committee's view it was 'quite unclear how the Tribunal arrived at its conclusion that CMS could enforce the obligations of Argentina to TGN.'[646]

(e) Umbrella clauses and unilateral undertakings

The discussion of umbrella clauses usually centres on contracts. States may, however, assume obligations not only by way of contracts but also through unilateral acts such as legislation or executive action.[647] Case law indicates that umbrella clauses are not restricted to contractual obligations but are capable of protecting obligations of the host State assumed unilaterally.[648]

Tribunals have recognized, in principle, that umbrella clauses in which States undertake to observe obligations with regard to investments cover unilateral undertakings.[649] *LG&E v Argentina*[650] involved an umbrella clause referring to the observance of 'any obligation it may have entered into with regard to investments'.[651] The case concerned the abrogation of rights granted to investors under a Gas Law and its implementing regulations. The Tribunal found that this legislation contained 'obligations' in the sense of the umbrella clause:

> These laws and regulations became obligations within the meaning of Article II(2)(c), by virtue of targeting foreign investors and applying specifically to their investments, that gave rise to liability under the umbrella clause.[652]

Some tribunals have read limitations into the clauses based on the specific wording of umbrella clauses. A reference to obligations with regard to 'specific investments' was seen to exclude general legal obligations arising from legislative measures.[653] Other tribunals found that the words 'entered into' in an umbrella clause could

[646] At para 96.

[647] WM Reisman and MH Arsanjani, 'The Question of Unilateral Governmental Statements as Applicable Law in Investment Disputes' (2004) 19 *ICSID Rev* 328.

[648] MC Gritón Salias, 'Do Umbrella Clauses Apply to Unilateral Undertakings?' in C Binder et al (eds) *International Investment Law for the 21st Century* (2009) 490.

[649] *SGS v Pakistan*, Decision on Jurisdiction, 6 August 2003, para 166; *Enron v Argentina*, Award, 22 May 2007, paras 269–277 and Decision on Annulment, 30 July 2010, paras 317–346; *Noble Energy v Ecuador*, Decision on Jurisdiction, 5 March 2008, paras 154–157; *Plama v Bulgaria*, Award, 27 August 2008, paras 185–187; *Al-Bahloul v Tajikistan*, Partial Award on Jurisdiction and Liability, 2 September 2009, para 257; *Khan v Mongolia*, Decision on Jurisdiction, 25 July 2012, para 438; *Micula v Romania*, Award, 11 December 2013, para 415; *OI European v Venezuela*, Award, 10 March 2015, para 589; *Greentech v Italy*, Final Award, 23 December 2018, para 466.

[650] *LG&E v Argentina*, Decision on Liability, 3 October 2006, paras 169–175.

[651] Argentina–United States BIT (1991) Article II(2)(c).

[652] At para 175.

[653] *SGS v Philippines*, Decision on Jurisdiction, 29 January 2004, para 121.

only be read as restricting the clause to contractual undertakings.[654] In *BayWa v Spain*,[655] the Tribunal interpreted the words 'any obligation it has entered into' in Article 10(1) of the Energy Charter Treaty and said:

> In the Tribunal's view, the umbrella clause in the last sentence of Article 10.1 of the ECT only applies to obligations specifically entered into by the host State with the investor or the investment. The paradigm case is an obligation under an investment contract duly entered into. By contrast the Tribunal does not accept that obligations arising under the general law, including legislation, of the host State, fall within the scope of the clause. When enacting legislation, the State establishes binding rules of conduct, but it does not make specific promises to each person entitled to claim under the law, nor does it enter into obligations to specific investors or their investments even when these entities are numbered among the beneficiaries of the law. A general law is not a promise.[656]

7. Effective means

ADDITIONAL READING: OM Garibaldi, 'Effective Means to Assert Claims and Enforce Rights' in M Kinnear et al (eds) *Building International Investment Law* (2015) 359; AP Karreman and K Dharmananda, 'Time to Reassess Remedies for Delays Breaching "Effective Means"' (2015) 30 *ICSID Rev* 118; HE Kjos, 'Domestic Courts under Scrutiny' in M Kanetake and A Nollkaemper (eds) *The Rule of Law at the National and International Levels* (2016) 353, 371; B Demirkol, *Judicial Acts and Investment Treaty Arbitration* (2018).

Some investment protection treaties contain an explicit obligation to provide effective means to assert claims and enforce rights. This standard is similar to human rights treaty clauses providing for a right to an effective remedy for human rights violations.[657] The standard was introduced into BITs in 1983 by the United States to

[654] *Noble Ventures v Romania*, Award, 12 October 2005, para 51; *CMS v Argentina*, Decision on Annulment, 25 September 2007, para 95 a) and b); *Continental Casualty v Argentina*, Award, 5 September 2008, paras 297–303; *Mobil v Argentina*, Decision on Jurisdiction and Liability, 10 April 2013, paras 1010–1013; *Oxus v Uzbekistan*, Final Award, 17 December 2015, paras 368–371; *Isolux v Spain*, Award, 12 July 2016, para 769; *Novenergia II v Spain*, Final Award, 15 February 2018, para 715; *Greentech v Spain*, Final Award, 14 November 2018, para 413; *RREEF v Spain*, Decision on Responsibility and the Principles of Quantum, 30 November 2018, paras 283–285; *Cube v Spain*, Decision on Jurisdiction, 19 February 2019, paras 452–454; *9REN v Spain*, Award, 31 May 2019, paras 342–346; *Belenergia v Italy*, Award, 6 August 2019, paras 612–619; *Stadtwerke München v Spain*, Award, 2 December 2019, paras 379–384; *RWE v Spain*, Decision on Jurisdiction, Liability and Certain Issues of Quantum, 30 December 2019; *Eskosol v Italy*, Award, 4 September 2020, para 462.

[655] *BayWa v Spain*, Decision on Jurisdiction, Liability and Directions of Quantum, 2 December 2019.

[656] At para 442.

[657] International Covenant on Civil and Political Rights Article 2(3); European Convention on Human Rights Article 13; American Convention on Human Rights Article 25; African Charter on Human and Peoples' Rights Article 7.

address a lack of clarity in customary international law.[658] The ECT and a relatively small number of BITs[659] contain the standard. Article 10(12) of the ECT provides in this regard:

> Each Contracting Party shall ensure that its domestic law provides effective means for the assertion of claims and the enforcement of rights with respect to Investments, investment agreements, and investment authorizations.

A provision of this type imposes a positive obligation on the State to provide effective judicial remedies before the host State's courts.[660]

The relative paucity of treaties containing a separate clause addressing adequate judicial protection for asserting claims and enforcing rights explains why there are only few cases dealing with such a provision.[661]

In *AMTO v Ukraine*,[662] the Tribunal found that the 'effective means standard' in Article 10(12) of the ECT established a specific requirement for the legislator to provide for effective means to assert claims and enforce rights. Legislative failures affecting these rights could be measured against this standard:

> In Article 10(12) of the ECT there is a specific obligation to ensure that domestic law provides an effective means for the assertion of claims and the enforcement of rights. Legislative failures affecting the administration of justice in cases under the ECT can therefore be measured against the express standard established by Article 10(12).[663]

[658] KJ Vandevelde, *U.S. International Investment Agreements* (2009) 411.

[659] See eg Article II (6), 1984 US Model BIT; Article II (7), Egypt–United States BIT (1986) and Protocol; Article II (7), Poland–United States BIT (1990) and Protocol; Article II (8), Turkey–United States BIT (1985) and Protocol; Article II (6), Sri Lanka–United States BIT (1991) and Protocol; Article II (6), Romania–United States BIT (1992) and Protocol; Article II (6), Moldova–United States BIT (1993) and Protocol; Article II (6), Kazakhstan–United States BIT (1992); Article II (7), Estonia–United States BIT (1994); Article II (6), Czech and Slovak Federal Republic–United States BIT (1991) and Protocol; Article 2 (4), Bahrain–United States BIT (1999); Article 4 (1), US–Viet Nam Trade Relations Agreement (2000); Article 2 (10), Czech Republic–United Arab Emirates BIT (1994); Protocol, 2 (d), Italy–Lithuania BIT (1994); Article 2 (3), Algeria–Finland BIT (2005); Article 2 (5), Kazakhstan–Sweden BIT (2004); Article 2 (8), Korea–Kuwait BIT (2004); Article 2 (10), Ukraine–United Arab Emirates BIT (2003).

[660] *Chevron v Ecuador I*, Partial Award on the Merits, 30 March 2010, para 248; *Apotex v United States*, Award, 25 August 2014, paras 9.66–9.70.

[661] *Petrobart v Kyrgyzstan*, Arbitral Award, 29 March 2005, p 77; *AMTO v Ukraine*, Final Award, 26 March 2008, paras 75–92; *Duke Energy v Ecuador*, Award, 18 August 2008, paras 390–403; *Chevron v Ecuador I*, Partial Award on the Merits, 30 March 2010, paras 241–275, 321–332; *White Industries v India*, Final Award, 30 November 2011, paras 11.1.1–11.4.20; *H&H v Egypt*, Award, 6 May 2014, paras 400–406; *Tatneft v Ukraine*, Award on the Merits, 29 July 2014, paras 350–361, 431–442; *Apotex v United States*, Award, 25 August 2014, paras 9.53, 9.66–9.70; *Gavazzi v Romania*, Decision on Jurisdiction Admissibility and Liability, 21 April 2015, paras 259–266; *Charanne v Spain*, Award, 21 January 2016, paras 468–474.

[662] *AMTO v Ukraine*, Final Award, 26 March 2008.

[663] At para 75.

Furthermore, the Tribunal set out certain quality requirements for the legislation that provides redress:

> There must be legislation for the recognition and enforcement of property and contractual rights. This legislation must be made in accordance with the constitution, and be publicly available. An effective means of the assertion of claims and the enforcement of rights also requires secondary rules of procedure so that the principles and objectives of the legislation can be translated by the investor into effective action in the domestic tribunals.[664]

The *AMTO* Tribunal added that the effective means standard required the State to create an effective system of enforcement but did not require the State to ensure that individual failures of that system do not occur.[665]

In *Chevron v Ecuador I*,[666] the claimant argued, on the basis of extensive evidence, that Ecuadorian courts had delayed local proceedings with the result that the case had been dormant for 14 years.[667] The Tribunal examined the issue in the light of the treaty-based requirement to provide 'effective means of asserting claims and enforcing rights'. The Tribunal found that this provision was to be understood as *lex specialis* vis-à-vis the rule on denial of justice,[668] even though the close link between the two standards was obvious. The treaty clause covered claims for undue delay, for interference by the government with the judicial process, but also manifestly unjust decisions.[669] Several factors had to be taken into account to evaluate the existence of undue delay: the complexity of the case, the behaviour of the litigants involved, the significance of the interests at stake, and the behaviour of the courts themselves.[670] Applying these criteria to the facts of the case, the Tribunal had no difficulty to find a violation of the clause.[671] Moreover, the Tribunal found that the clause, being different from the rule on denial of justice, did not require exhaustion of local remedies.[672]

The Tribunal in *White Industries v India*[673] confirmed the finding of the *Chevron I* Tribunal that 'the "effective means" standard is *lex specialis* and is a distinct and potentially less demanding test, in comparison to denial of justice in customary international law'.[674] The Tribunal denied a denial of justice but still found that the effective means standard had been violated as a result of the undue length of

[664] At para 87.
[665] At para 88. See also *H&H v Egypt*, Award, 6 May 2014, para 400.
[666] *Chevron v Ecuador I*, Partial Award on the Merits, 30 March 2010.
[667] At paras 171 et seq.
[668] At paras 242, 275. On denial of justice see VIII.1(g)ee above.
[669] At para 248.
[670] At para 250.
[671] At paras 252–274.
[672] At paras 268, 321–332.
[673] *White Industries v India*, Final Award, 30 November 2011.
[674] At para 11.3.2(a).

domestic court proceedings. The Tribunal found the duration of the national proceedings overall to be 'certainly unsatisfactory',[675] but found that it did not show bad faith and did not amount to 'particularly serious shortcoming' or egregious conduct that 'shocks or at least surprises, a sense of judicial proprietary'. Therefore, the delay did not amount to a denial of justice.[676] One of the proceedings, however, in particular a failure of India's Supreme Court to decide an appeal for over five years, triggered a violation of the effective means standard.[677] In this respect, the approach differs from that of the *AMTO* Tribunal which had found that, under the effective means standard, a State does not have to ensure that individual failures do not occur in a system that in principle provides for an effective framework.[678]

In *Charanne v Spain*,[679] the claimant argued that the unavailability of a contentious-administrative claim against a Royal Decree-Law was a violation of the effective means standard in the ECT. The Tribunal, relying on *Chevron* and *White Industries*, described the standard as follows:

> The standard of effective mechanisms as foreseen in Article 10(12) of the ECT requires States to provide a legal framework that guarantees effective remedies to investors for realization and protection of their investments. To verify whether such requirements are met, tribunals must examine the legal system in question as a whole. The standard, however, does not impose any obligation on States regarding the way in which it organizes its judicial system. It is sufficient that an adequate system of laws and institutions is established and that it functions effectively.[680]

The Tribunal found that other means to contest the Royal Decree-Law were available to the claimant and dismissed the claim.[681]

In sum, tribunals deciding on violations of the effective means standard have used typical fair trial requirements as we find them in a denial of justice analysis and the FET standard or under human rights treaties. They assessed whether there was access to the courts, whether there was undue interference by the executive, whether there were undue delays in court proceedings and whether an investor was able to present its case properly.

[675] At paras 10.4.22.
[676] At paras 10.4.23–10.4.24.
[677] At para 11.4.19.
[678] *AMTO v Ukraine*, Final Award, 26 March 2008, para 88.
[679] *Charanne v Spain*, Award, 21 January 2016.
[680] At para 470. Footnotes omitted.
[681] At paras 471–474.

8. Transfer of funds

ADDITIONAL READING: A Kolo and T Wälde, 'Capital Transfer Restrictions under Modern Investment Treaties' in A Reinisch (ed) *Standards of Investment Protection* (2008) 205; M Waibel, 'BIT by BIT–The Silent Liberalisation of the Capital Account' in C Binder et al (eds) *International Investment Law for the 21st Century* (2009) 497; R Dolzer, 'Transfer of Funds' in M Giovanoli et al (eds) *International Monetary and Financial Law* (2010) 533; A Kolo, 'Transfer of Funds' in SW Schill (ed) *International Investment Law and Comparative Public Law* (2010) 345; A de Luca, 'Transfer Provisions of BITs in Times of Financial Crisis' (2013) 23 *Italian YBIL* 113; C Kern, 'Transfer of Funds' in M Bungenberg et al (eds) *International Investment Law* (2015) 870; A Reinisch and C Schreuer, *International Protection of Investments* (2020) 970.

Conditions for the transfer of funds by investors into the host State and out of the host State are of key concern for both the investor and the host State. The investor will typically need to import funds into the host State to start the investment or to expand its business. Repatriation of capital, including profits, into the home country or a third country will often be the major business purpose of the investment. In the words of *Continental Casualty v Argentina*, the right of transfer 'is fundamental to the freedom to make a foreign investment and an essential element of the promotional role of BITs'.[682]

The host State will want to administer its currency and its foreign reserves. Large currency transfers into the country and out of the country need to be monitored and controlled to protect national policies. Experience has shown that sudden short-term capital inflows, and especially capital flight, may lead to instability in the domestic financial markets.

Thus, the interests of the foreign investor and those of the host State in the permissibility of foreign transfers will often diverge, and investment treaties typically cover this subject. Separate types of regulations are found in the IMF's Articles of Agreement, in rules adopted in the OECD, and in the GATT regime.[683]

The modalities of regulation in the treaties vary considerably, and no single pattern is dominant. Monetary and financial policies, the volume of the domestic capital market, historical experience, and simple bargaining power of the parties will influence the outcome of the treaty negotiations.

[682] *Continental Casualty v Argentina*, Award, 5 September 2008, para 239.

[683] On the overlap with BIT's and the legal consequences see R Dolzer, 'Transfer of Funds' in M Giovanoli et al (eds) *International Monetary and Financial Law* (2010) 533.

(a) Monetary sovereignty

All treaty schemes are negotiated against the background of the host State's 'monetary sovereignty'. This means that the host State has 'the exclusive right to determine its own monetary unit, to give the unit legal meaning, to fix the exchange rate and to regulate, restrict or prohibit the conversion and transfer of foreign exchange'.[684] The rules of the IMF, which have been accepted in principle by 184 States, do not allow restrictions by the member States on so-called current transactions.[685] This leaves them the power to regulate the inflow and outflow of 'capital transactions' as opposed to 'current transactions'.[686]

The rules on transfer in investment treaties deal with the investor's right to make transfers, the types of payment covered by this right, convertibility and exchange rates, and limitations on the freedom of transfer.[687] In relation to the applicable IMF Rules, the Tribunal in *Continental Casualty v Argentina* properly considered that the BIT provisions on transfer are more liberal and will have to be considered as *lex specialis*.[688]

The Tribunal in *Rusoro v Venezuela*[689] expressly acknowledged the monetary sovereignty enjoyed by States. Venezuela required that residents must acquire foreign currency via its Central Bank, must sell a high percentage of foreign currency to the Central Bank and must accept the exchange rate determined by the Central Bank. The Tribunal found that this 'stringent exchange control mechanism' imposed by Venezuela did not violate the obligations under the transfer provision of the Canada–Venezuela BIT.[690]

[684] R Dolzer and M Stevens, *Bilateral Investment Treaties* (1995) 85.

[685] Article VIII of the IMF's Articles of Agreement states: 'Section 2. Avoidance of restrictions on current payments: (a) Subject to the provisions of Article VII, Section 3(b) and Article XIV, Section 2, no member shall, without the approval of the Fund, impose restrictions on the making of payments and transfers for current international transactions. (b) Exchange contracts which involve the currency of any member and which are contrary to the exchange control regulations of that member maintained or imposed consistently with this Agreement shall be unenforceable in the territories of any member. In addition, members may, by mutual accord, cooperate in measures for the purpose of making the exchange control regulations of either member more effective, provided that such measures and regulations are consistent with this Agreement.'

[686] Article XXX(d) of the IMF's Articles of Agreement defines payments for current transactions in the following terms: 'Payments for current transactions means payments which are not for the purpose of transferring capital, and includes, without limitation: (1) all payments due in connection with foreign trade, other current business, including services, and normal short-term banking and credit facilities; (2) payments due as interest on loans and as net income from other investments; (3) payments of moderate amount for amortization of loans or for depreciation of direct investments; and (4) moderate remittances for family living expenses. The Fund may, after consultation with the members concerned, determine whether certain specific transactions are to be considered current transactions or capital transactions.'

[687] Measures by the host State that affect the opportunity to earn profits do not violate the provision on the right of transfer. See *Biwater Gauff v Tanzania*, Award, 24 July 2008, para 735.

[688] *Continental Casualty v Argentina*, Award, 5 September 2008, paras 243–244.

[689] *Rusoro v Venezuela*, Award, 22 August 2016.

[690] At para 578.

Free transfer clauses are aimed at protecting the investor against restrictions on the movement of capital and exchange control imposed by the host State. They do not protect the investor against the retention of funds by business partners.[691]

(b) Types of covered transfers

Treaty practice varies concerning the types of transfers that are protected. The right to transfer is sometimes limited to certain types of transfers. Under many treaties, the relevant rules guarantee the right of free transfer 'of payments resulting from investment activities', or they permit all transfers 'related to an investment' or 'in connection with an investment'.[692] In other treaties, the right to make transfers is not generalized. Types of payment covered by transfer clauses are often indicated in specific categories, sometimes in an exhaustive manner, sometimes in an illustrative manner. Such categories may refer to profits, interest, dividends, other current income, funds necessary to finance an investment, proceeds of liquidation, payments under a contract, management fees, royalties, or other items. Often, returns, loan payments, liquidation proceeds, or payments from licences and royalties are guaranteed free transfer, whereas qualifications of this right may be found for the transfer of salaries.

The types of transfer covered by the transfer clause in the Argentina–US BIT of 1991 were under consideration in *Continental Casualty v Argentina*.[693] The Tribunal ruled that 'transfers … essential for, or typical to the making, controlling, maintenance, disposition of investments' were covered. On the other hand, a mere 'change of type, location and currency of part of an investor's existing investment, namely a part of the freely disposable funds, held short term at its banks' was not covered.[694] The Tribunal decided that the transfers at issue, short-term dollar placements held by the investor's subsidiary that it wanted to take out of Argentina, were not covered.[695]

By contrast, the Tribunal in *Karkey v Pakistan*[696] surprisingly decided that the BIT's transfer clause embraced all investments contained in its broad asset-based investment definition and, therefore, also covered detained vessels. Therefore, it found that the detention constituted a violation of the transfer provision.

In *Achmea v Slovakia*,[697] a ban on profits imposed by the host State stipulated that all profits from health insurance had to be used for healthcare purposes.[698]

[691] *White Industries v India*, Final Award, 30 November 2011, para 13.2.3; *MNSS v Montenegro*, Award, 4 May 2016, para 366.
[692] R Dolzer and M Stevens, *Bilateral Investment Treaties* (1995) 87.
[693] *Continental Casualty v Argentina*, Award, 5 September 2008.
[694] At paras 240–241.
[695] At paras 241–245.
[696] *Karkey v Pakistan*, Award, 22 August 2017, paras 654–655.
[697] *Achmea v Slovakia*, Final Award, 7 December 2012.
[698] At para 96.

The Tribunal found that the 'ban on profits was inconsistent with the respondent's obligations' under the transfer provision of the BIT. However, the Tribunal did not analyse the claim further since it considered it covered by the violation of the FET provision.[699]

In *Rusoro v Venezuela*, the Tribunal found that gold was a commodity, not a currency, and that, therefore, its sale was not protected by the free transfer obligation under the BIT.[700]

In *von Pezold v Zimbabwe*,[701] the Tribunal found a breach of the free transfer obligation of the BIT when the respondent refused to release foreign currency to allow the claimant's estate to repay loans.[702] It held that further breaches of the standard had occurred when the respondent forced the claimants to exchange US currency for Zimbabwean dollars and failed to release US dollars earned through the sale of tobacco.[703]

In *Ryan v Poland*, the rejection of management fees as tax deductible costs in tax proceedings did not violate the free transfer provision of the BIT. The Tribunal decided 'that the tax proceedings were initiated and the decisions issued after the Management Fees had already been paid, collected and—in fact—transferred' and had therefore not prevented the free transfer of funds.[704]

In *Valores Mundiales v Venezuela*,[705] the Tribunal found that the payments covered by the free transfer clause of the Spain–Venezuela BIT include accrued investment income, compensation for expropriation, and the sums necessary for the maintenance and development of the investment, including those for the acquisition of raw or auxiliary materials or for the substitution of capital goods.[706] The Tribunal held that:

> (i) Venezuela has failed to comply with its obligation to *guarantee* Claimants the unrestricted transfer of this payment related to their investments; (ii) it has also failed to *permit* the transfer to be made without delay in the convertible currency decided by Claimants and at the exchange rate applicable on the day of the transfers; (iii) it has failed to *facilitate* procedures for effecting this transfer without delay or restrictions.[707]

[699] At para 286. For a similar approach see *AES v Kazakhstan*, Award, 1 November 2013, paras 423–427.
[700] *Rusoro v Venezuela*, Award, 22 August 2016, para 574.
[701] *von Pezold v Zimbabwe*, Award, 28 July 2015.
[702] At para 608.
[703] At para 609.
[704] *Ryan v Poland*, Award, 24 November 2015, para 507.
[705] *Valores Mundiales v Venezuela*, Award, 25 July 2017.
[706] At para 635.
[707] At para 639. Italics original.

(c) Inward and outward transfers

A major difference between treaties relates to the question whether the right to transfer funds concerns only the transfer out of the host country or whether it also covers inward transfers. Most treaties cover both directions, but some treaties only address the duty of the host State to guarantee the right to transfer investments and returns abroad, thus referring only to outward payments. If transfers are allowed in general terms, such as 'in relation to investments', both directions of transfer are covered.

(d) Transfers in accordance with host State law

Practically no treaty grants an absolute right to investors to make transfers. Some treaties state that the rights guaranteed to the investor exist only 'subject to the laws' of the host State. For the investor, such a restriction substantially reduces the value of the right to transfer, especially since the national laws of the host State may be revised in the future as the host State deems appropriate. If the transfer of funds is subject to certain procedures, it is the investor's responsibility to comply with these and to obtain the necessary authorizations.[708]

(e) Currencies, exchange rates, and delay

Most treaties state that the investor has the right to carry out the transfer in a freely convertible currency, that the transfer takes place at the official rate of exchange of the host State on the date of the transfer, and that the transfer will be authorized 'without delay', 'without undue delay', or that the procedures are carried out 'expeditiously'.[709]

The Tribunal in *OI European v Venezuela*[710] dealt with the exchange rate and the time element. The system established by Venezuela allowed for a choice between an official favourable exchange rate, where the transfer depends on an authorization and the availability of foreign currencies, or an immediate conversion at the free market rate. The Tribunal found that this exchange control system was compatible with the BIT.[711] It said:

[708] *Metalpar v Argentina*, Award on the Merits, 6 June 2008, paras 176–179.
[709] Some treaties provide for a specific time limit: *Valores Mundiales v Venezuela*, Award, 25 July 2017, para 639.
[710] *OI European v Venezuela*, Award, 10 March 2015.
[711] At paras 623–627.

> [the BIT] allows the State to create restrictions or delays for justified cause. The introduction of exchange control systems is part of the economic and financial sovereignty of the States, and does not constitute an 'undue restriction' for purposes of the BIT.[712]

(f) Restrictions

Today, a liberalization of financial markets is considered advantageous for the investor and for the host State. But the experience of host States during periods of financial disorder indicates that the government may need the power to place restrictions on the right to transfer.

Three approaches can be found in treaty practice to allow such restrictions.[713] Some treaties are based on the view that the short-term withdrawal of funds by the investor is undesirable under all circumstances and therefore only allow transfer out of the host country one year after the capital has entered the territory. A second approach is to place restrictions on the right to transfer during periods of severe balance-of-payments crises, external financial difficulties, or other exceptional circumstances affecting monetary policies or the exchange rate. A third approach more recently favoured by Canada, the United States, and Japan, specifically concerns the right to restrict the freedom to provide financial services during extraordinary periods, preserving the right of the host and the home State to maintain 'the safety, soundness, integrity or financial responsibility of financial institutions'.[714] Clauses of this kind will be especially important in the context of treaties that cover the right to provide financial services. However, this approach may in the future also receive more attention in all treaties covering the right to transfer funds.

[712] At para 624.

[713] UNCTAD, *Bilateral Investment Treaties 1995–2006: Trends in Investment Rulemaking* (2007) 62 et seq.

[714] See Article 20 (Financial Services) of the 2004 and 2012 US Model BITs: '1. Notwithstanding any other provision of this Treaty, a Party shall not be prevented from adopting or maintaining measures relating to financial services for prudential reasons, including for the protection of investors, depositors, policy holders, or persons to whom a fiduciary duty is owed by a financial services supplier, or to ensure the integrity and stability of the financial system. It is understood that the term 'prudential reasons' includes the maintenance of the safety, soundness, integrity, or financial responsibility of individual financial institutions . . .'.

On the NAFTA Rules, see *Fireman's Fund v Mexico*, Award, 17 July 2006, para 156 et seq.